Australia’s Trade in Goods Account, March

#trade #australia

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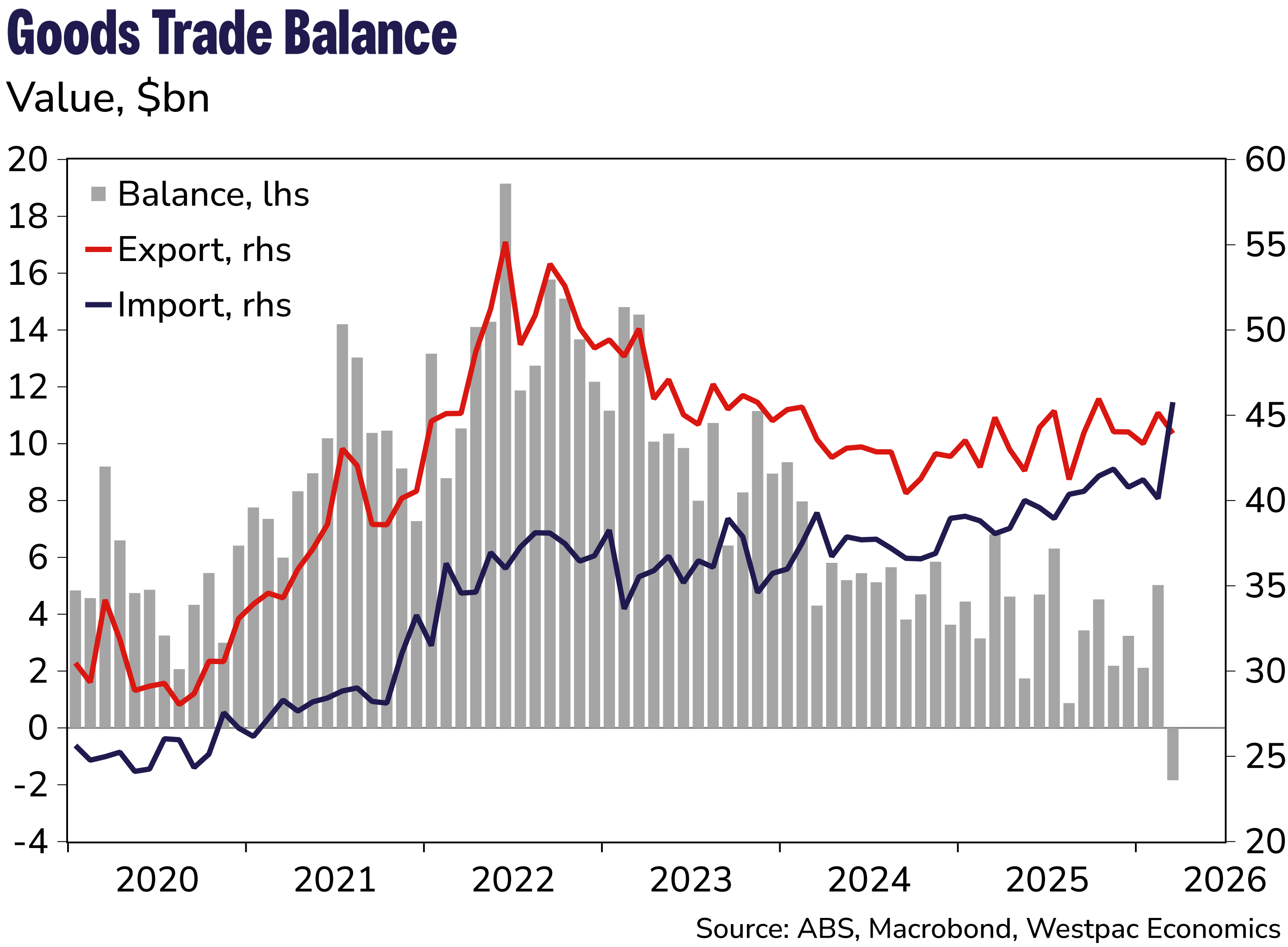
Australia’s monthly goods trade balance fell into a deficit for the first time since 2017, driven by a combination of higher costs for fuel imports, continued volatility in gold trade, and most surprisingly, a truly remarkable surge in imports for data processing machines associated with AI. Trade balance: –$1.8bn. Export values: –2.7%mth. Import values: +14.1%mth.

March’s goods trade data surprised on many fronts. The headline balance collapsed from a surplus of $5.0bn in February to a deficit of –$1.8bn March, marking the first monthly goods trade deficit since December 2017. Higher fuel costs stemming from the Middle East conflict was an important driver, but it was not the only factor at play. Most surprisingly, there was a truly remarkable surge in imports for data processing machines, often associated with the AI. Continued volatility in gold on both sides of the ledger were also a factor, alongside lower export earnings.



Exports

Export earnings disappointed in March, falling –2.7%. An important driver of this was a broad-based pull-back in rural goods exports (–11.6%) from a solid showing in February. This latest move looks to be largely volume-driven based on other sources of price data. Rural goods exports have been more volatile month-to-month, but it is operating around a solid trend that has broadly supported export earnings of late.

However, the fact that non-rural goods did not provide any material offset to this was surprising, barely eking out a gain in the month (0.3%). Across our ‘Big 3’ commodity exports: coal dropped –1.8%, metal ores and minerals (i.e. iron ore) fell –1.4%, while the lift in other mineral fuels (i.e. LNG) was underwhelming (+4.6%).

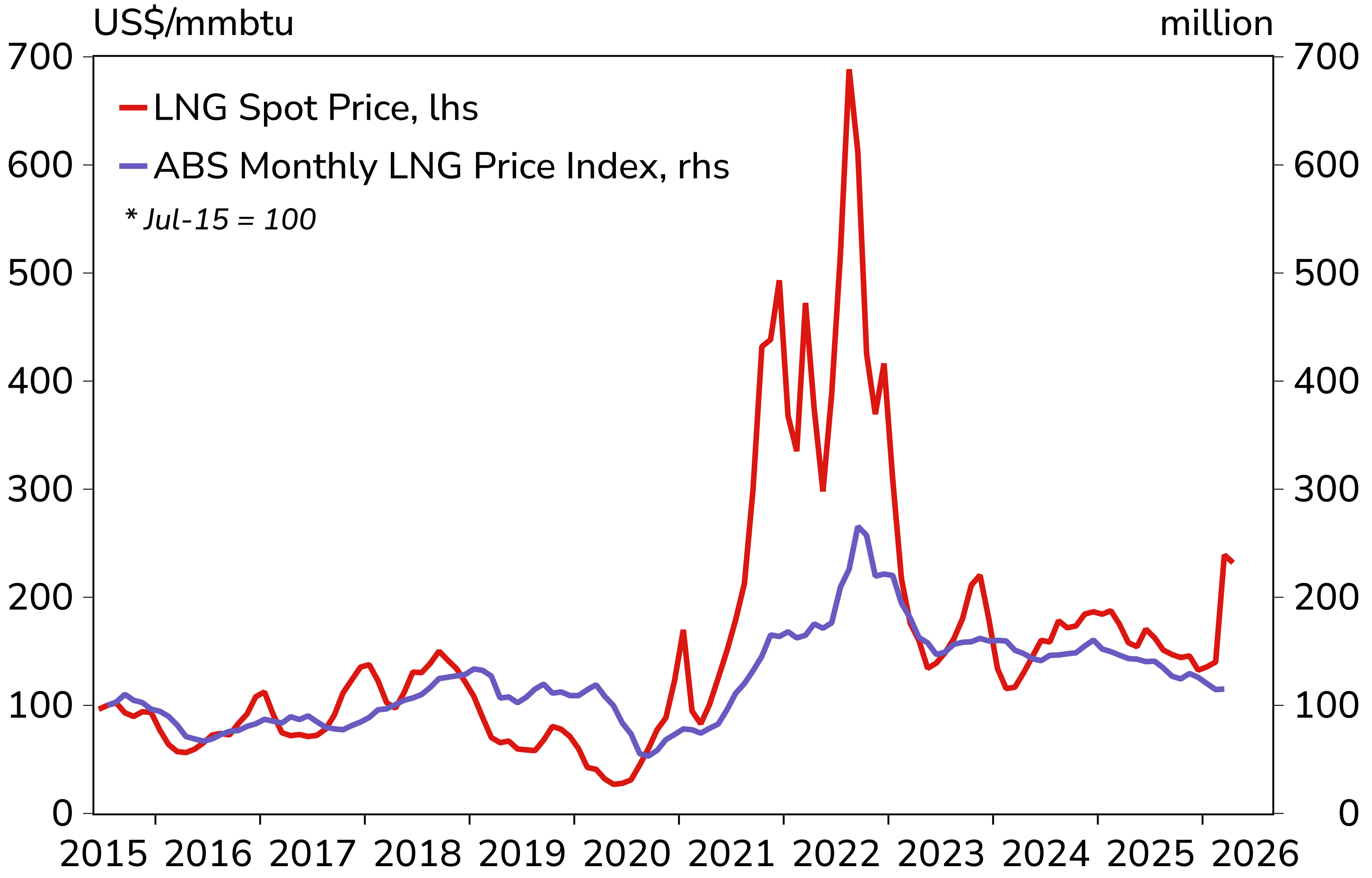
Additional data provided by the ABS on prices and volumes for these commodities revealed some important nuances.

For LNG, export volumes lifted broadly in line with seasonal patterns in March, and interestingly, prices received was virtually flat in the month (+0.3%). Compared to this time last year, this export price index is –18.7% lower, given the broad decline in prices over 2025. This is a stark contrast to what we are observing in the LNG spot market, where prices have lifted notably since the onset of the Middle East shock.

That said, it is important to note that it typically takes a couple of months for changes in spot prices to feed through to the reported export prices in ABS trade data. The rate at which this can occur also depends on some extent to the scale of the move in prices. For example, while LNG spot prices lifted notably in March, it is nowhere near the extent of the 2022 Russia-Ukraine shock, which saw a relatively faster pass-through into export prices. Ultimately, while a significant lift to export earnings from LNG was not immediately apparent in the March data, it is reasonable to assume that we will see some increase over the coming months.

Meanwhile for iron ore, there was a seasonal lift in both export volumes and prices but it was fairly underwhelming compared to previous years. It was a similar story for coal export volumes too, although prices had a stronger showing in the month. Big swings in gold exports continue to add a layer of volatility – this time, contributing to the decline in export earnings with a –6.1% fall this month. This follow an extraordinary 42% surge over January and February, however.

LNG Prices



Source: ABS, Macrobond, Westpac Economics

Imports

The drop in export earnings was compounded by a surge in the import bill, climbing 14.1% in March, the largest monthly gain in over three years. Before discussing the story around fuel imports, though, it is important to mention that the bulk of this move came down to one line item: automatic data processing machines (ADP), which exploded a whopping $2.9bn in March alone, a 300% increase. This likely captures many of the hardware components associated with AI, such as NVIDIA chips that can fetch US$30-50k each. We had been consistently highlighting the strong uptrend in ADP imports over 2025 for this reason, but we are still puzzled at the sheer scale of the surge in March. This may well be a robust signal of the AI investment drive taking place on Australian shores, even if there is some noise in the mix.

Meanwhile, there was also 37.4% surge in petroleum product imports in March, reflecting higher global prices since the onset of the Middle East conflict. The ABS provided additional detail on the prices and volumes of refined petroleum imports in March:

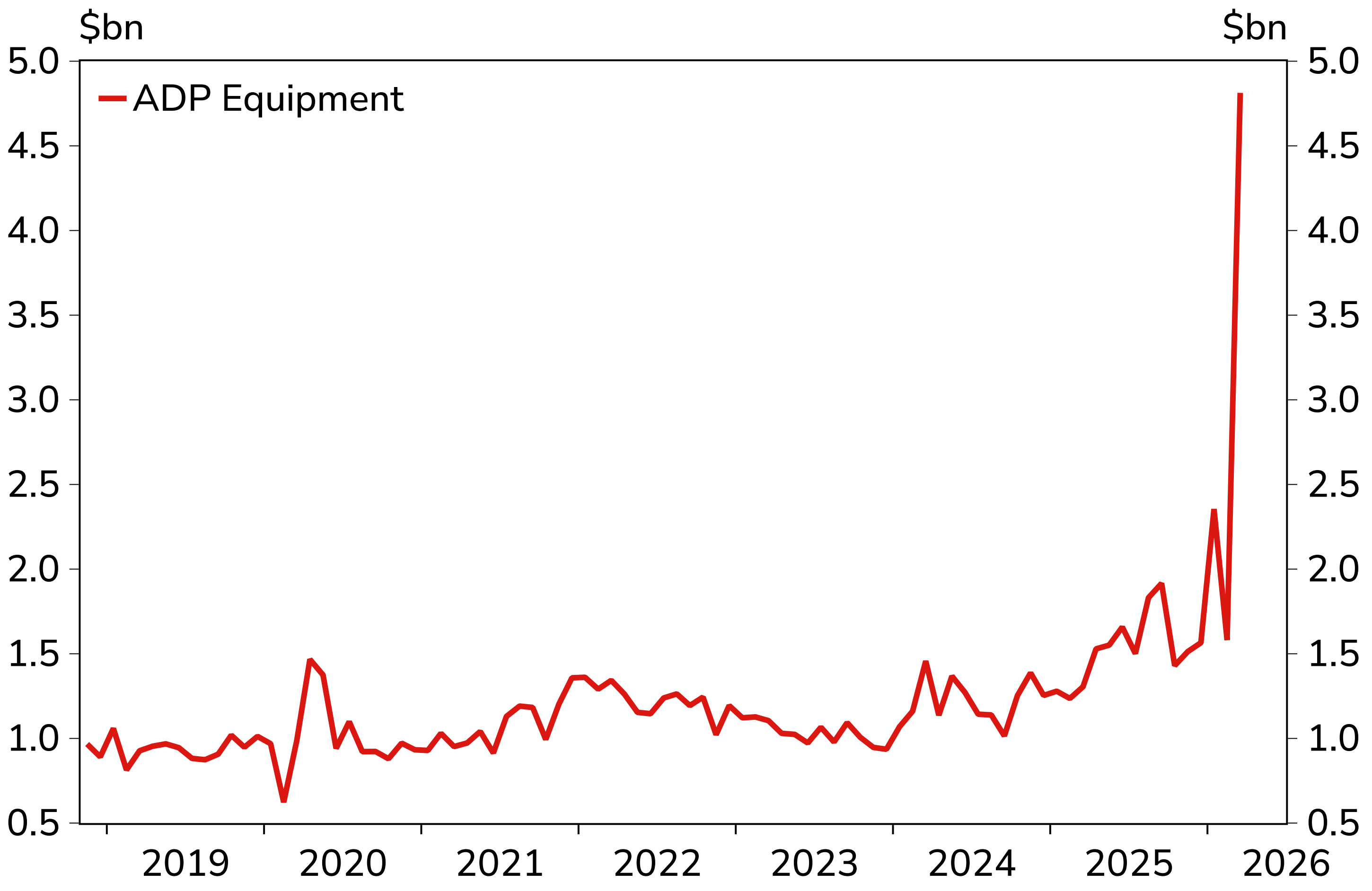
- Gasoline import prices rose 20.6%, and volumes imported rose 18.8%.
- Diesel import prices rose 42.2% and volumes imported fell –11.6%.

- Jet fuel import prices rose 42.7, and volumes imported fell –6.9%.

We are likely to continue seeing extreme volatility on this front over the coming months, as both prices fluctuate due to the conflict and volumes shift as authorities aimed to secure inventory. There is likely some lag in this data too.

Prices of and volumes for crude (unrefined) petroleum imports also bounced higher in the month but given its much smaller share in the energy import mix, it didn't have as much of an impact in aggregate, given we mostly import already refined fuel products. Extreme volatility in gold remains an important driver too, with import values for this commodity jumping 35% higher in March adding to the import bill. Consumption goods imports rose 1.2% in March, building on February's lift.

ADP Equipment Imports



Source: ABS, Macrobond, Westpac Economics

Overall, monthly data suggests that the nominal goods trade balance has narrowed by around $4.6bn, from $9.9bn in Q4 to $5.3bn in Q1, driven predominately by a surge in imports, but also a weaker showing in exports. This provides a gauge on what to expect for the official reading on Australia's current account balance as far as the goods side is concerned – the main uncertainty, though, is the *services* balance, for which there are fewer current indicators to draw from. Additionally, large monthly swings has also made it difficult to pin-point just how much of the nominal goods trade data is simply due to price effects rather than real volumes.

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
AUD/NZD	1.2209	0.2%
AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
AUD/NZD	1.2209	0.2%
AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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March CPI – all about fuel, too early for pass through

#inflation #australia #rba #economicbulletinsaustralia

By Justin Smirk
Senior Economist, Westpac

15:30 April 29 2026

Share

Headline March Quarter CPI 1.4%qtr/4.1%yr; Trimmed Mean 0.8%qtr/3.5%yr. Monthly March CPI 1.1%mth/4.6%yr, Trimmed Mean 0.3%mth/3.3%yr.

- Headline inflation being boosted by surging fuel prices.
- Core inflation was moderating before the Gulf Crisis and, at this stage, there is very limited sign of any passthrough to from higher fuel costs to broader price pressures.

- Today’s inflation update locks in a May rate increase and while we expect to see two more after this, a lot will depend on just how much demand destruction we see because of higher prices.

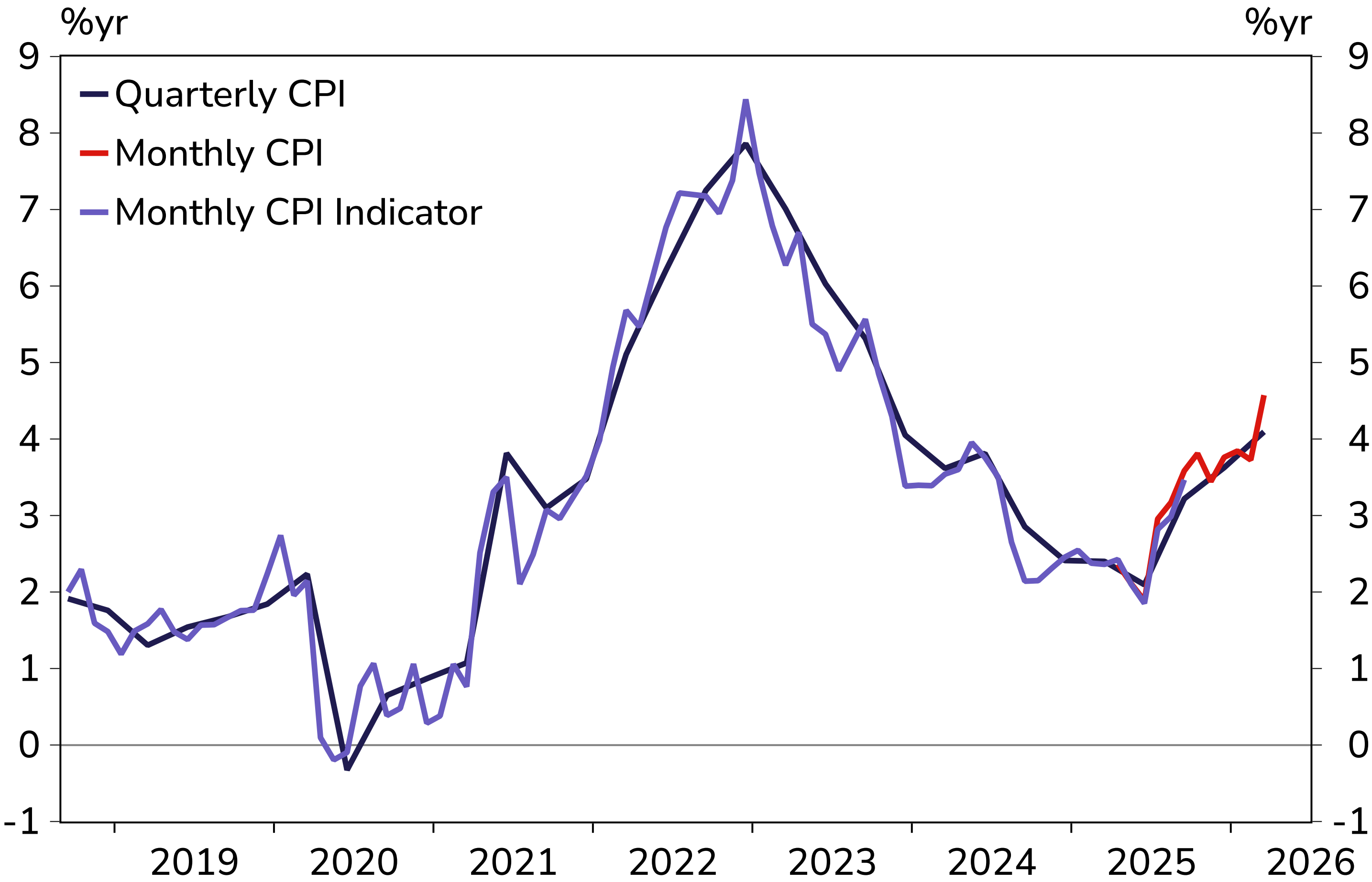
The CPI gained 1.4% in the March quarter, on par with market consensus and close to Westpac’s expectation of 1.46%. The annual pace of headline inflation, at 4.1%yr, is accelerating again; it was 2.1%yr in mid-2025 lifting to 3.6%yr in December. The acceleration through 2025 was mainly the unwinding of energy rebates but in early 2026 it is the crisis in the Gulf, and resulting surge in auto fuel prices, that is driving the acceleration. However, the cost-of-living assistance and surge in auto fuel has a limited impact on core inflation and so these measures take on more critical role in assessing the current pace of inflation.

The Trimmed Mean (TM) lifted 0.8% in the March quarter. Westpac and the market expected 0.9% (Westpac 0.93%). However, in our preview we highlighted that calculating the quarterly TM based on historical survey timing, which the ABS is doing given the short history for a number of series, pointed to a small downside risk to our estimate. The annual pace lifted very modestly from 3.4%yr to 3.5%yr.

The monthly trimmed mean increased 0.3%mth, which held the annual pace flat at 3.3%yr for the fourth consecutive month; the six-month annualised pace eased back a touch to 3.5%yr from 3.9%yr in December. It is worth noting that at this point in time the annual pace of the monthly CPI is tracking under that of the quarterly CPI.

Prior to the Gulf Crisis, the momentum in core inflation had been moderating.

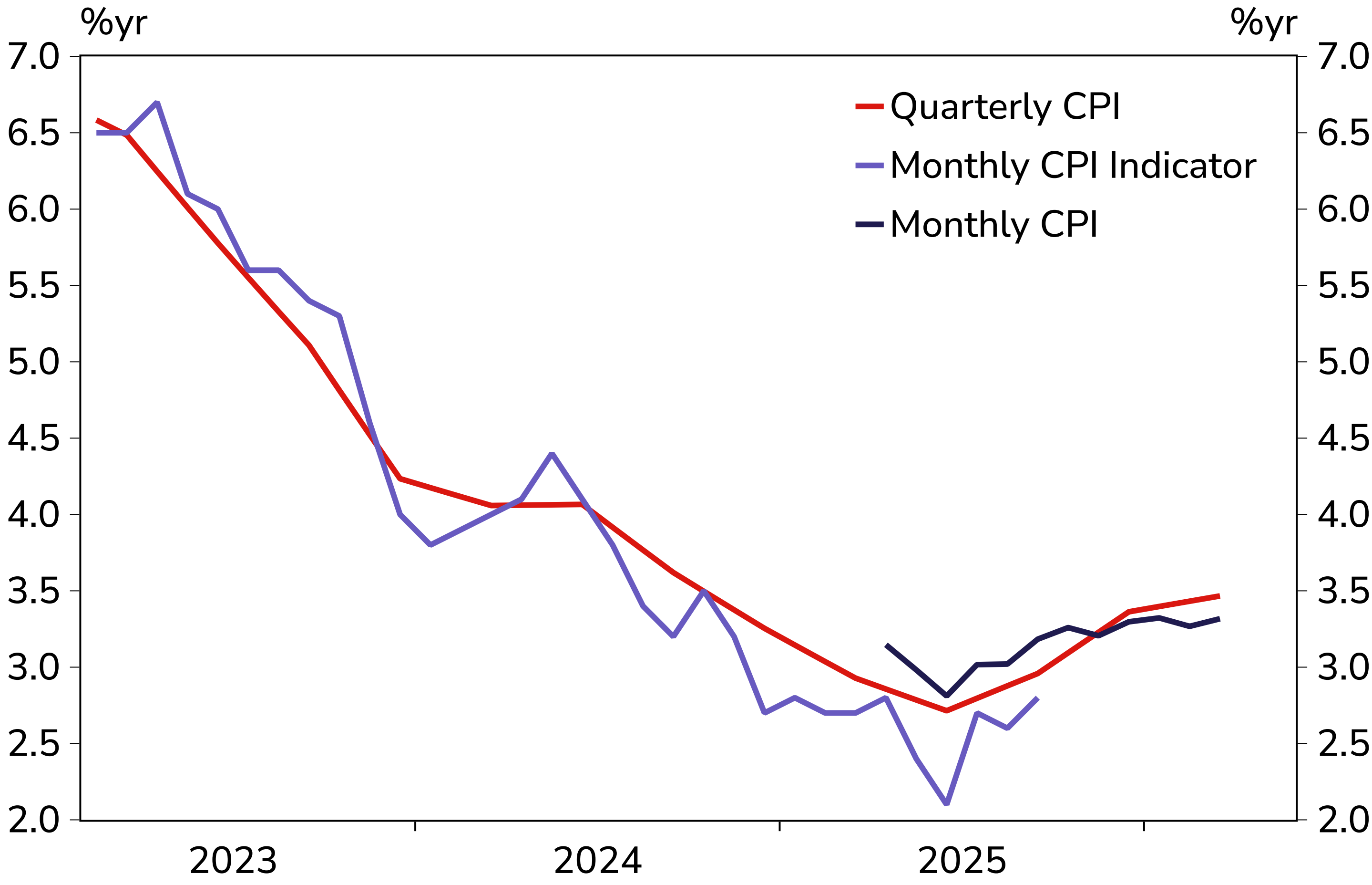
Headline Inflation



Source: ABS, Macrobond, Westpac Economics

The headline Monthly CPI lifted 1.1% in March to be up 4.6% in the year. This was quite a bit softer than our estimate of 1.3%mth/4.7%yr. Worthy of note was that auto fuel was softer than expected, lifting 32.8% vs. 36.4% expected. More concerning to the outlook for core inflation was that dwelling prices lifted 0.5% in the month compared to our expectation for a more modest 0.2% increase. The ABS did note this increase in the annual pace was due to project home builders raising base prices to pass through higher labour and materials costs over the year but made no comment on the monthly increase.

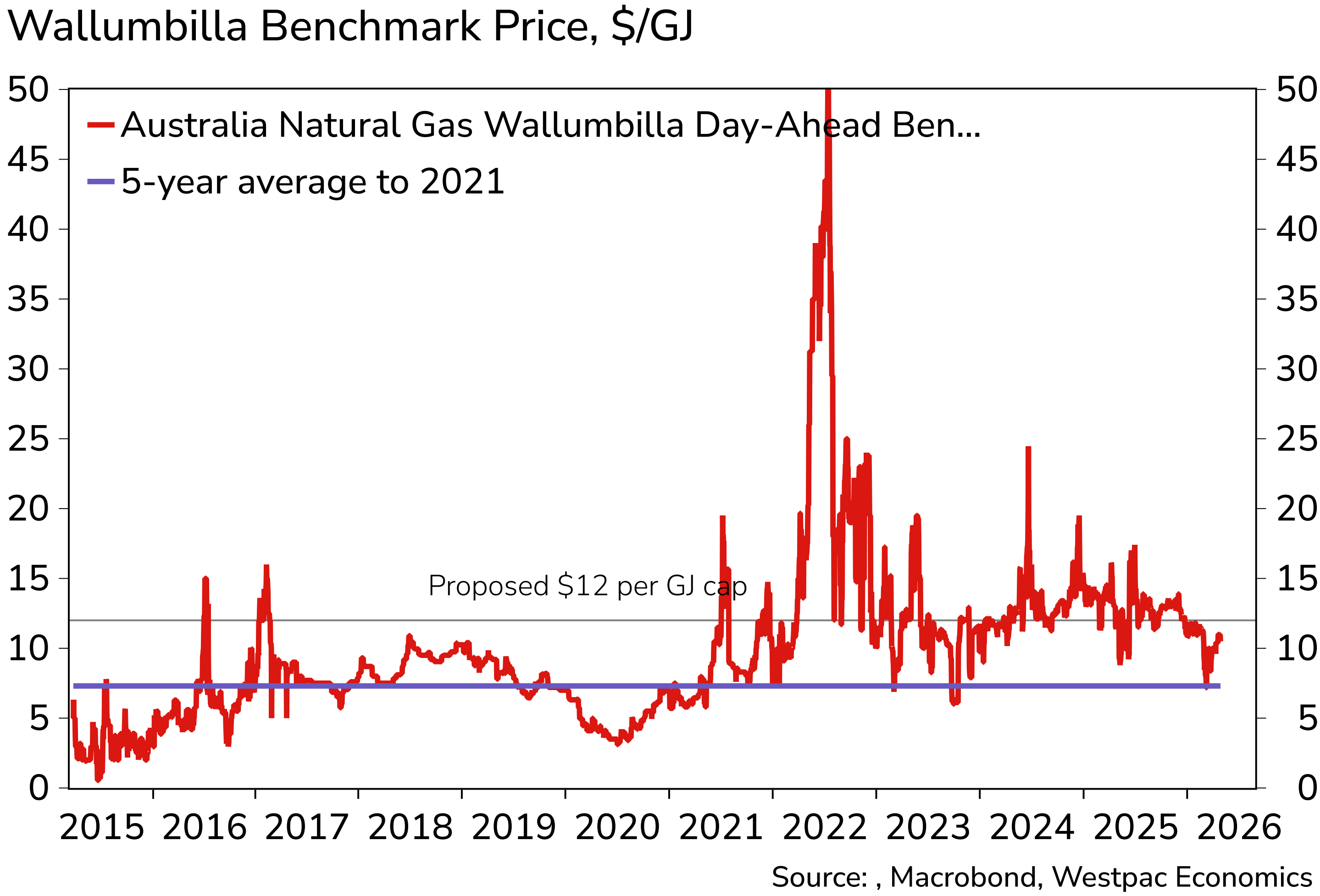
Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

For the RBA, as noted by Westpac's Chief Economist Luci Ellis in "**RBA May hike locked in**", there was some scattered signs of pass-through to other prices, even though March was very early days for this to be evident and most likely it is business taking the opportunity to raise prices in front of looming cost increases. However, it was not widespread and as we covered before, electricity prices have benefited from Australian local gas prices separating themselves from global LNG prices (the local price is currently around $10/GJ so under the government's proposed $12/GJ cap) and the rising share of renewables supported by storage which has seen lower than average summer electricity prices.

Wholesale Natural Gas



Nevertheless, we still expect the RBA to raise the cash rate at their May meeting. Given recent communication from the Bank has characterised the supply shock as 'further exacerbating existing capacity pressures' with future demand destruction just a possibility, we see two further interest rate hikes after May. It is true that the Trimmed Mean for the March quarter was on the RBA forecast of 3.5%yr but to achieve their estimate of 3.7%yr for the June quarter we will have to see a step down in the quarterly pace of 0.8%, a bridge too far we think given the current shock we are experiencing. Our current forecast for the June quarter Trimmed Mean is 1.0%qtr.

We are preparing a more detailed bulletin outlining any revisions to our inflation profile once we have processed all the quarterly and monthly data. But we can note that for the March quarter market services ex volatile inflation surprised with a flat print in the quarter with only a very modest lift in the annual pace to 3.4%yr from 3.3%yr. We are expecting it to pick up from here but due to modest wage outcomes, and better productivity in the market sector, we see this acceleration being capped around 4%yr in the second half of 2026, tracking the lift in Trimmed Mean inflation.

Below is the table comparing the quarterly details with our published estimates. We will cover the reasons for the small variations in our review of the monthly CPI as that is where the differences lie.

CPI forecasts Item	Mar-26 Actual % qtr	contrib	Mar-26 forecast % qtr	contrib
Food	1.0	0.18	1.0	0.17
of which, fruit & vegetables	1.7	0.03	1.9	0.04
Alcohol & tobacco	1.3	0.09	1.1	0.08
of which, Tobacco	1.1	0.02	1.2	0.02
Clothing & footwear	2.3	0.07	1.6	0.05
Housing	2.9	0.65	3.0	0.64
of which, Rents	0.9	0.06	1.0	0.07
of which, House purchases	0.9	0.07	0.8	0.06
of which, Utilities	12.1	0.55	12.2	0.55
H/hold contents & services	-0.3	-0.02	-0.3	-0.02
Health	2.2	0.15	2.3	0.15
of which, Pharmaceuticals	3.6	0.03	2.9	0.03
Transportation	2.0	0.23	2.2	0.25
of which , car prices	1.0	0.03	0.9	0.03
of which, auto fuel	5.2	0.18	5.9	0.20
Communication	0.0	0.00	-0.2	0.00
Recreation	-1.3	-0.16	-1.0	-0.13
of which, audio visual & computing	1.1	0.02	1.6	0.03
of which, holiday travel	-3.8	-0.23	-3.2	-0.19
Education	3.0	0.14	4.3	0.21
Financial & insurance services	1.0	0.06	0.9	0.05
CPI: All groups	**1.4**	–	**1.5**	–
CPI: All groups % year	**4.1**	–	**4.2**	–

Monthly March CPI in more detail.

The Israel/US assault on Iran began in the morning of the 28th of February with most of the price and the resulting jump in auto fuel prices above $2/l occurred in the week ending the 8th of March. As such the March CPI would have been very early days for much pass-through to be evident. As noted in earlier bulletins we have recorded price increases for building products, but these did not take effect until 1st April.

Nevertheless, the March CPI did show some scattered signs of pass-through to other prices. Home building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month. Services related to audio-visual, computing and telecommunications also increased in the month, which for telecommunications went against the run we have seen in recent months. There were some promising signs in softer monthly prices of appliances and some other household goods which we will be closely watching to see if they are reversed in the months ahead.

CPI Item	Qtr CPI Mar-26 % qtr	Monthly CPI Indicator Jan-26 % mth	Feb-26 % mth	Mar-26 % mth	WBC fcs Mar-26 % mth
Food	1.0	0.5	-0.1	0.7	0.6
of which, bread & cereals	0.4	0.2	-1.2	0.3	0.9
of which, meat & seafood	1.3	0.2	0.5	0.5	0.3
of which, dairy & related products	0.3	-0.4	-0.6	0.8	0.9
of which, fruit & vegetables	1.7	0.8	0.0	2.6	2.8
of which, food products nec	1.1	1.1	-1.1	0.1	0.0
of which, non-alcohol beverages	1.3	0.6	0.7	1.1	0.5
Alcohol & tobacco	1.3	0.9	0.2	0.8	0.3
of which, Alcohol	1.4	1.3	0.1	0.7	-0.2
of which, Tobacco	1.1	-0.1	0.4	1.1	1.4
Clothing & footwear	2.3	2.9	2.6	-1.9	-4.2
of which, garments	1.6	2.2	2.9	-2.5	-3.7
Housing	2.9	2.2	0.3	0.2	0.2
of which, Rents	0.9	0.3	0.4	0.2	0.4
of which, House purchases	0.9	0.4	0.1	0.5	0.2
of which, Electricity	21.9	18.5	1.0	0.0	0.0
of which, Gas & other fuels	1.0	0.0	-0.1	0.0	-0.1
H/hold contents & services	-0.3	-3.6	3.9	-0.2	-0.3
Health	2.2	2.7	0.1	-0.2	-0.1
Transportation	2.0	-0.7	-0.7	9.2	9.7
of which, auto fuel	5.2	-3.2	-3.4	32.8	36.4
Communication	0.0	-0.1	0.2	0.5	-0.1
Recreation	-1.3	-3.4	-3.0	-0.7	0.2
of which, holiday travel	-3.8	-7.6	-6.3	-1.4	0.7
Education	3.0	0.0	4.5	0.0	0.0
Financial & insurance services	1.0	0.3	0.1	0.8	0.4
CPI: All groups %qtr/%mth	**1.4**	**0.4**	**0.0**	**1.1**	**1.3**

In terms of downside surprises in March, the largest was for auto fuel at 32.8% vs 36.4% expected. We expect fuel to be flat in April with prices falling through May due to the delayed impact of the excise cut and lower crude oil prices in monthly averages. If the excise cut is reversed on July 1, as currently planned, then auto fuel is set to surge 17% through the month of July.

Also, holiday travel was softer, –1.4% vs. 0.7% expected, on the back of a –2.2% decline in domestic travel.

Most other item outcomes were either close to our estimates or stronger. Housing overall was on par with our 0.2% estimate with a more modest than expected 0.2% increase in rents being offset by a 0.5% increase in dwelling costs. With rising inputs cost for construction this may be an earlier sign we should be expecting a stronger lift in dwelling prices in the months ahead.

Clothing & footwear (–1.9%) did not fall as much as expected (–4.2%) with garments having a smaller than expected seasonal fall (–2.5%) while footwear fell –1.9% and accessories & clothing services fell –0.6%. It does appear that the gold boost to accessories through jewellery may have come to an end with a reported –0.6% in March.

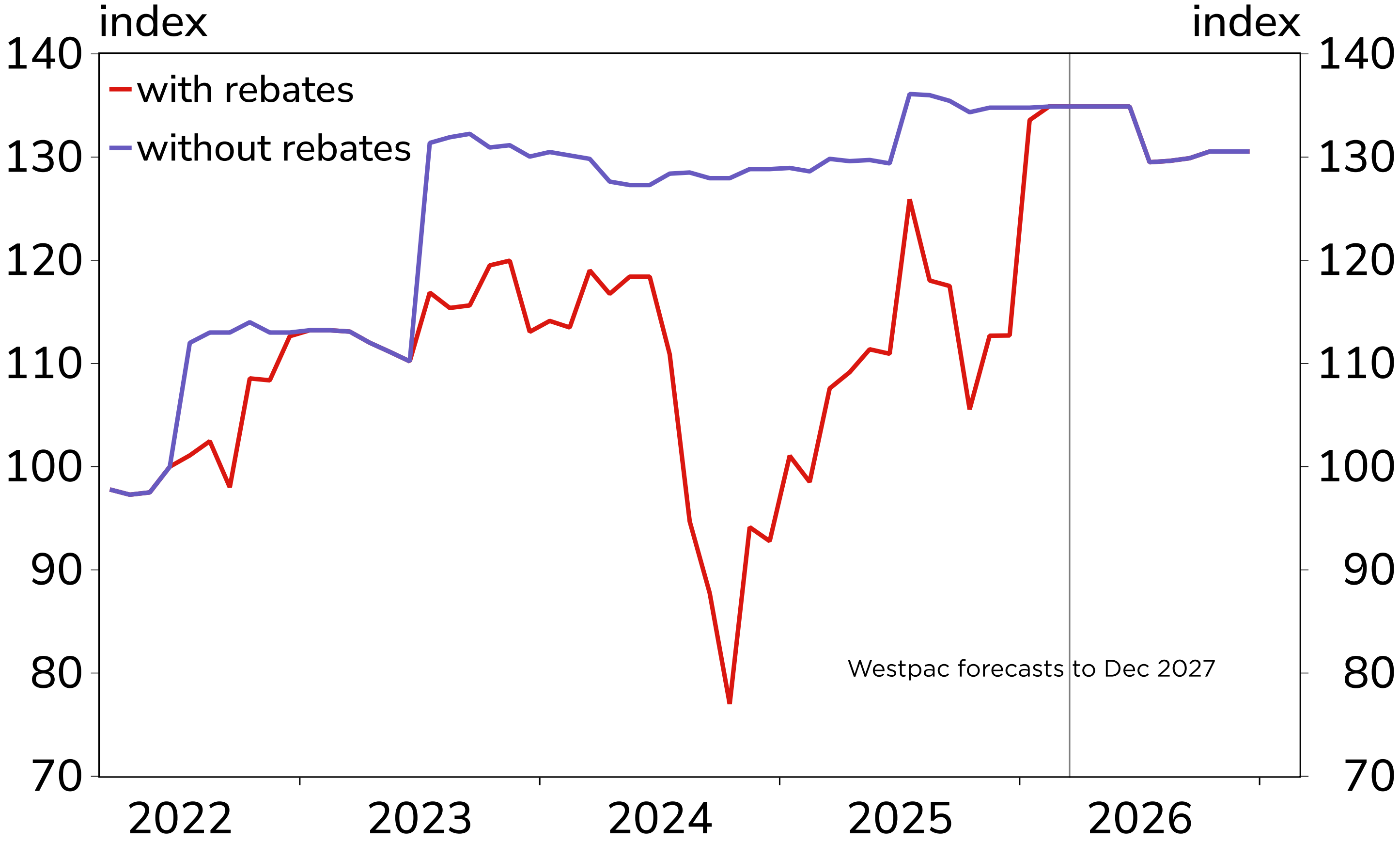
We also did not see the usual seasonal fall in alcohol (0.7% vs. –0.2%expected) which offset a softer than expected rise in tobacco (1.1% vs. 1.4%).

Communication prices lifted 0.5% in the month when we expected a small fall (–0.1%) due to an outsized 3.6% increase in postal services, the largest monthly increase since the 4.2% increase in July 2024.

With the rise in construction costs we will be keeping a close eye on insurance premiums. Insurance surprised us with a 0.7% increase in March following hot on the heels of a 1.4% increase in January and a 0.4% increase in February. Combined with a 0.9% increase in deposit & loan facilities and a 0.8% increase in other financial services, insurance & other financial services lifted 0.8% vs. 0.4% expected.

These small but reasonably broad upside surprises is something we will be watching closely in the months ahead to see if they are early signs of pass-through from higher fuel costs as well as opportunistic price increases give the current backdrop.

Electricity forecast as currently published



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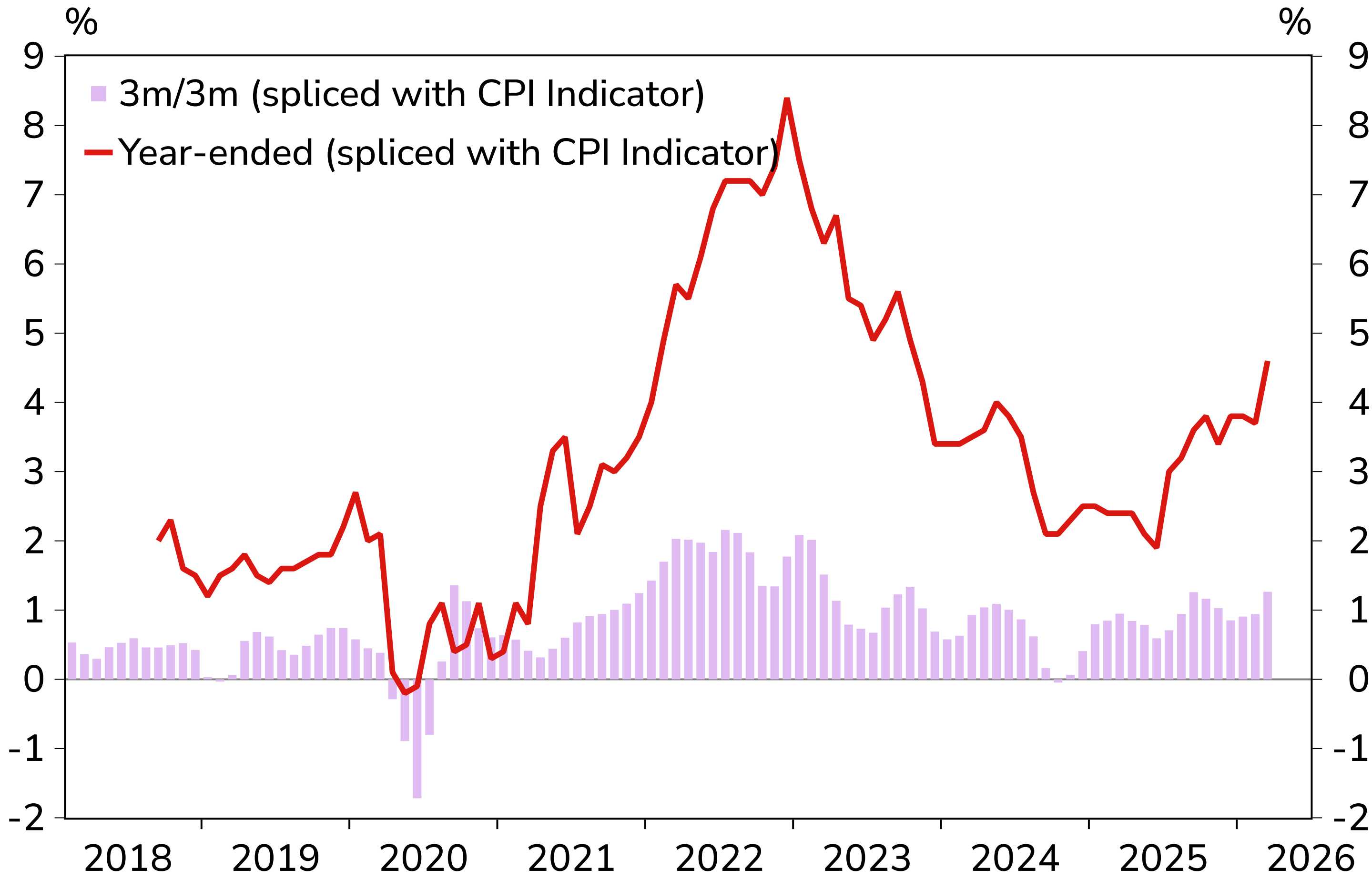
Monthly CPI inflation (s.a.)



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Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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Financial Markets

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Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
AUD/NZD	1.2209	0.2%
AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
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Three challenging trends and the opportunities they present for Australian women

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By Luci Ellis
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Three challenging trends – demographics, technology, and expectations of government – present opportunities for Australian women. How might the federal budget support them?

Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

Ageing population, growing workforce

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. Work with my Westpac colleague Ryan Wells back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later. Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask "why" five times to get to the root cause, we must ask, "and then what?" five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The "and then what" is that participation rates within age groups rise and can more than offset an ageing population mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

How this is an opportunity for Australian women

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

How the federal budget might support this

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The "sandwich generation" task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

AI and the new technology wave

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed “greedy jobs”, those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, “always on” continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer “presence” and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, provided institutional norms also change. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called ‘caring’ occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in $9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year’s wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

How the federal budget might support this

Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

Growing perception that people expect more of government

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

How this is an opportunity for Australian women

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the "care economy" and the regulatory footprint more broadly has been positive for women's employment. Especially in a relatively sex-segregated occupational job market like Australia's, health, education and social care roles are disproportionately female-coded. Using the industry of a person's main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

How the federal budget might address this

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne's words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is "yes".

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is "if it is safe enough for Europeans, it should be safe enough for Australians". There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

Conclusion

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.

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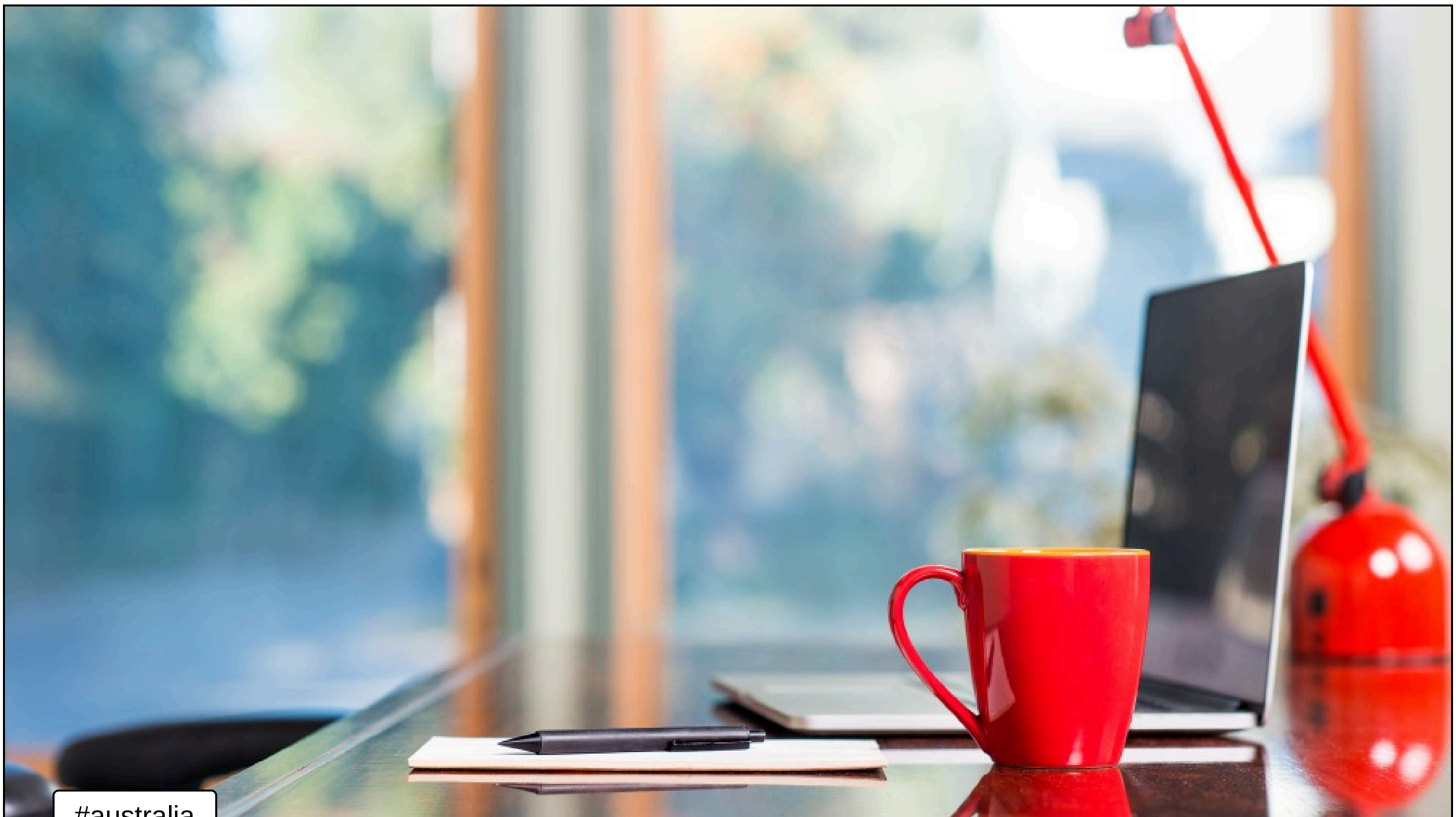

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Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
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AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet “satisfied”, adding he would “prefer not” to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan’s Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany’s 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week’s RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today’s key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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4 May 2026

FORECAST UPDATE: THE STATES

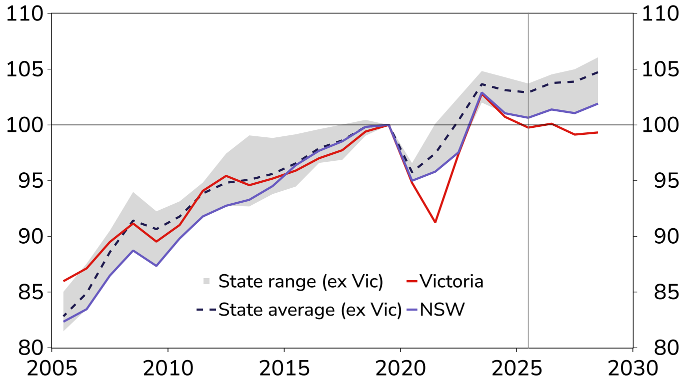
Mining resilient while consumer-led states under pressure

Key points

- After a relatively strong finish to 2025, our updated outlook points to an abrupt slowdown in the Australian economy through 2026 and into 2027 (see here). Here, we flow these aggregate changes through to the state level forecasts published in our March quarter Coast-to-Coast (see here), ahead of our June quarter Coast-to-Coast (due in late June).
- State performances are set to diverge again as national growth slows. Mining based states of Queensland and WA are expected to once again lead the pack, supported by elevated energy prices delivering sizeable income windfalls. SA is also relatively well positioned, underpinned by strength across both public and private activity.
- Consumption-led states set to slow sharply. NSW and Victoria are expected to underperform, with Victoria standing out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028.

Household consumption per capita

Index: FY2019 = 100, Financial years



Source: , Macrobond, Westpac Economics

- On our forecasts, consumption per capita in Victoria declines by around 3.5% cumulatively over the five years to FY2028, one of the largest and longest lasting contractions on record. However, Tasmania is expected to remain the laggard overall reflecting the state's much weaker population growth.

States to diverge as the household squeeze returns

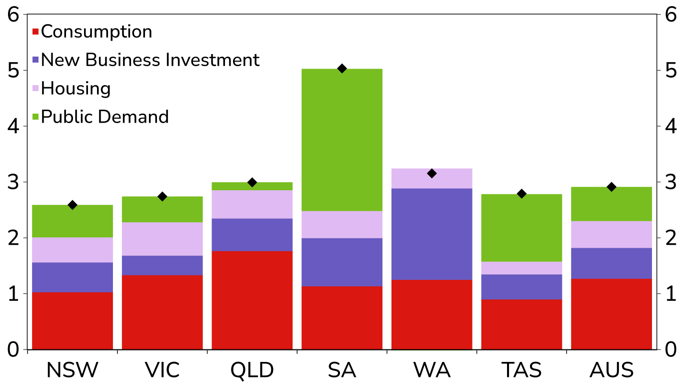
Pat Bustamante, Senior Economist
Ryan Wells, Economist

The strong finish to 2025 was reflected in a broad based lift in activity across the states, as private demand rebounded more quickly than expected. The Australian economy is now heading into a sharp slowdown, as a re-tightening in monetary conditions over recent months collides with a large global supply shock centred on energy.

This shock now appears both larger and more persistent than initially anticipated, intensifying domestic inflationary pressures. As a result, we expect the RBA to deliver two additional 25bp rate hikes beyond the widely anticipated 25bp move in May, aimed at preventing a sustained lift in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, pushing the unemployment rate towards 5%, with the trimmed mean inflation rate rising to around 4% by year end.

State Final Demand

Contributions to Q4 2025 Growth (ppts ann)



Source: ABS, Macrobond, Westpac Economics

As national growth slows, state performances are set to diverge once again. Differences in industry structure, population dynamics and exposure to interest sensitive demand will reassert themselves through 2026 and into 2027.

The mining based states of **Queensland** and **WA** are expected to once again lead the pack, benefiting from elevated energy prices delivering sizeable income windfalls alongside still solid population growth. Dwelling price growth is also expected to remain firm, as strong demand continues to run up against limited supply, supporting consumption through wealth effects. **SA** is also relatively well positioned, supported by strength across both public and private activity, including public infrastructure investment and defence related spending.

By contrast, the consumer led states of **NSW** and **Victoria** are set to slow sharply, consistent with patterns seen in previous tightening cycles. This is already becoming evident, with housing market conditions deteriorating in both states, which will weigh on household spending via negative wealth effects. Over the quarter to April 2026, house prices fell by 1.5% in Melbourne and 0.9% in NSW, compared with a national average increase of 1.6%. By contrast, strength continues in Brisbane, Adelaide and Perth, which should help support consumption through positive wealth effects (see here).

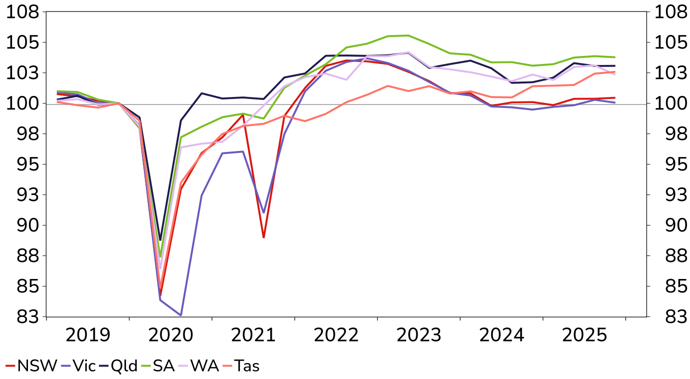
Per capita consumption in both states has largely moved sideways since 2019, underperforming the rises seen elsewhere. In stark contrast to the mining based states, population growth in NSW and Victoria is expected to outstrip gains in both GSP and consumption. On our forecasts, **consumption per capita in Victoria is set to record a cumulative decline of around 3.5% over the five years to FY2028.** The post COVID cost of living squeeze, now compounded by the recent spike in global energy prices, is delivering one of the largest and most prolonged contractions on record, extending back to the early 1990s.

Victoria stands out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028, underscoring the depth and persistence of the adjustment now underway.

However, **Tasmania** remains the laggard overall. Softer population growth is constraining momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown.

Household consumption per working age population

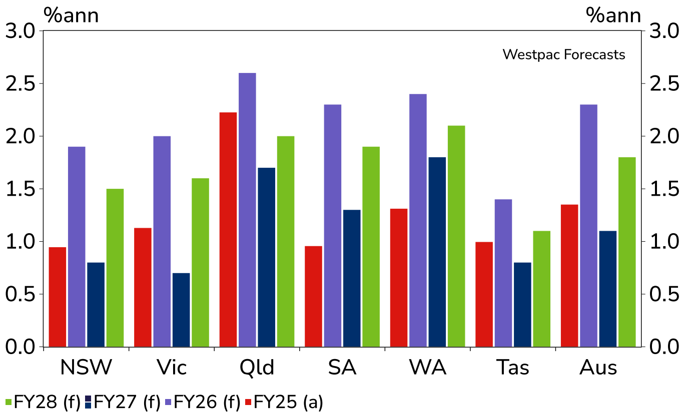
Index: Dec 2019 = 100



Source: ABS, Macrobond, Westpac Economics

Further ahead, as inflation moderates back towards target and interest rates eventually begin to ease in 2028, household spending should recover and growth conditions gradually converge. However, this adjustment will take time, and downside risks increase the longer global supply disruptions and geopolitical tensions persist.

Gross State Product



Source: ABS, Macrobond, Westpac Economics

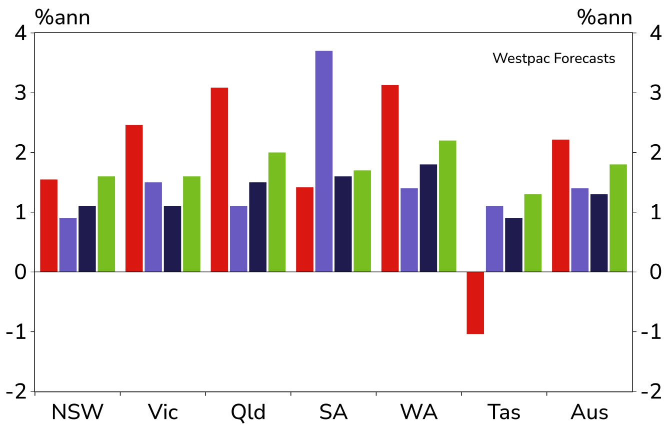
Commodity windfalls will see the mining states outperform

Mining exposure remains a clear positive, particularly as energy-related investment and exports benefit from higher global prices stemming from the conflict in the Middle East. These income windfalls should help cushion households against tighter financial conditions, keeping overall activity relatively resilient through the slowdown.

Queensland is expected to remain one of the stronger performers. GSP growth is forecast to slow from a year-average pace of 2.6%yr in FY2026 to 1.8%yr in FY2027, before picking up again to around 2.0%yr in FY2028. Consumption growth is expected to remain solid, easing only modestly from 2.5%yr in FY2026 to 2.1%yr in FY2027, before rebounding to 2.6%yr in FY2028. Momentum will be further reinforced by Olympics-related infrastructure investment and associated activity. Employment growth is forecast to average around 1.5% in FY2027 and 2.0% in FY2028.

WA is also expected to perform relatively strongly. GSP growth is forecast to moderate from around 2.4%yr in FY2026 to 1.8%yr in FY2027, before re-accelerating to 2.4%yr in FY2028. Consumption growth should remain resilient, easing from 2.8%yr in FY2026 to around 2.1%yr in FY2027, before lifting back to 2.6%yr in FY2028. As in Queensland, higher dwelling prices are expected to support demand near term through wealth effects. On this basis, employment growth is forecast at around 1.8% in FY2027 and 2.2% in FY2028.

Employment



Consumption led states to slow sharply

By contrast, the consumer-led states of NSW and Victoria are set to underperform as higher interest rates and cost of living pressures weigh directly on households.

In NSW GSP growth is forecast to slow from around 1.9% to just 0.8% in FY2027, as tighter financial conditions and elevated inflation dampen demand. The downturn is consumer led, with household consumption growth expected to fall to below 1% in FY2027 from around 2.0% in FY2026. Private investment should provide a partial offset, particularly in structural growth areas such as renewables and data centres. Higher costs will continue to place pressure on the state budget, though policy settings are likely to remain largely unchanged heading into the election early next year.

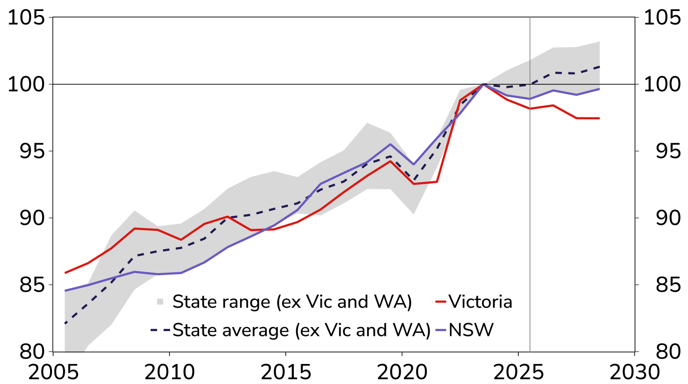
This slowdown is expected to weigh materially on labour demand. Coming off a weak base of 0.6% in FY2026, employment growth is forecast to recover only modestly, rising to 1.1% in FY2027 and 1.6% in FY2028—below the national average in each year.

In Victoria, GSP growth is expected to fall from around 2.0% in FY2026 to 0.7% in FY2027, broadly mirroring the slowdown in NSW. Consumption growth is also expected to ease sharply, from around 2.0% in FY2026 to just 0.7% in FY2027. Risks are more elevated in Victoria. Private investment has been noticeably weaker, particularly in dwelling construction, with forward indicators such as approvals lagging those in most other states (aside from Tasmania). While public demand should provide short term support ahead of the election, there is a risk that post election fiscal consolidation weighs on activity. We also expect some pause in private sector investment decisions as the November 2026 election approaches.

Employment outcomes are forecast to be like NSW in FY2027 and FY2028, though with greater downside risk, given employment growth had already begun to slow sharply even prior to the Middle East conflict.

Gross State Product per capita

Index: FY2023 = 100, Financial years



Source: , Macrobond, Westpac Economics

SA continues to punch above its weight

As highlighted in our March Coast to Coast report (see here), the SA economy is firing on all cylinders. Both private and public activity have firmed, supported by a substantial pipeline of infrastructure and defence related spending. In per capita terms, defence investment and employment are among the strongest in the country, delivering a durable lift to incomes. Housing approvals are also relatively strong on a per capita basis, pointing to ongoing demand growth. Expansion in strategic industries, particularly defence and advanced manufacturing, provides a solid medium term foundation for growth.

That said, some slowing in employment growth is expected. After an exceptionally strong 3.7% in FY2026, employment growth is forecast to ease to 1.6% in FY2027 and 1.7% in FY2028.

Tasmania to continue to be the laggard

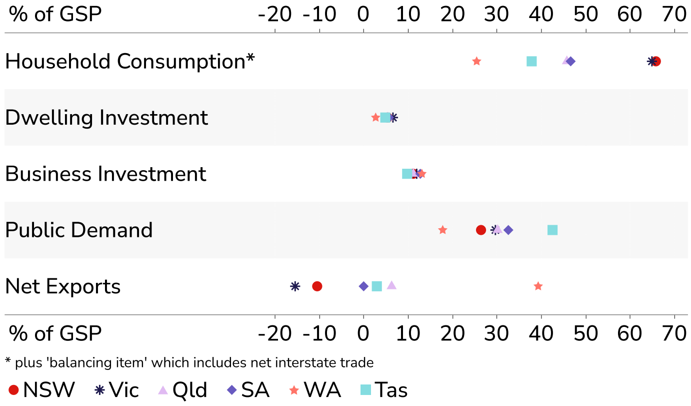
Tasmania continues to lag, with softer population growth limiting momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown. The state also has the softest labour market and weakest consumer sentiment nationally, which is likely to weigh further on private demand. Employment growth is expected to remain subdued, easing from 1.1% in FY2026 to 0.9% in FY2027. Household consumption per working age population.

Bottom line

The period of state growth convergence seen in 2025 is over. As households are squeezed by higher rates and inflation, state outcomes will diverge sharply, led by the mining states and SA, and dragged by consumption heavy NSW and Vic. While rate cuts in 2028 should eventually stabilise conditions, the longer the global shock persists, the deeper and more uneven the adjustment across states is likely to be.

One liner: A slowing national economy, persistent inflation and higher interest rates will lead to state level divergences, with mining states resilient and the consumer-led states under pressure.

GSP Expenditure Components by State



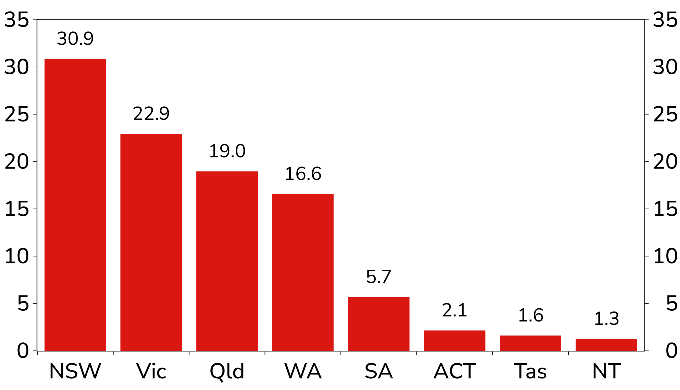
Source: ABS, Macrobond, Westpac Economics

Forecasts

		2024/25	2025/26	2026/27	2027/28
Variable	State	Actual	Westpac f/c	Westpac f/c	Westpac f/c
GSP	**Aust**	1.4	2.3	1.1	1.8
year-average growth	**NSW**	0.9	1.9	0.8	1.5
	Vic	1.1	2.0	0.7	1.6
	Qld	2.2	2.6	1.7	2.0
	WA	1.3	2.4	1.8	2.1
	SA	1.0	2.3	1.3	1.9
	Tas	1.0	1.4	0.8	1.1
Household Consumption	**Aust**	1.1	2.2	1.3	2.3
year-average growth	**NSW**	0.8	2.0	0.8	1.9
	Vic	0.9	2.1	0.7	1.8
	Qld	1.3	2.5	2.1	2.6
	WA	2.4	2.8	2.2	2.5
	SA	0.7	1.9	1.5	2.2
	Tas	0.6	1.7	0.6	1.1
Employment	**Aust**	2.2	1.4	1.3	1.8
year-average growth	**NSW**	1.5	0.9	1.1	1.6
	Vic	2.5	1.5	1.1	1.6
	Qld	3.1	1.1	1.5	2.0
	WA	3.1	1.4	1.8	2.2
	SA	1.4	3.7	1.6	1.7
	Tas	–1.0	1.1	0.9	1.3
Population	**Aust**	1.6	1.5	1.4	1.4
year-average growth	**NSW**	1.2	1.3	1.1	1.0
	Vic	1.8	1.7	1.7	1.6
	Qld	1.9	1.7	1.6	1.6
	WA	2.4	2.1	1.8	1.7
	SA	1.1	1.2	1.3	1.2
	Tas	0.2	0.5	0.8	0.7
Dwelling Prices	**Aust**	8.6	3	3	–
through-the-year growth,	**Sydney**	6.2	1	2	–
calendar years	**Melbourne**	5.1	1	5	–
(2024/25 = Dec-25)	**Brisbane**	14.7	6	3	–
	Perth	16.7	8	5	–
	Adelaide	8.3	5	4	–
	Hobart	7.4	1	3	–

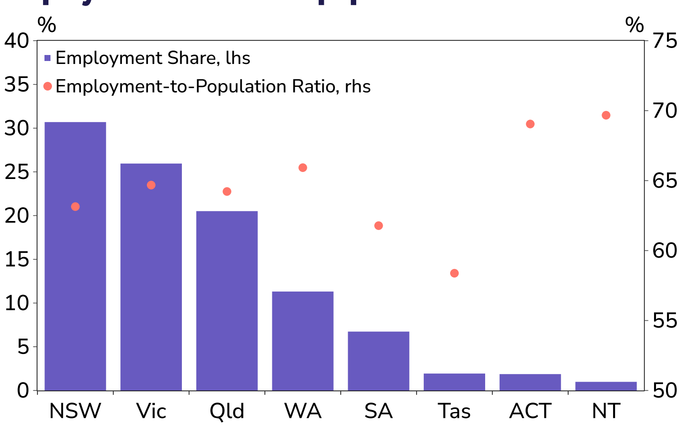
Shares of GSP

Real, Chain Volumes, 2024/25, Percentage



Source: ABS, Macrobond, Westpac Economics

Employment shares and population ratios



Source: ABS, Macrobond, Westpac Economics

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Federal Budget: On the upside of the revenue cycle, the challenge is policy timing

#federalbudget #australia #aud #inflation

By Pat Bustamante
Senior Economist, Westpac

10:10 April 28 2026

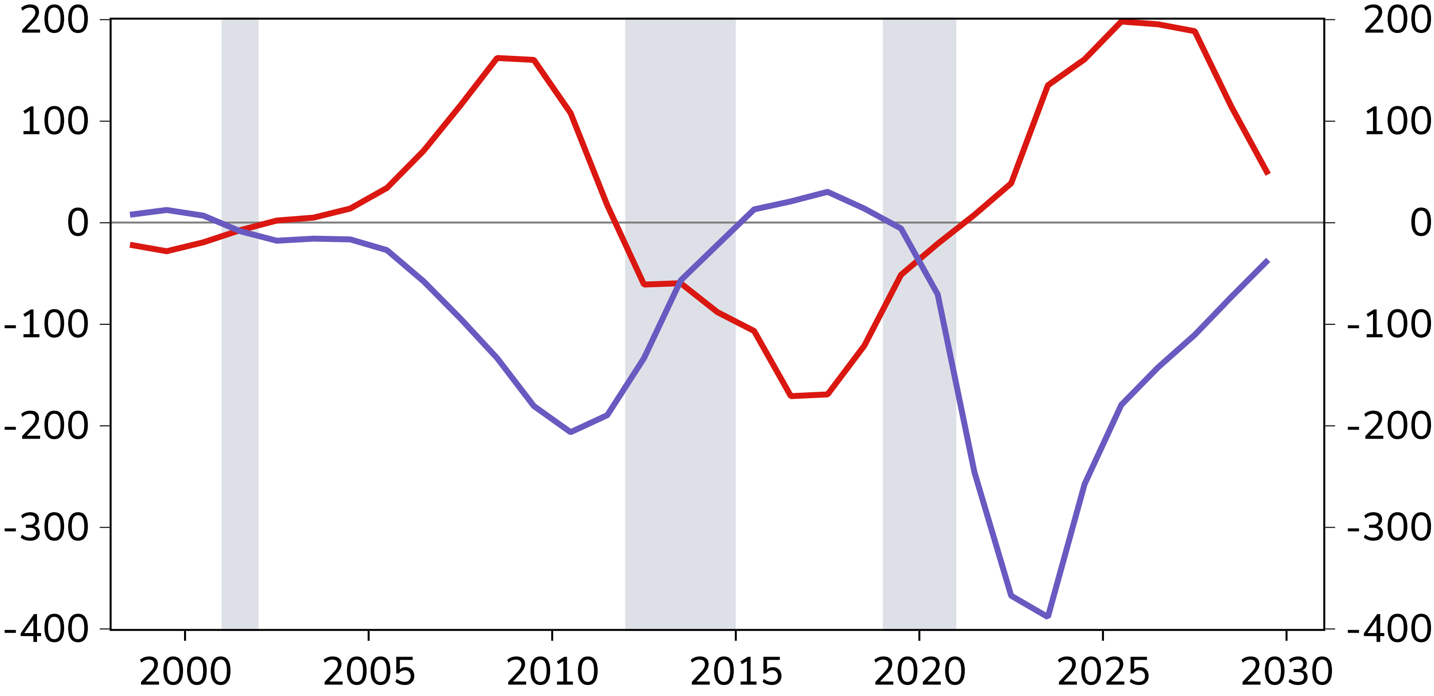
Share

With only a modest budget windfall, changes in the Budget bottom line will hinge on discretionary decisions, which history shows are triggered once labour-market risks become material.

- Higher commodity prices and inflation – among the so-called “parameter variations” that drive government budget outcomes – are expected to deliver a net fiscal windfall, despite higher costs driven by elevated inflation, slower growth, and rising unemployment. Treasury is likely to publish a net improvement of around $23bn across the forward estimates. This is less than the net improvement of $55bn we expect will eventually be published based on our less conservative commodity price (and thus revenue) forecasts.
- Given this relatively small upgrade, the change in the published budget bottom line will largely be determined by discretionary policy decisions. Surprisingly, discretionary fiscal policy has been pro-cyclical over the past 30 years: discretionary measures tending to expand when the nominal economy delivers windfalls and to tighten when there are shortfalls.
- Only during major crises (such as the GFC and COVID) has discretionary fiscal policy played a significant counter-cyclical role. However, fiscal measures have tended to be late and slow to unwind, with the maximum ‘policy impact’ occurring when the recovery was under way and improving economic conditions were delivering revenue windfalls – a lesson perhaps for the current conflict.
- Our analysis also shows that discretionary fiscal policy is highly responsive to labour market risks. Policy has historically become much more activist once employment growth forecasts are downgraded by at least 0.35ppts across the forward estimates. A change of this magnitude is consistent with the economic downgrades we expect this Budget.
- As a result, the scale of any discretionary fiscal response is likely to depend critically on Treasury’s assessment of the labour market fallout from the conflict in the Middle East. **Given the nature of the current oil price shock, a response that is not targeted and temporary risks exacerbating the cycle.**

Economic variations and discretionary policy*

Impact on the UCB, Rolling 3 year sum, $billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

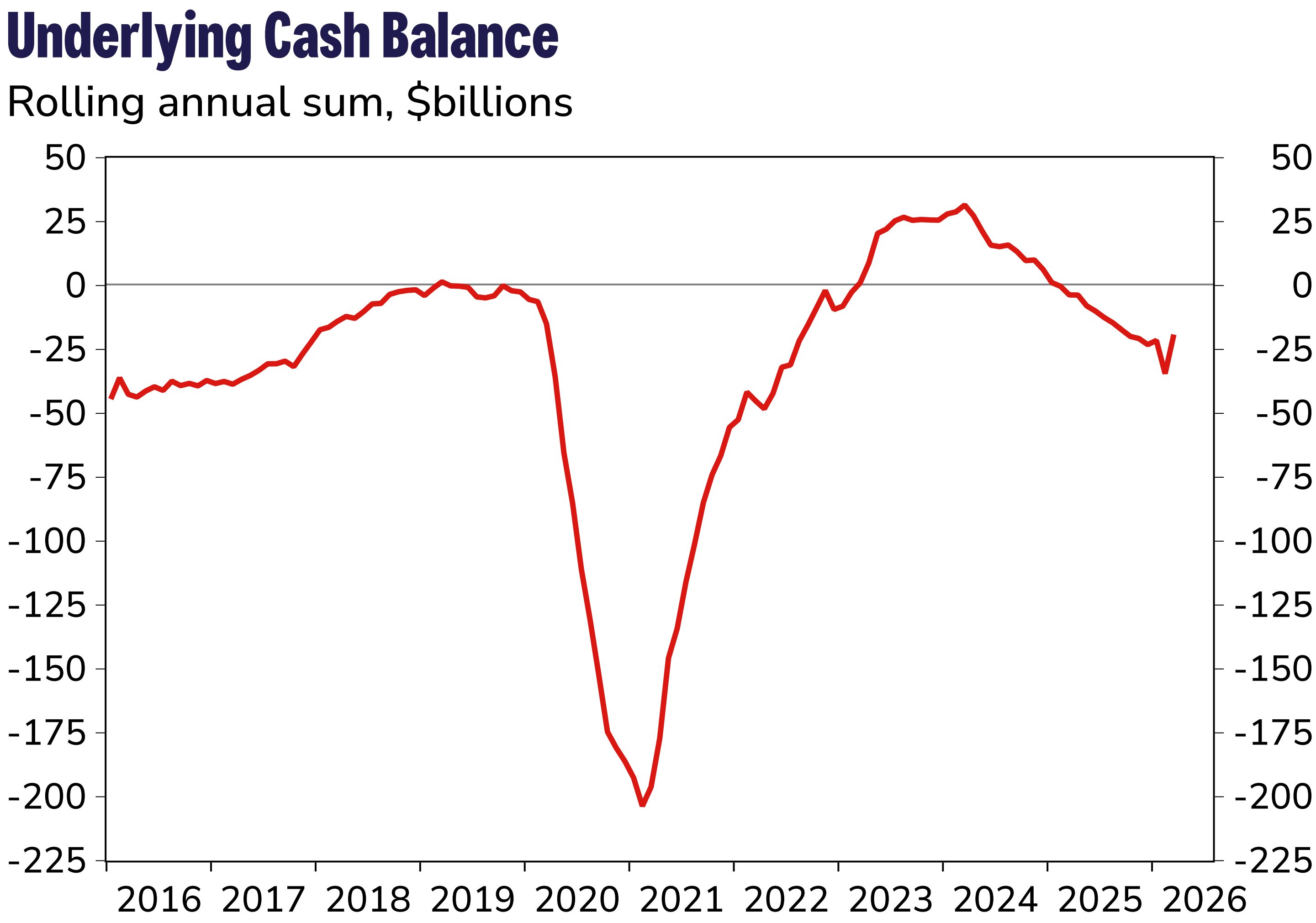
*shaded periods denote counter-cyclical policy where variations and discretionary policy work in opposite direction.

The Middle East crisis and associated global energy shock will have a complex and varied impact on Federal government finances. Higher-than-assumed commodity prices and elevated inflation will continue to lift nominal incomes and tax receipts. But the Budget impact of the Middle East conflict does not stop there. **In a shock like the current one, where economic and employment growth slow, unemployment ticks higher and inflation accelerates, welfare payments and the cost of government rise as well.**

We expect economic growth to slow materially through 2026 to just 1%yr, down from 2.6%yr in calendar 2025. The unemployment rate is forecast to drift higher to almost 5% by year-end, around ½ppt above our pre-conflict profile, and remain elevated through 2027. Combined with accelerating inflation, now expected to peak at around 5.4%yr in Q2 2026 (up from around 3.8%yr expected prior to the conflict), this will push government payments onto a permanently higher path in nominal terms.

The Starting Position is Strong

On Friday 24 April the Department of Finance released the final set of monthly financial statements ahead of the May 12 Budget, and they did not disappoint. The underlying cash balance is currently running around $17bn ahead of the profile set out in the December MYEFO, published only a few months ago. This upside has been driven by the cyclical upswing which is boosting tax collections and making it harder for the Government to get capital out the door because of capacity constraints in certain industries (most notably construction). Looking at the rolling 12-month cash balance, the steady deterioration observed since March 2024 has now stabilised, and we expect an improvement from here.



Source: Australian Department of Finance, Macrobond, Westpac Economics

Cash tax collections are running around $7.2bn ahead of profile. This reflects stronger-than-expected personal income tax collections (around $5bn) and company tax receipts (around $2bn). We expect upside surprises to continue once miners make wash-up payments in May, reflecting higher commodity prices across the 2025 calendar year – particularly for gold.

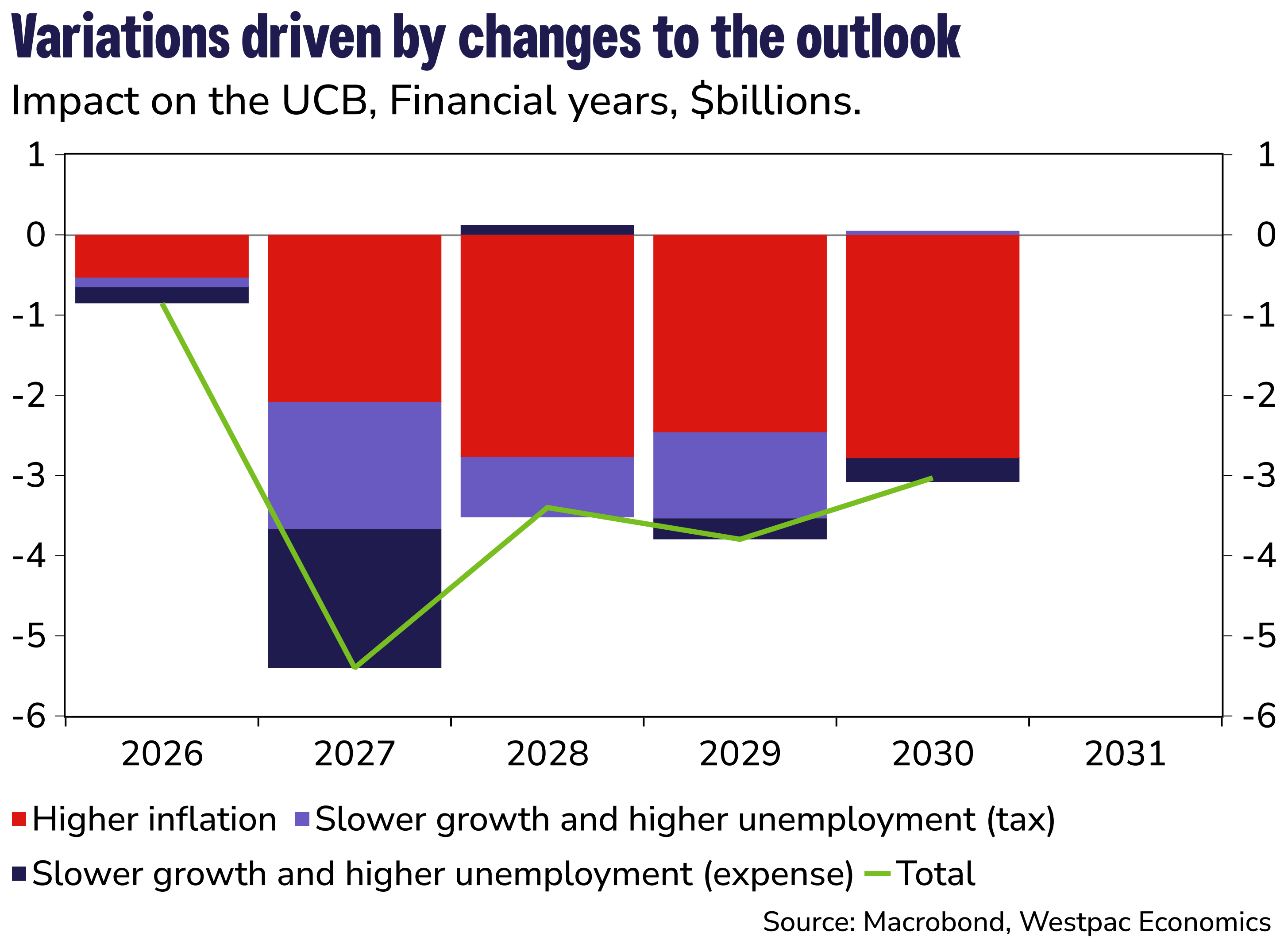
The cyclical upswing is also making it harder for the government to get money out the door. Payments are running around $10bn below forecast, including $2bn in investment in non-financial assets (defence, IT and infrastructure) and $4bn in grants and subsidies to the states, reflecting slower progress payments. In addition, the headline deficit is ahead of profile with off-budget spending (including CEFC and Housing Australia) coming in around $3bn below profile.

Overall, this points to a meaningful improvement in the bottom line, with the deficit now tracking at close to half of what was previously expected.

Payments Pressures Rise in a Stagflationary Environment

But the outlook becomes more challenging from here. Parameter variations will push payments higher mechanically, with inflation lifting both service delivery costs and the indexation of programs such as pensions and income support. **We estimate this will add roughly $11 billion to spending over the five years to FY2030.**

In addition, slower activity and employment growth, alongside a higher unemployment rate, will raise social payments and reduce income-tax collections, at a cost of around $6bn over the same period. **In total, these forces are likely to worsen the budget position by around $17bn.**



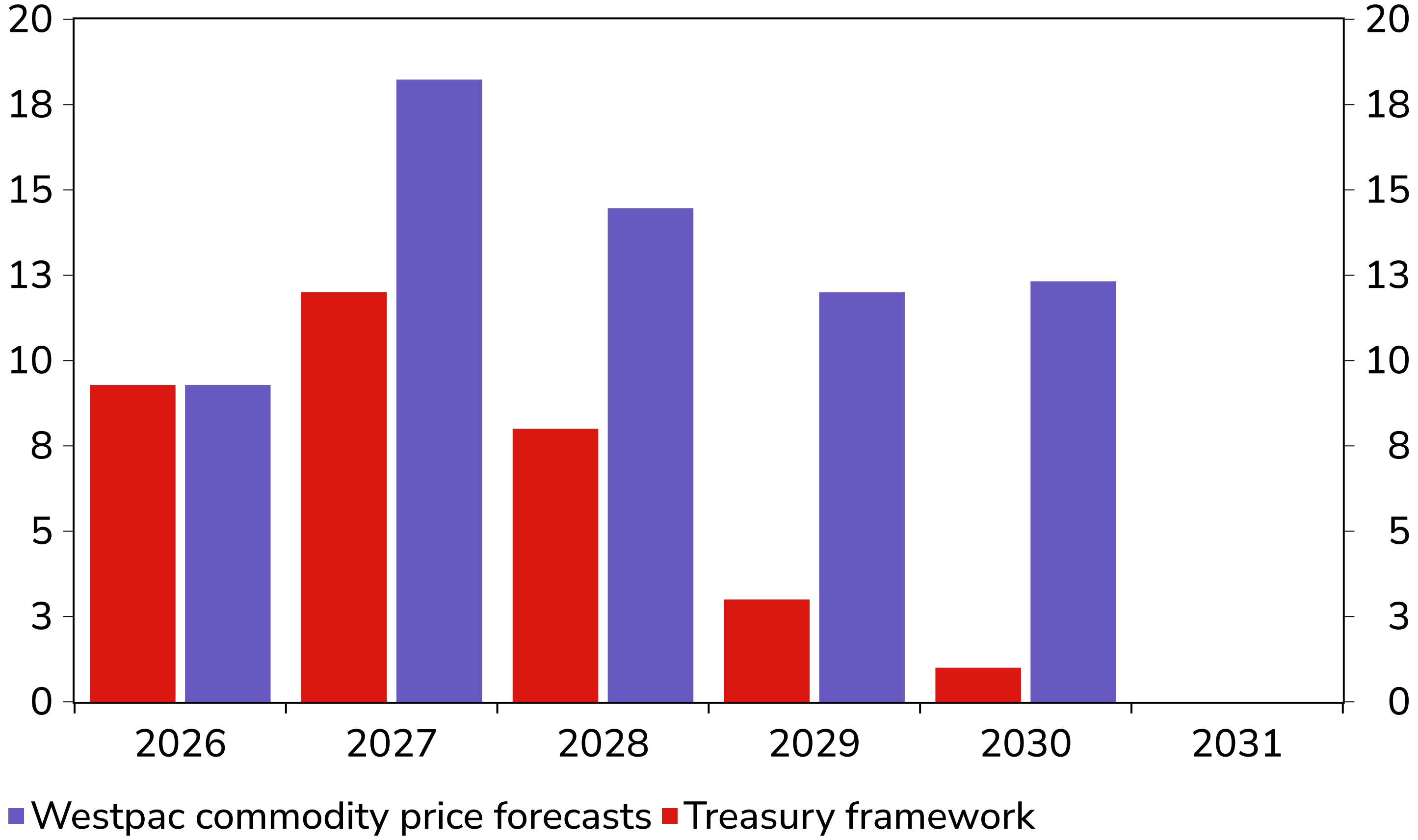
Commodity Revenues More Than Offset Higher Costs

However, these costs are more than offset, at least initially, by higher tax collections. Higher gold prices, elevated inflation and direct spillovers from the Middle East conflict into global commodity markets are set to lift company tax receipts by around **$60bn over the next five years, with roughly $20bn attributable to conflict-driven commodity price gains**.

But much of that uplift is unlikely to appear in full in the 12 May Federal Budget. Treasury's standard approach assumes commodity export prices fall from current spot levels back toward long-run fundamentals, typically over four quarters (and eight quarters for gold). On those more conservative assumptions, the implied windfall is lower at around $29.5bn over five years, with the remainder only materialising in later budgets or final budget outcomes.

Tax upgrades driven by elevated commodity prices

Impact on the UCB, Financial years, $billions.

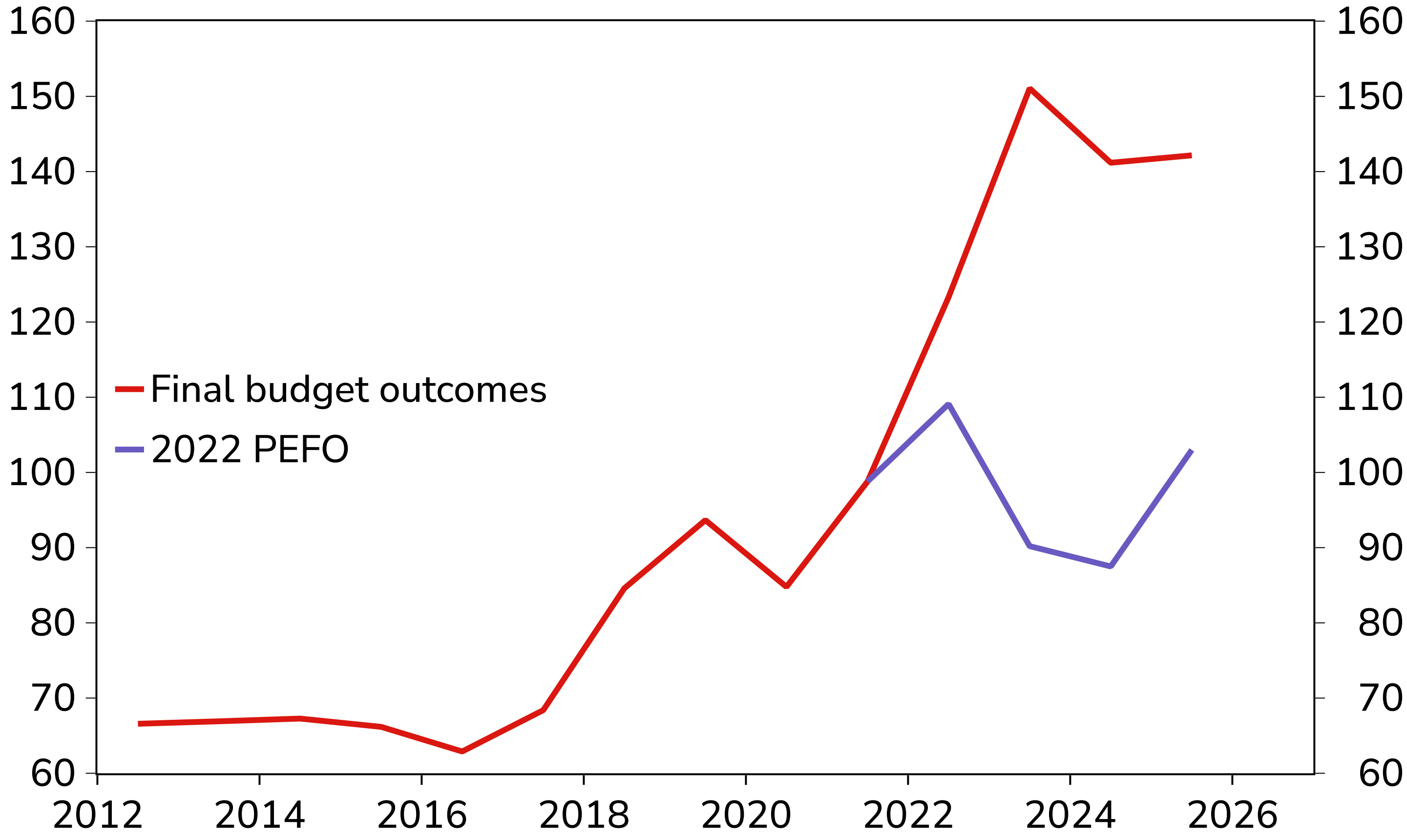


Source: Macrobond, Westpac Economics

This familiar pattern, conservative commodity price assumptions up front followed by stronger-than-expected company tax receipts down the track, has become a defining feature of Australia’s recent fiscal narrative. **Over the four years to the end of FY2025, company tax receipts were a staggering $168bn higher than projected in the 2022 Pre-Election Fiscal Outlook (or an average of $42bn higher per year).**

Company tax forecast and outcomes

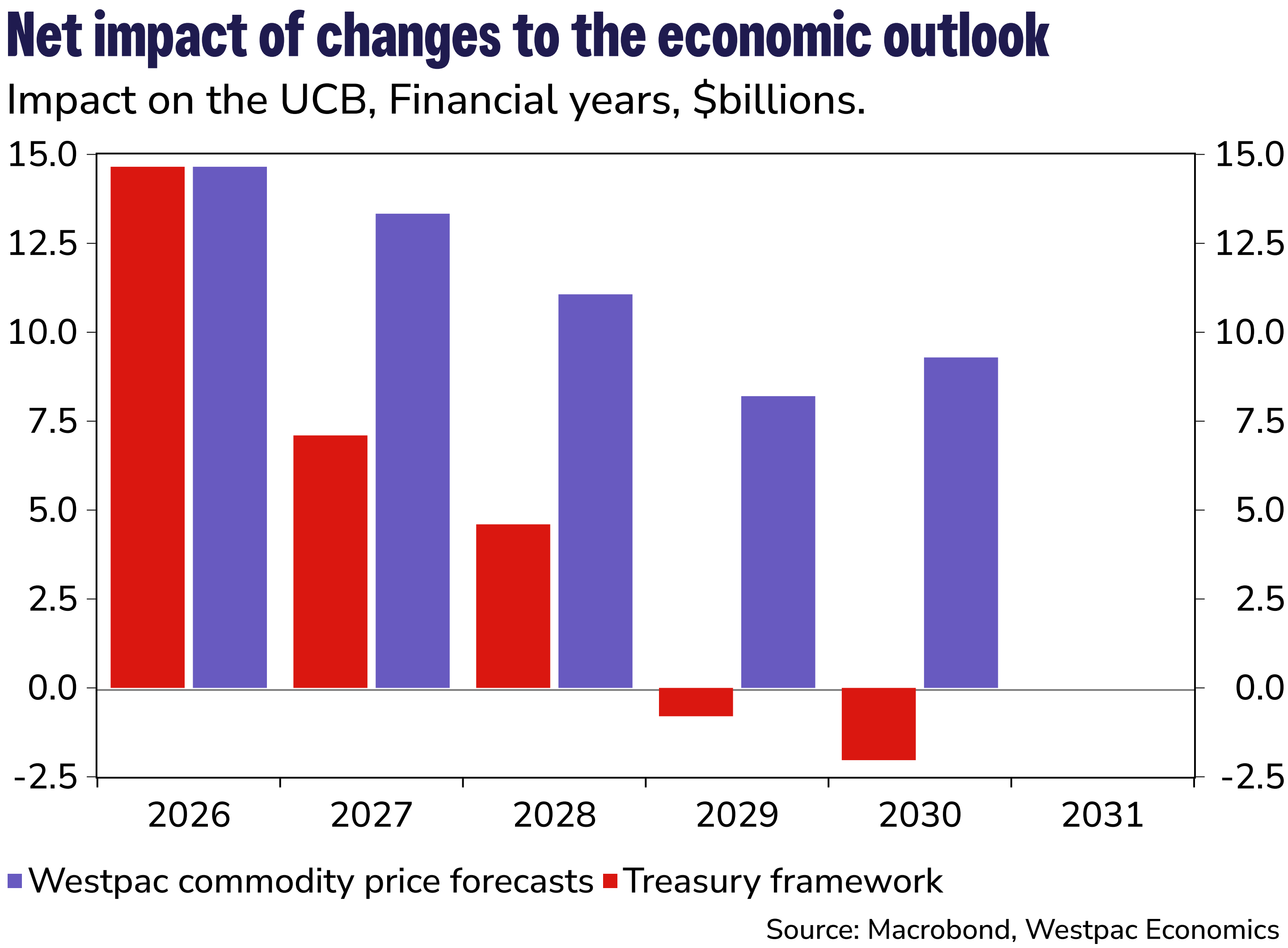
Financial years, $billions.



Source: Macrobond, Westpac Economics

Delivering the Budget a Temporary Windfall

Under Treasury's standard assumptions, what will be published on 12 May, the net gain to the Budget is closer to $23bn over the next five years, with net gains frontloaded, shifting to negative over the final two years of the forward estimates. Under our less conservative commodity-price forecast, the windfall is materially larger, closer to $55bn over the same period.



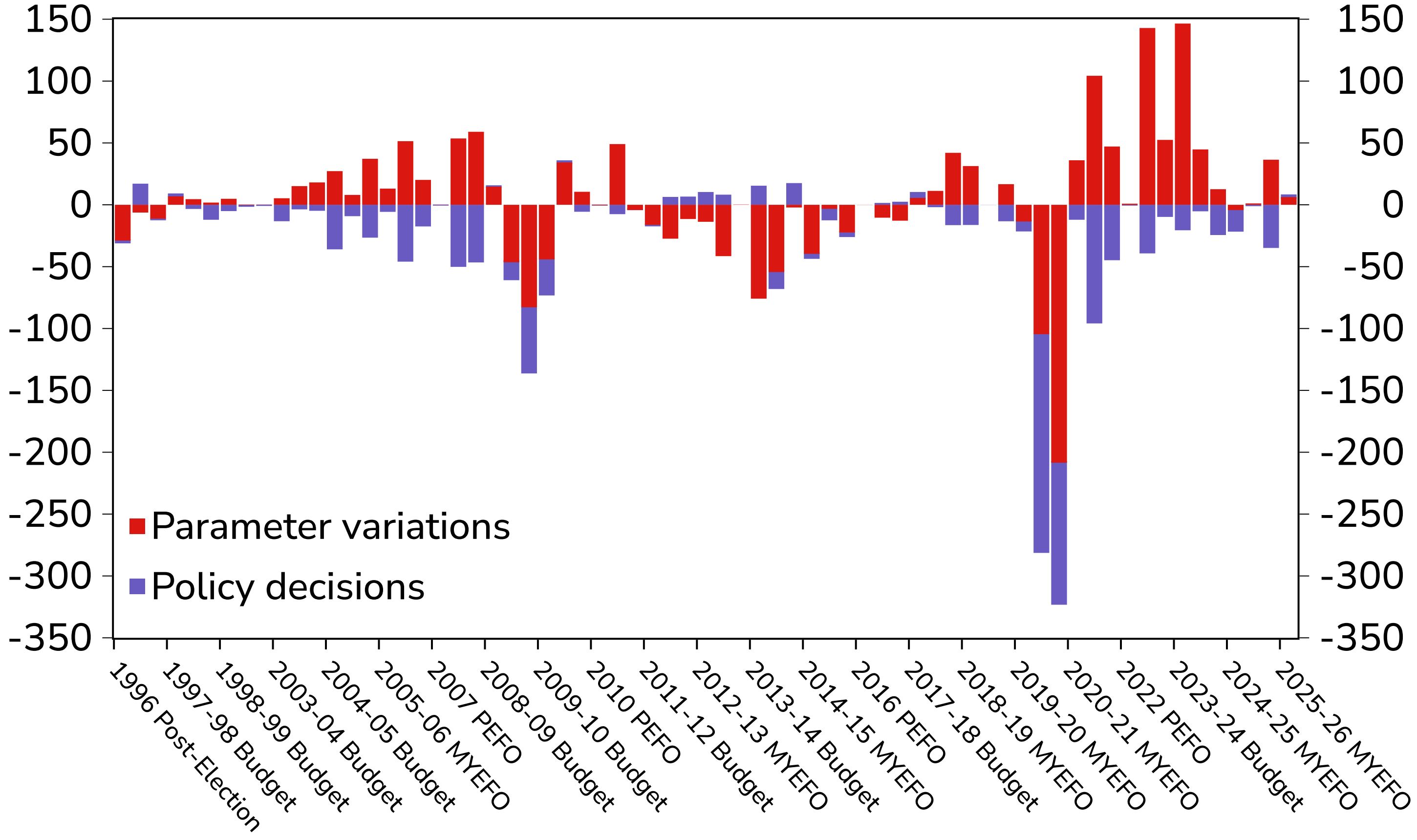
Discretionary Policy: The Key Swing Factor

The big unknown at this stage is how the government chooses to respond to the economic and social fallout from the conflict in the Middle East and how this is balanced against other reforms, most notably those aimed at reining in spending on the NDIS and promoting intergenerational equity. Given relatively small upgrades, **the Federal government will be navigating uncharted waters where policy decisions will determine whether the budget position ultimately improves or deteriorates.**

This is different from the historic norm where the impact of variations driven by changes to the economic outlook (red bars in the chart below) have been significantly larger than the impact of policy changes (purple bars).

Economic variations and discretionary policy by round

Impact on the UCB over relevant forwards, $billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

Looking at government behaviour over the past 30 years, several clear regularities emerge.

First, discretionary fiscal policy has generally been pro-cyclical. That is, discretionary government decisions add to the fiscal impulse when the nominal economy and commodity prices deliver a budget windfall and vice versa. This pattern was especially pronounced in the pre-pandemic decade and in the aftermath of COVID, with discretionary government policy adding materially to the overall fiscal impulse.

For example, immediately prior to the pandemic discretionary policy changes improved the budget while variations driven by the nominal economy were subtracting from the budget – in other words, the nominal economy was surprising on the downside. This combination of tighter policy when the economy and commodity prices underwhelm likely contributed to the period of sluggish growth and below RBA target underlying inflation recorded at the time.

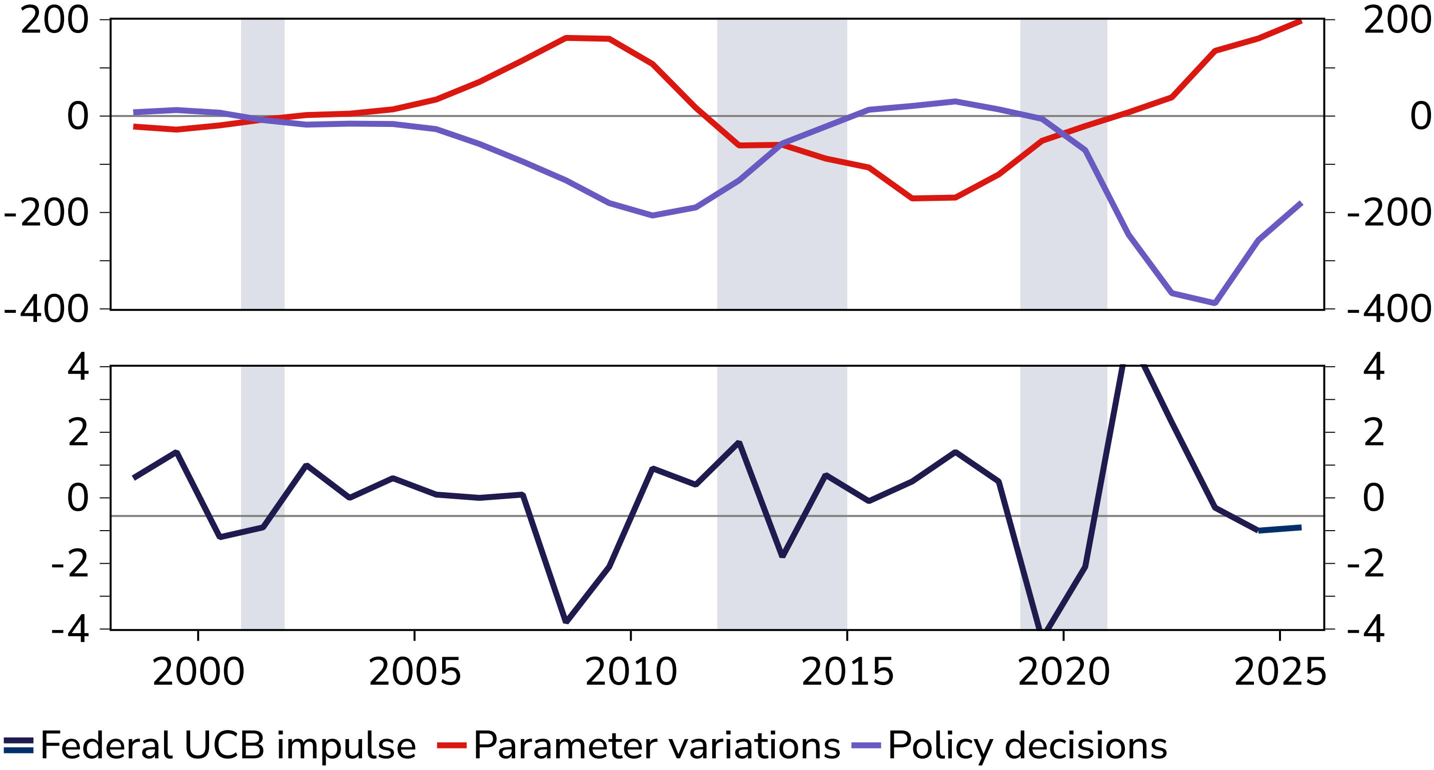
On average across the budget rounds since the 1996 post-election budget, around 75% of the budget windfalls have been spent.

Note that there are instances when the nominal economy could be growing more strongly than the real economy, such as when commodity prices are rising and inflation is elevated. In this world, “pro-cyclical” policy could be more justifiable, only where the real economy is softening.

Secondly, fiscal policy becomes counter-cyclical during crises, such as the GFC and COVID. Importantly, these episodes are typically characterised by a fiscal overshoot, with fiscal expansion persisting even as the shock dissipates and economic conditions improve. For example, peak policy impact around COVID was in the 2023FY, when a recovery was gaining traction and economic variations and nominal income growth were surprising to the upside.

Economic variations and discretionary policy*

Impact on the UCB, Rolling 3 year sum, $billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

*shaded periods denote counter-cyclical policy where variations and discretionary policy work in opposite direction.

Finally, discretionary spending has historically been highly responsive to labour market risks. Our modelling of how fiscal policy responds to changes in economic conditions and forecasts shows that policy is particularly sensitive to expectations for employment growth and unemployment, and that this response is non-linear.

Using historical budget data, we find statistically significant threshold effects. When employment growth is downgraded by at least 0.35ppts in a single budget round, governments have tended to shift into a more activist fiscal regime. A downgrade closer to ½ppt (which is consistent with Westpac Economics' recent downgrades) has, in the past, been associated with discretionary fiscal packages of at least $10bn over the forward estimates.

Taken together, this suggests that at least some of the windfall is likely to be spent, and possibly a large fraction of it. **The scale of any discretionary response will depend critically on Treasury's assessment of the labour-market implications of the conflict in the Middle East. While there is no sense of panic within government, policymakers are clearly alert to the downside risks.**

What next

Before the May 12 budget we will publish our final estimate of the bottom line including announced measures. As noted, unlike the most recent history, overall improvements will hinge on government policy rather than the economy. In addition, we will publish what this means for the national (federal and state) fiscal impulse going forward.

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It Depends on What You are Trying to Achieve

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By Luci Ellis
Chief Economist Westpac Group, Westpac

09:15 April 24 2026

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Speculation about tax reform in the upcoming federal budget abounds. That presumes a lot about the problems the budget should solve and whether the tax system is the right solution.

- Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.

- Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.
- There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. "Boost revenue" is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim "never let a good crisis go to waste" and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while revenue windfalls from higher commodity prices are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that "people expect more from government nowadays" and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government's effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is not true in Australia and most other advanced economies outside North America.

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts) must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia's actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the simplified version we suggested in 2023, where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA's inflation target – regardless of actual inflation over the holding period.

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has previously shown, the size of government in Australia has increased substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

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Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
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AUD/NZD	1.2209	0.2%
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AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
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10 year bond	4.37	0.00
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Japan	2.52	-0.01
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Commodities	Current	Change
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11:30	AU ANZ Job Ads Apr	-	-3.1%
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18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
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Cliff Notes: conflict in the Middle East to cast a long shadow

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke & Ryan Wells

11:38 April 17 2026

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Key insights from the week that was.

The first detailed look at the mindset of Australian consumers and businesses amidst the Middle East conflict proved sobering. Our Westpac-MI Consumer Sentiment Index posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely 'family finances vs a year ago' (–16.7%) and 'time to buy a major household item'

(–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. Note though, the readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But arguably this is also the case for the US economy, University of Michigan consumer sentiment falling to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March; but, should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China’s Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East’s impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment’s support for GDP masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

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Expansionary impulse persists as states grapple with the shock

#fiscalpolicy #australia #aud #inflation #federalbudget

By Pat Bustamante
Senior Economist, Westpac

11:30 May 07 2026

Share

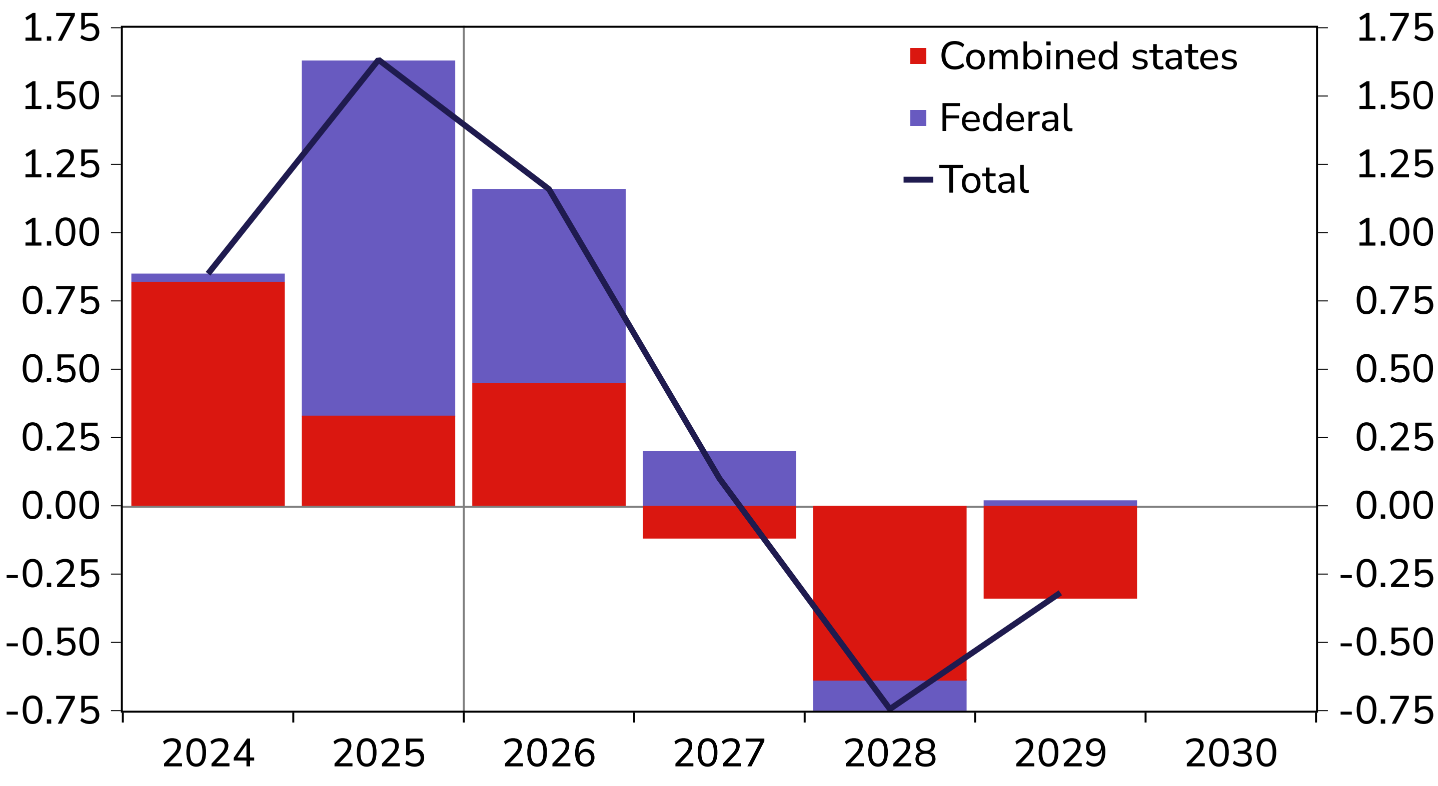
State budgets to deteriorate, with limited scope for further stimulus given an already expansionary national fiscal impulse. Any redistribution of the positive income shock is best delivered within the existing fiscal envelope.

- The combined state budget position will deteriorate as the Middle East shock weighs on revenue while lifting expenses, delaying the expected fiscal recovery by two years.

- State capital spending is easing as major infrastructure projects unwind, but net interest costs are rising sharply. By FY2029, States are increasingly borrowing to service their interest bills, an outcome that is likely to sharpen the focus on the need for fiscal consolidation.
- The national fiscal impulse is slightly expansionary in FY2027, even before factoring in additional policy support expected in upcoming state and federal budgets. This follows a substantial fiscal expansion of around 3.5ppt of GDP over the three years to FY2026, comparable in scale to the GFC. However, unlike past cycles, states drove a disproportionate share of this expansion, especially early on.
- With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

Fiscal impulse

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Prior to the escalation of the conflict in the Middle East, state and territory governments (the ‘states’) were projecting a steadily improving fiscal outlook. This was underpinned by an expected recovery in private sector activity, continued strength in employment growth, and inflation easing back towards the RBA’s 2.5% target.

The world has changed

For governments preparing upcoming budgets, the Middle East conflict could not have come at a worse time. Instead of a recovery in private sector activity, we now expect a sharp economic slowdown as the recent re-tightening in monetary conditions collides with a large global supply shock centred on energy.

We expect the RBA to deliver two additional 25bp rate hikes beyond the 25bp increase in May, aimed at preventing a sustained rise in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, the unemployment rate is expected to lift toward 5%, and trimmed mean inflation is forecast to rise to around 4% by year-end.

Our updated state-based forecasts (see here) have economic activity, employment, and dwelling price growth slowing abruptly in the consumer-led states of NSW and Victoria, while conditions hold up relatively better in the mining-based economies of Queensland and WA. In NSW and Victoria, year-average growth in GSP is now expected to fall below 1% in FY2027, less than half the rate we were forecasting in December 2025 (see here), with smaller downgrades elsewhere.

As a result, employment growth is expected to slow below population growth in NSW, Victoria, and Tasmania, while remaining broadly in line with population growth in the mining states and SA. Dwelling prices in NSW and Victoria are now forecast to effectively stagnate through 2026, down from around 5% growth expected late last year. This adjustment is already underway, with prices falling over the quarter to April 2026 in both these states.

This shift in the outlook has significant implications for the states' largest tax bases, particularly payroll tax, stamp duty, and gambling taxes. While GST revenue is likely to receive a near-term boost from stronger nominal spending, this will only partially offset the broader revenue drag.

If this wasn't enough to deal with, the negative supply shock will increase the costs of delivering health, education, and infrastructure services. Based on actual and expected input price increases, we estimate infrastructure development costs of around 5% higher in FY2027 than expected prior to the conflict. While smaller than the roughly 8-10% increase in costs we estimate for dwelling construction, the impact remains material. We currently expect this to be a one-off level shift in prices, with construction cost growth expected to normalise by FY2028. However, the longer the conflict persists, the greater the risk that elevated cost growth extends beyond FY2027.

Higher inflation will also lift non-labour costs across health and education. This will feed into labour costs through cost-of-living adjustments embedded in enterprise agreements. In addition, there's a risk of further spillover as workers try to protect real wages.

The result is a clear deterioration in state fiscal positions: weaker revenue growth alongside rising expenses, even before governments consider new policy measures to support households and businesses through this adverse supply shock.

Importantly, state governments are unlikely to benefit materially from commodity price windfalls, in contrast to the Commonwealth. Even in the mining states, stronger royalty revenues are expected to fall short of offsetting rising cost pressures. While higher energy prices will unambiguously lift national income, the distribution of these gains will be highly uneven.

State fiscal drift looks set to continue

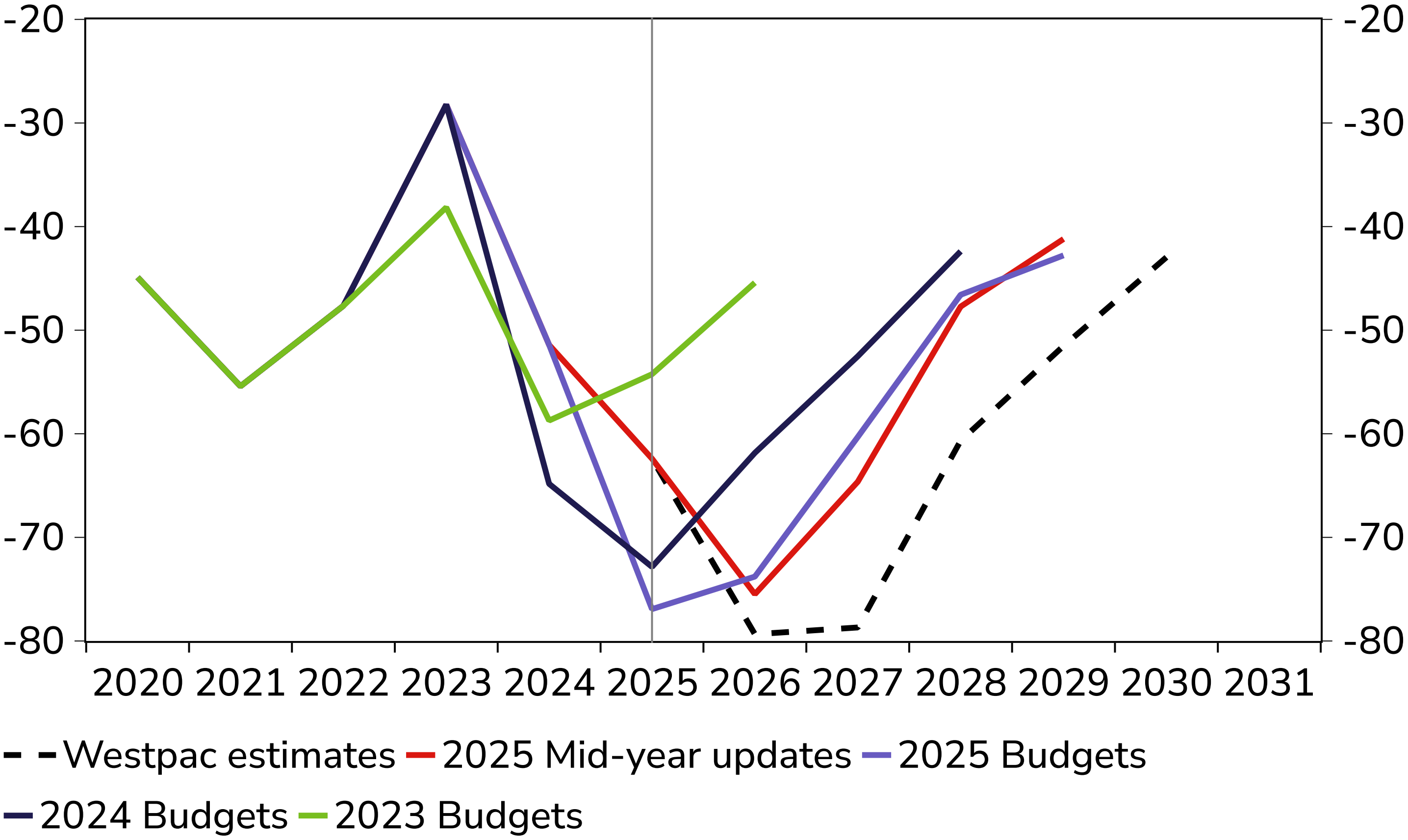
Based on Westpac Economics' outlook, and our mapping of macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around $50bn over the five years to FY2030.

The starting point for fiscal repair has also shifted. The turnaround in the combined cash balance is now expected from FY2028, two years later than the FY2026 timing embedded in last year's budget updates.

This excludes both recently announced and prospective policy support for households and businesses. Additional measures will place further pressure on fiscal positions. Victoria alone has announced around $18bn in new policies, while the Federal Government has also provided support, including via the fuel excise cut.

Budget outlook across the states

Non-financial public sector, cash balance, $billions



Source: State budget papers, Macrobond, Westpac Economics

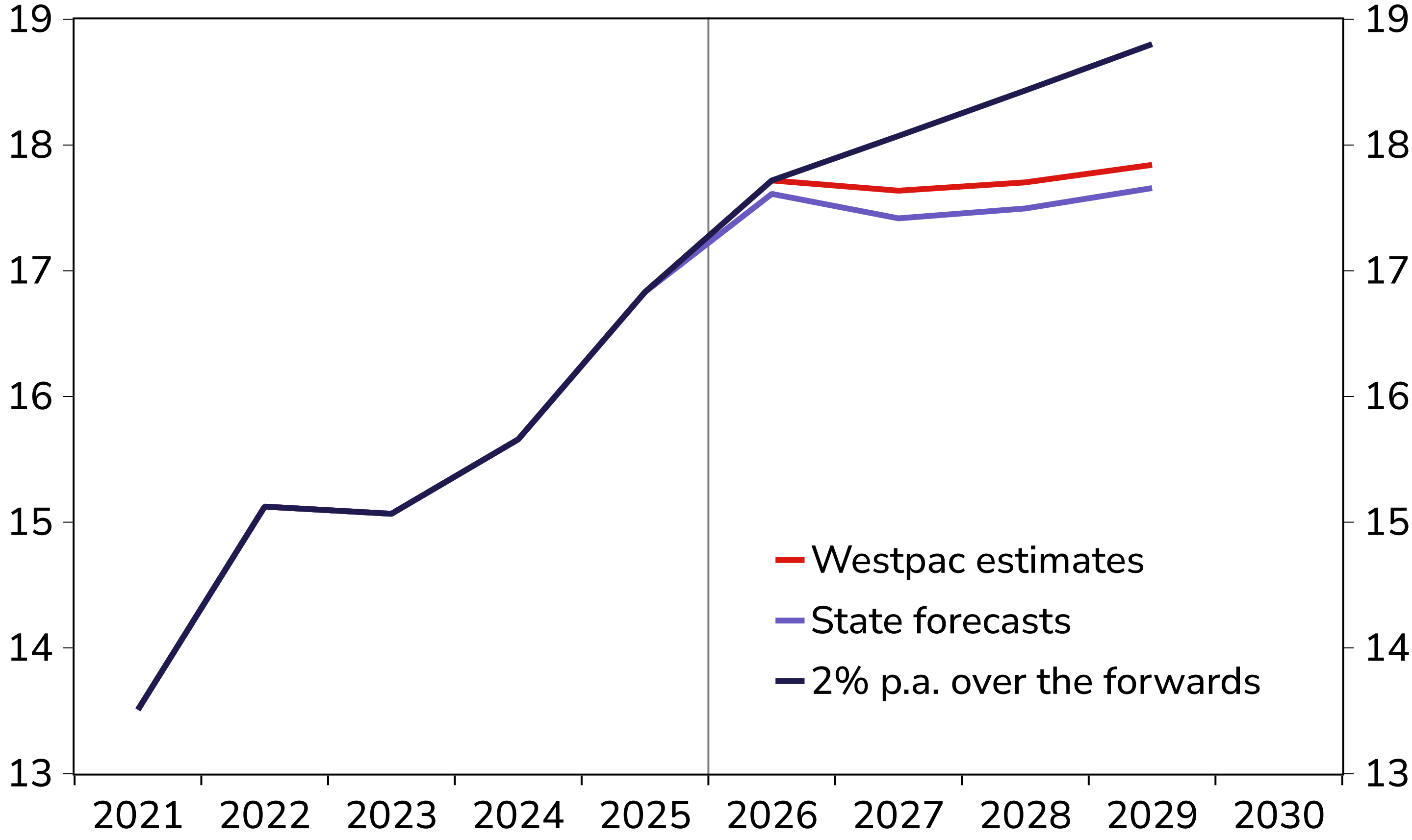
Despite the expected deterioration, risks remain skewed to the downside.

There is a degree of optimism embedded in these estimates. In part because we assume no change in policy, recurrent spending per capita is assumed to stabilise over the forecast period, following a sharp 30% increase over the five years to FY2026. On current settings, this implies a decline in real services per capita, an outcome that appears unlikely given recent budgets have been focused on expanding public service delivery, particularly across housing, health and education.

If instead spending growth moderates only partially, to around 2.0% per annum from the 5% pace seen over the past five years, recurrent expenditure would be around $35bn higher by FY2029. This would see the combined cash deficit widen materially, from around $50bn to closer to $85bn by FY2029.

Recurrent payments per capita across the states

Non-financial public sector, $000s



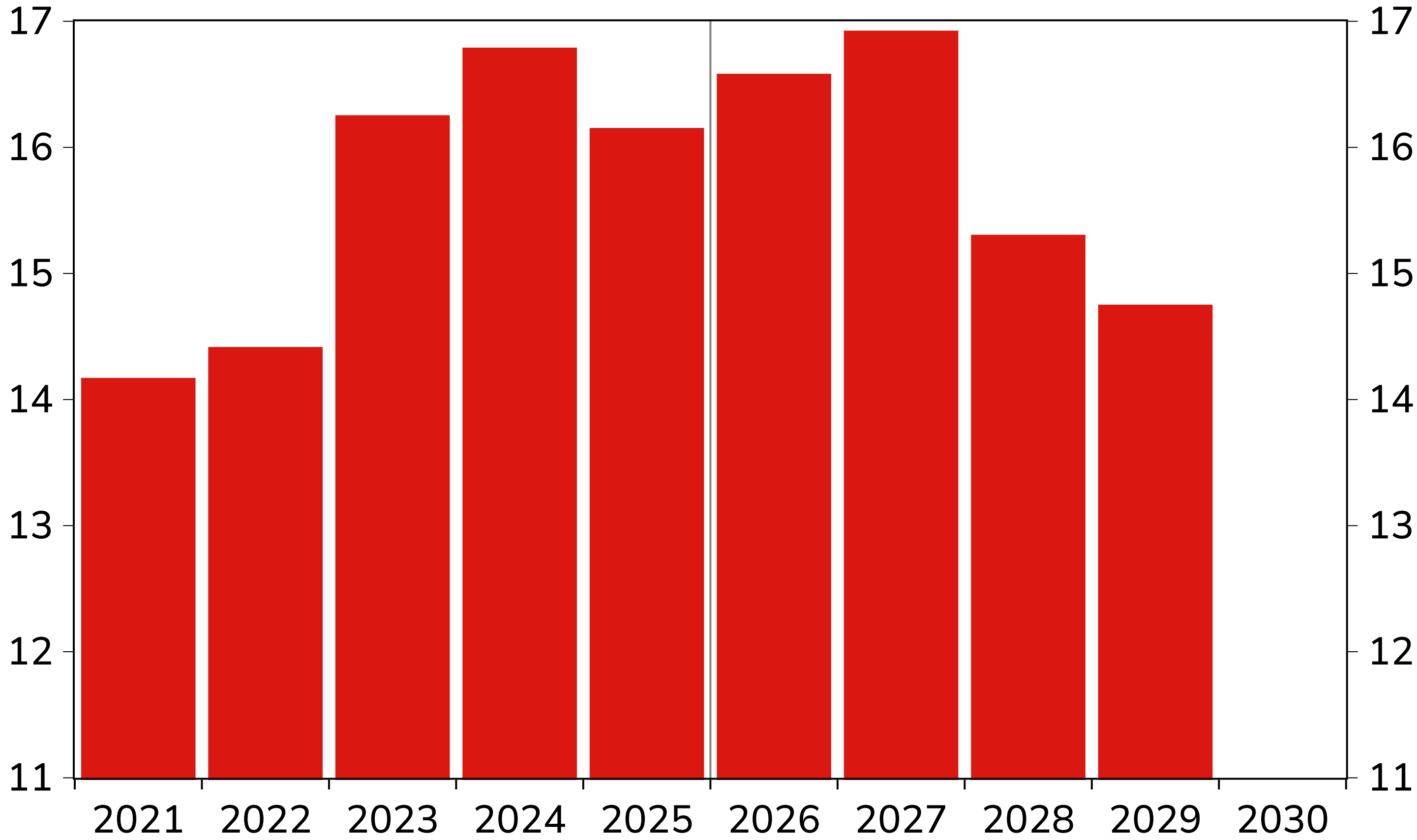
Source: State budget papers, Macrobond, Westpac Economics

The combined fiscal outlook is also shifting.

Capital spending has surged in recent years, rising from around 12% of total outflows (recurrent plus capital outlays) in FY2022 to a peak of almost 17% in FY2027. However, this share is expected to ease back to around 14.5% by FY2029 as the current pipeline of major projects rolls off.

Infrastructure investment

% share of total outlays



Source: State budget papers, Macrobond, Westpac Economics

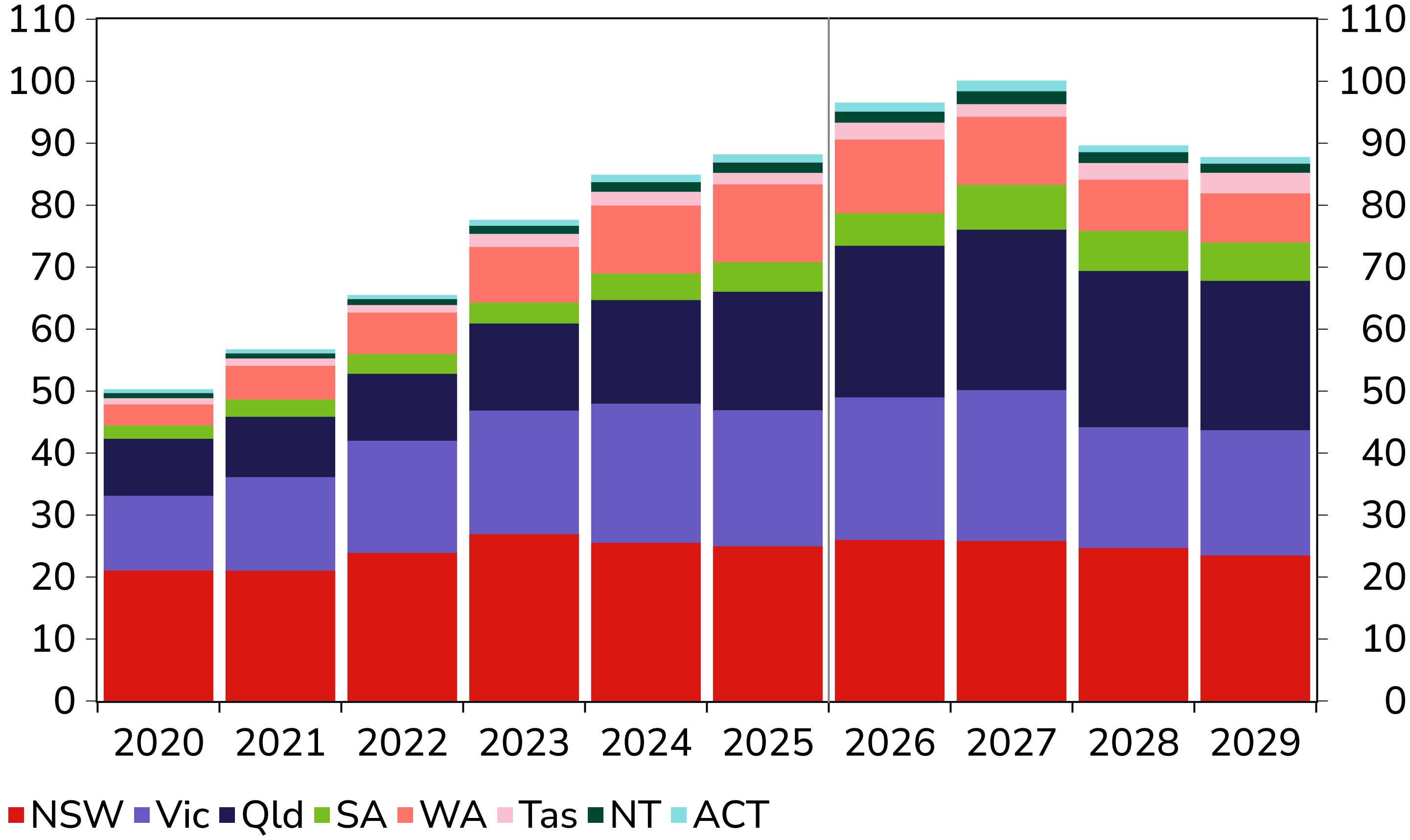
We are now at (or near) peak levels of public capital expenditure. A significant wave of transport ‘mega-projects’ is moving through completion. In Sydney, this includes WestConnex (largely complete), the Metro (with the Southwest line due to open in 2026 and the Western extension by 2032), and Western Sydney Airport (scheduled for completion in 2026).

In Melbourne, key projects include the Metro Tunnel (completed in late 2025) and the Airport Rail Link (targeted for 2029), alongside much longer-dated and more uncertain timelines for the Suburban Rail Loop and Geelong Fast Rail.

In contrast, Brisbane and south-east Queensland retain a more extended pipeline. Major projects, including Cross River Rail (2025–26) and Gold Coast Light Rail (2026), are complemented by a broader wave of infrastructure investment supporting activity through to the 2032 Brisbane Olympics.

Infrastructure pipeline

Non-financial public sector, $billions



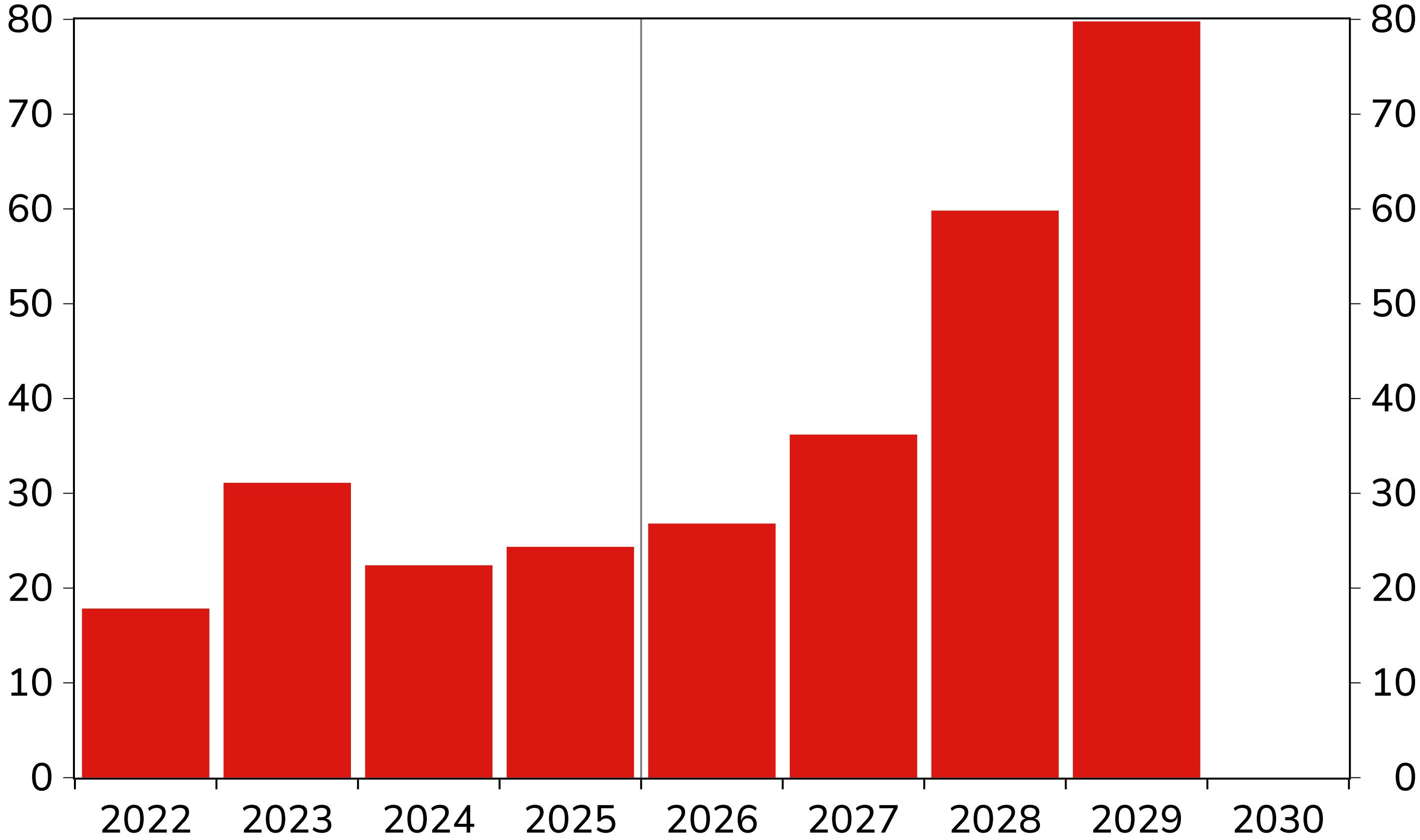
Source: State budget papers, Macrobond, Westpac Economics

At the same time, net interest costs are rising rapidly. By FY2029, we estimate that around 80% of state borrowing will be used to service interest payments, reflecting both a higher global cost of capital and a materially larger stock of debt. This is likely to sharpen the focus on the need for fiscal consolidation.

This dynamic is becoming increasingly important. A larger debt stock, combined with elevated borrowing costs, will constrain fiscal flexibility, particularly in an environment where global interest rates remain higher for longer.

Interest payments

% share of cash deficits



Source: State budget papers, Macrobond, Westpac Economics

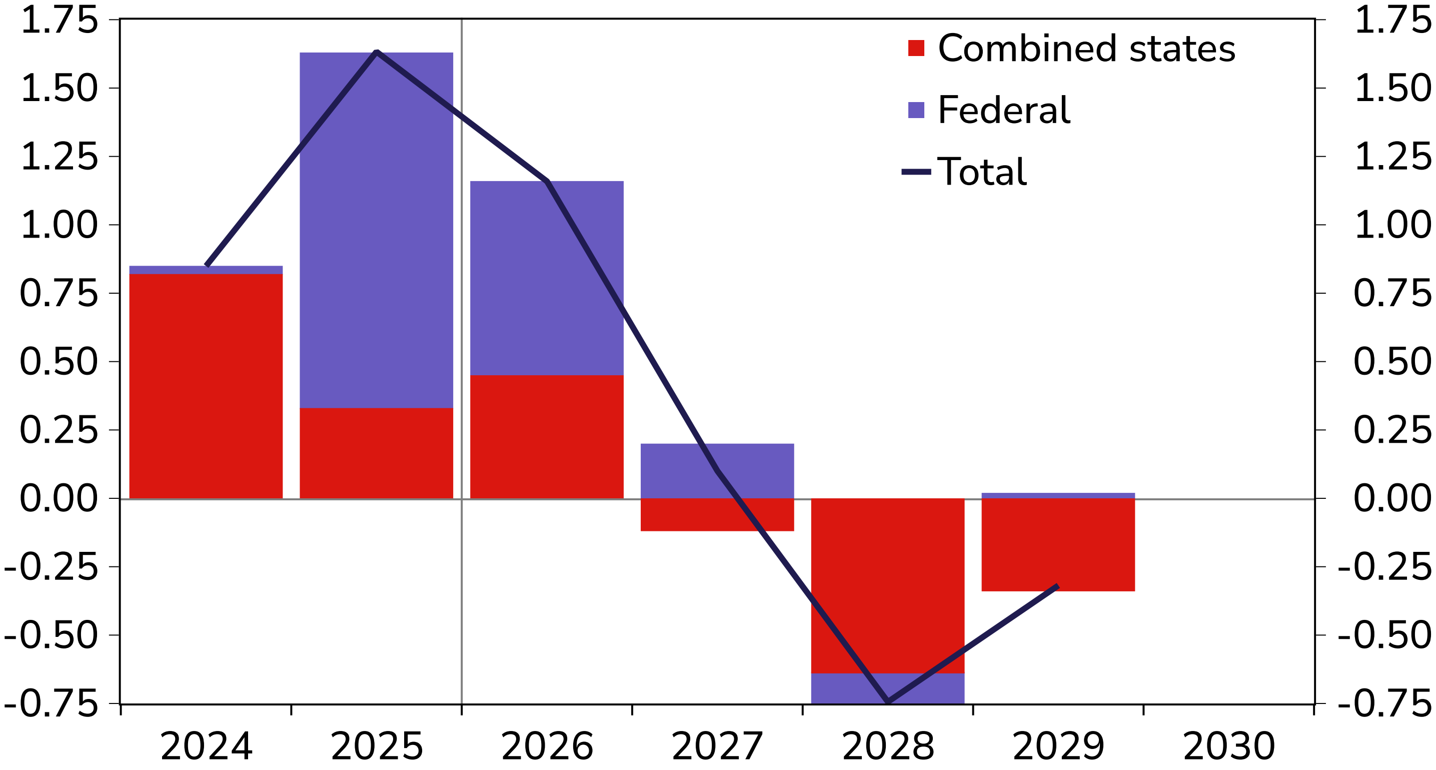
What about the national fiscal impulse? Limited room for further stimulus

The fiscal impulse measures the net contribution of government to aggregate demand. When governments are balancing their books and net outflows (consumption and investment) equals inflows (mainly tax revenue) the impulse will be flat or neutral. The change in the impulse is important when looking at the change in demand, activity, and inflationary pressures.

On our estimates, the combined fiscal impulse is slightly expansionary in FY2027. This follows an expansionary policy stance over the past three years where the national fiscal impulse was around 3.5ppts of nominal GDP, an increase comparable to the post-GFC stimulus in 2009–10.

Fiscal impulse

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

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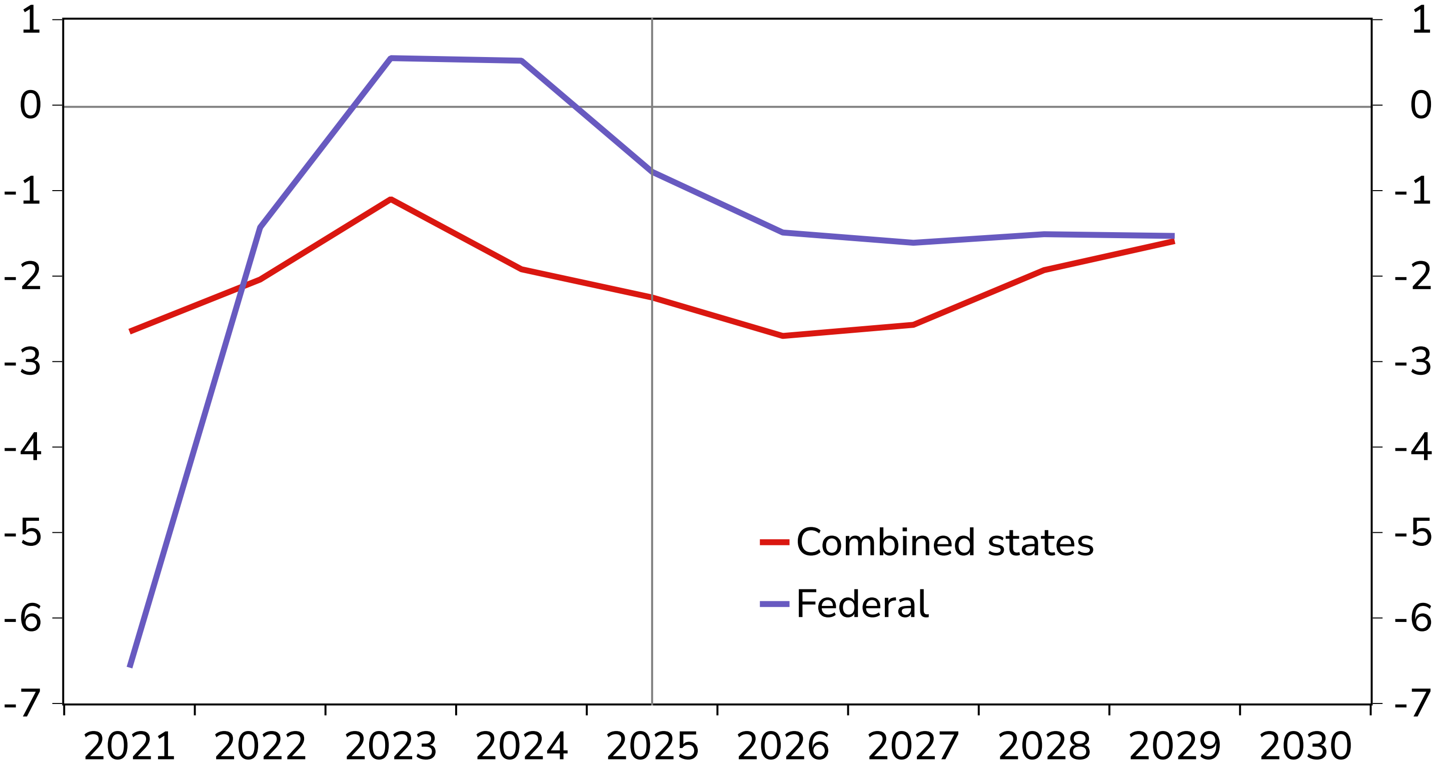
However, unlike the GFC, this recent expansion has been driven by the states with the combined cash deficits larger than the Federal headline cash deficit. This is unusual: historically, large fiscal expansions have typically been led by the Commonwealth, but in the current cycle it is state spending, particularly infrastructure, that has dominated the impulse.

Cash budget balances*

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

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Looking ahead, the slightly expansionary impulse suggests limited incremental support to demand from fiscal policy. In principle, this should help ease pressure on capacity and inflation. However, given the ongoing pipeline of policy measures and the political imperative to support households during this oil price shock, there is a clear risk that fiscal settings remain more expansionary than currently assumed.

Bottom line

The shift in the outlook leaves state budgets in a materially weaker position. A combination of softer revenue growth, rising cost pressures and an increasing interest burden is set to delay fiscal repair. With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
AUD/NZD	1.2209	0.2%
AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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Cliff Notes: policy perspectives from across the globe

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Illiana Jain, Ryan Wells & Mantas Vanagas

09:42 May 01 2026

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Key insights from the week that was.

In Australia, the Q1 CPI report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, Chief Economist Luci Ellis reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our preliminary note sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, the FOMC then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that “upside risks to inflation and downside risks to growth have intensified” and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March’s baseline and the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision”. Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England’s April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee’s readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages $108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages $127 this quarter and remains above $100 well into 2028 – would likely require “a forceful tightening in monetary policy”, however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE’s most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
AUD/NZD	1.2209	0.2%
AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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10 April 2026

HORMUZ HIT CPI & CORE INFLATION

The magnitude of the shock has significant implications

Key points

- The Iran conflict is the largest energy shock since the oil crises of the 1970s/80s. For more details on the scenario underpinning these projections please refer to Middle East Crisis Update.
- Westpac is forecasting a 1.5%qtr/4.2%yr gain in the March quarter CPI. The Trimmed Mean is forecast to lift 0.9%qtr/3.5%yr.
- Headline inflation is now peaking at 5.4%yr in the June quarter before easing back to 4.6%yr by end 2026.
- Core inflation peaks around 4%yr in the second half of 2026 and does not return to 3%yr till the end of 2027.
- The monthly CPI to rise 1.3% in March and April with the annual pace peaking at 5.8%yr in May.
- The Trimmed Mean is set to rise 0.2% in March followed by 0.5% increase in April; the annual pace peaks around 4%yr in June and holds this pace till year end.

Breakdown of near term inflation forecasts

	Mar–26	Mar–26	Apr–26	May–26
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**1.0**	**0.6**	**0.9**	**0.5**
of which, bread & cereals	0.6	0.9	–0.1	–0.2
of which, meat & seafood	1.2	0.3	0.0	0.9
of which, dairy prod.	0.3	0.9	0.3	–0.1
of which, fruit & vegetables	1.9	2.8	4.1	0.5
of which, food products	1.0	0.0	0.8	0.3
of which, non–alcohol bev.	1.1	0.5	–0.5	1.8
Alcohol & tobacco	**1.1**	**0.3**	**0.2**	**0.8**
of which, alcohol	1.1	0.4	–0.2	1.2
of which, tobacco	1.2	1.4	1.0	–0.2
Clothing & footwear	**1.6**	**–4.2**	**4.8**	**–1.9**
of which, garments	1.3	–3.7	5.5	–1.7
Housing	**3.0**	**0.2**	**0.2**	**0.1**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	0.8	0.2	0.3	0.3
of which, electricity	21.9	0.0	0.0	0.0
of which, gas & other fuels	1.0	–0.1	–0.6	–2.0
H/hold contents & services	**–0.3**	**–1.2**	**0.4**	**–0.3**
Health	**2.3**	**–0.1**	**2.1**	**–0.3**
Transportation	2.2	9.7	1.1	2.0
of which, auto fuel	5.9	34.9	1.8	5.6
Communication	**–0.2**	**–0.1**	**0.6**	**0.3**
Recreation	**–1.0**	**0.2**	**4.0**	**–2.3**
of which, holiday travel	–3.2	0.7	7.3	–5.2
Education	**4.3**	**0.0**	**0.0**	**0.0**
Financial & insurance	**0.9**	**0.4**	**0.2**	**0.1**
CPI: All groups	**1.5**	**1.3**	**1.3**	**0.0**

Sources: ABS, Westpac Banking Corporation

- Pass-through to construction inputs has been reported by Tradelinks to be greater than usual.

A crude shock, surcharges may change expectations

Justin Smirk
Senior Economist

A materially bigger and more persistent shock …

As noted in our Middle East Crisis Update, a prolonged disruption in the Gulf is sustaining higher energy prices. We now have Brent averaging around US$120/bbl in the June quarter. This is based on our assessment of unfolding infrastructure damage and a slow recovery in shipping traffic through the Strait of Hormuz.

So despite the announced cut in fuel excise, we expect CPI inflation to peak at 5.4%yr in the June quarter, while the monthly measure, which the ABS highlights as the main indicator and can be significantly more volatile that the quarterly series, may peak close to 6%yr in May.

Westpac expects core inflation, as measured by the quarterly Trimmed Mean, peaking around 4% in the second half of year; food, household services and even new dwelling prices, alongside broader non-energy pass-through, are key risks to our estimates. We also note that the monthly TM spikes a bit faster hitting a 4.0%yr pace by June.

In response, the RBA is now expected to deliver three rate hikes (May, June, August), taking the cash rate to a peak of 4.85%. As the combined supply shock and tighter policy weigh on demand, GDP growth is expected to trough at 1%yr in 2027 while unemployment peaks around 5% at end 2026. A deeper dive into these issue are summarised in the video by the Westpac Economics Team led by Luci Ellis "Longer conflict, higher inflation and cash rate"

This was, of course, before the announcement of a two-week ceasefire on the 8th of April (Asian time). This is obviously welcome and a positive risk scenario relative to the baseline we outlined last week and underpins our current inflation forecasts. Should the ceasefire hold – and that is a big if – a faster opening up of the Strait of Hormuz would result in energy prices tracking between the profile we currently have and the one underpinning the forecasts in the March

Revision to the March quarter CPI estimate

	Feb 24, 2026		Apr 10, 2026	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**1.2**	**0.21**	**1.0**	**0.17**
of which, Fruit & vegetables	4.2	0.09	1.9	0.04
Alcohol & tobacco	**1.2**	**0.08**	**1.1**	**0.08**
of which, Tobacco	1.9	0.04	1.2	0.02
Clothing & footwear	**–1.0**	**–0.03**	**1.6**	**0.05**
Housing	**2.7**	**0.58**	**3.0**	**0.64**
of which, Rents	1.1	0.07	1.0	0.07
of which, House purchases	1.2	0.09	0.8	0.06
of which, Utilities	9.6	0.42	12.2	0.55
H/hold contents & services	**0.3**	**0.02**	**–0.3**	**–0.02**
Health	**2.9**	**0.20**	**2.3**	**0.15**
of which, Pharmaceuticals	5.8	0.06	2.9	0.03
Transportation	**–1.3**	**–0.15**	**2.2**	**0.25**
of which, Car prices	–0.2	–0.01	0.9	0.03
of which, Auto fuel	–5.1	–0.16	5.9	0.20
Communication	**–0.1**	**0.00**	**–0.2**	**0.00**
Recreation	**–1.1**	**–0.14**	**–1.0**	**–0.13**
of which, Audio visual & comp.	0.1	0.00	1.6	0.03
of which, Holiday travel	–2.8	–0.17	–3.2	–0.19
Education	**5.2**	**0.25**	**4.3**	**0.21**
Financial & insurance services	**0.9**	**0.05**	**0.9**	**0.05**
CPI: All groups	**1.1**	–	**1.5**	–
CPI: All groups % year	**3.8**	–	**4.2**	–

Sources: ABS, Westpac Economics.

Quarterly inflation profile

		Mar–26	Jun–26	Sep–26	Dec–26
CPI	Index	101.8	103.8	104.7	105.0
	(%qtr)	1.5	1.9	0.9	0.3
	(%yr)	4.2	5.4	5.0	4.6
Trimmed mean	(%qtr)	0.9	1.0	1.0	0.9
	(%yr)	3.5	3.9	4.0	4.0
	(6mth ann'd)	3.7	4.0	4.2	4.0

Source: ABS, Westpac Economics.

Monthly inflation profile

		Mar–26	Apr–26	May–26	Jun–26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26
CPI	Index	102.6	103.9	103.9	104.0	104.8	104.9	105.1	105.1	104.8	105.7
	(%mth)	1.3	1.3	0.0	0.1	0.8	0.1	0.2	0.0	-0.3	0.8
	(%yr)	4.7	5.3	5.8	5.7	5.2	5.4	5.1	5.1	4.8	4.7
Trimmed mean	(%mth)	0.2	0.5	0.4	0.3	0.4	0.4	0.2	0.4	0.2	0.3
	(%yr)	3.3	3.6	3.8	4.0	3.9	4.0	3.9	4.0	3.9	3.9
	(6mth ann'd)	3.2	3.7	4.1	4.1	4.3	4.6	4.6	4.4	3.8	3.7

Source: ABS, Westpac Economics.

Market Outlook (which was based on a one-month closure of the Strait with little infrastructure damage). For further background on the unfolding risks to our current scenario see Luci Ellis's note "On hoping you are wrong".

In this bulletin we are also release a forward profile of the Monthly CPI. This process is still at a preliminary stage but given the extreme surge we expect to see in the Monthly CPI, we thought it would be timely to provide some guidance out to December 2026.

March and April headline CPI set to surge

The Israel/US assault on Iran began in the morning of the 28th of February. We expect the resulting surge in oil prices to have the largest hit to the CPI in the months of March and April before flattening out in May and June. Auto fuel is set to increase again in July but this is due to the expiration of the recent temporary reduction in fuel excise.

Westpac is forecasting a 1.3% increase in March on the back of a 35% increase in auto fuel. At two decimal points the increase is 1.26% but we warn that given the current volatility in prices, there is a greater than usual degree of uncertainty so these finer estimates should be used with even more caution than usual.

The annual pace lifts from 3.7%yr to 4.7%yr in March.

Our current scenario has auto fuel lifting a further 2% and 6% respectively in April and May. The April CPI will also be boosted by a seasonal bounce in clothing & footwear and holiday travel & accommodation plus the annual increase in health insurance premiums. The annual pace of CPI inflation is expected to peak at 5.8%yr in May (so there is a risk it could peak as high as 6%yr) and then slowly moderate to 4.7%yr by December 2026.

Core inflation is higher for longer

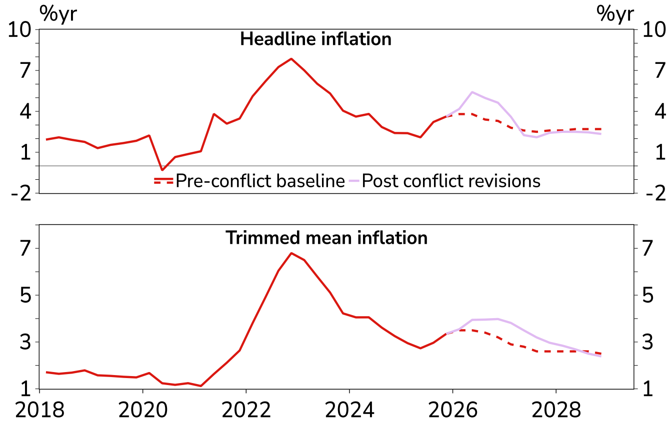
We estimate a 0.23%mth rise in the Monthly Trimmed Mean (TM) in March holding the annual pace steady at 3.3%yr. The six-month annualised pace is also steady at 3.3%yr which down from a 3.7%yr pace in December. We were expecting the pace of core inflation to moderate from here but with the conflict in Iran disrupting shipping out of the Gulf, and the resulting surge in fuel prices, we now see fuel prices remaining higher for longer resulting in a greater degree of pass-through to core inflation.

The TM is set to lift 0.5%mth/3.6%yr in April, 0.4%mth/3.8%yr in May and 0.3%mth/4.0%yr in June. The forecast peak in the annual TM inflation is 4.0%yr in June then holding between 3.9%yr and 4.0%yr to year end; in six-month annualised terms the peak pace is 4.6%yr in September.

Quarterly inflation less volatile

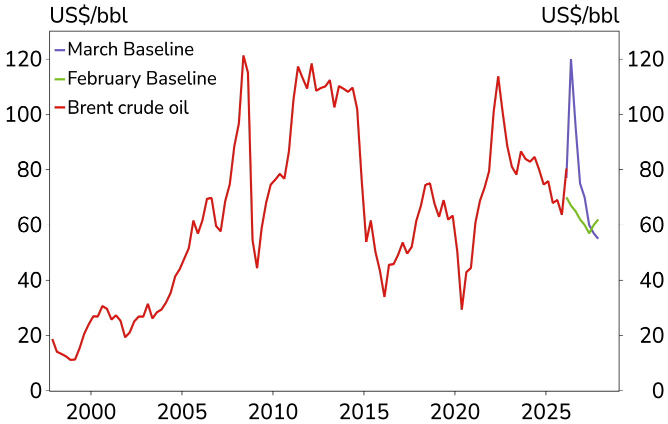
The Monthly CPI is the focus of the ABS CPI release, and as such, it gains the most media attention. However, at least for now given the short history of the complete Monthly CPI, the quarterly measures of inflation will remain the focus of both the RBA and the Australian government when setting both monetary and fiscal policy, particularly when it comes to core inflation as measured by the Trimmed Mean.

Middle East conflict forecast revisions



Source: ABS, Macrobond, Westpac Economics

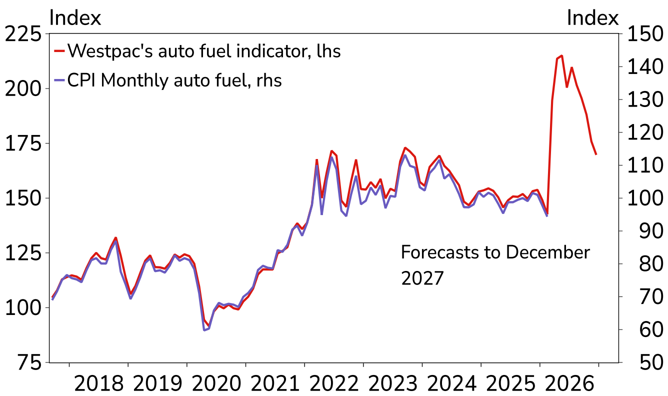
Oil price scenarios



Source: EIA, Macrobond, Westpac Economics

Auto fuel prices

Pump price average for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

As the current conflict started in the last week of February, we have only see one month of higher fuel prices so the auto fuel is expected to rise just 5.9% in the March quarter. However, starting from a high base in the June quarter means fuel prices to continue to rise solidly and we estimate a 24% surge in the fuel prices component in the June quarter.

Overall, we estimate a 1.5% increase in the March quarter taking the annual pace from 3.6%yr to 4.7%yr. As noted earlier, we expect this momentum to continue into the June quarter with a further 1.9% surge in the CPI taking the annual pace to 5.4%yr. While we think this should be the peak in the annual pace, it is nevertheless the fastest pace since June 2023 when it was reported to be 6.0%.

Core inflation is not immune to this boost as we are forecasting a 0.93% increase in the March quarter, matching the 0.9% increase in the December quarter and it is a prelude to the step up to a 1.0% increase in both the June and September quarters. This will see the annual pace peak at 4.0%yr in the second half of the year.

The Trimmed Mean estimate starts from a low of 0.2% to a high of 2.2%. Significant expenditure items trimmed off the bottom includes vegetables (–1.2%), international travel & accommodation (–0.7%) and other non-durable household products (–0.7%). Trimmed off the top are secondary education (2.3%), tobacco (2.4%), furniture (3.3%), women's garments (3.5%), auto fuel (5.9%), electricity (118.3%).

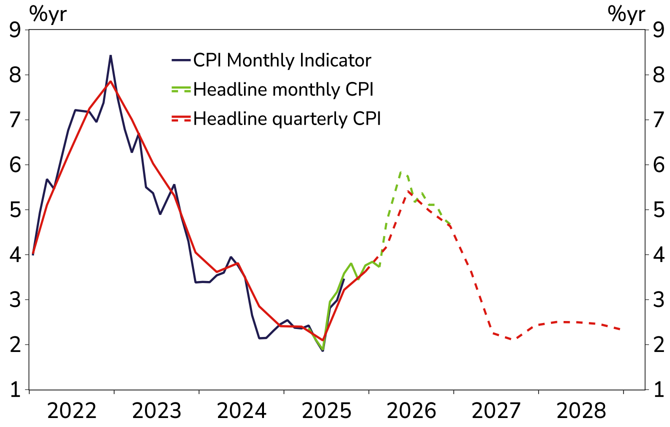
As we have noted in earlier bulletins, until the ABS has a better understanding of the seasonality of the new monthly CPI, they will continue publishing quarterly underlying inflation measures in a manner consistent with the history of price collection frequency. We have replicated this process and found it represents a small downside risk to our March quarter estimate but it still rounds to 0.9%qtr. As such we just note the risk and do not adjust our overall forecast.

Signs of faster pass-through

We have received many anecdotal reports of increases in input costs, often as a fuel surcharge or levy. Some of these were adjusted downwards when the Australian government cut the fuel excise but remain significant. We have also heard of restaurants, cafés and even hairdressers adding a fuel levy to prices but these are yet to be confirmed.

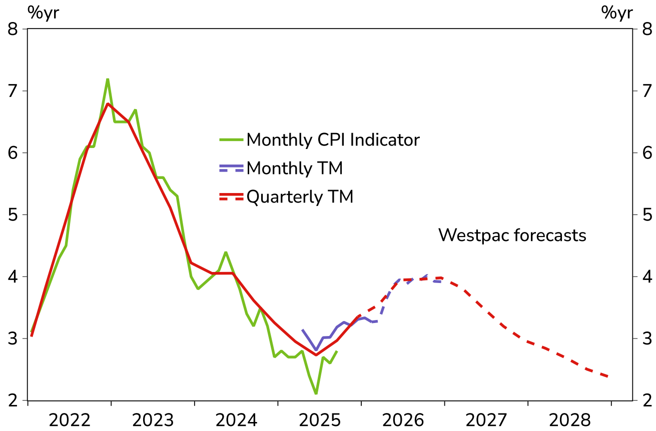
It has also been reported that rising input costs could add as much as 10%, or $50,000, to the cost of building an average detached home. Using input price increases as reported by Tradelink this estimate seems fair. Tradelink data suggests an average increase of 16% in April, the largest increase in the data we have back to January 2020; not all products will see price increases in any given month, but the number of notifications of price increases on the Tradeline website has also risen. The proposed average increase for May increases to 17% before easing back to around 7% in June and July so it will be interesting to see how these estimates are adjusted as actual prices are posted.

Headline inflation in three series



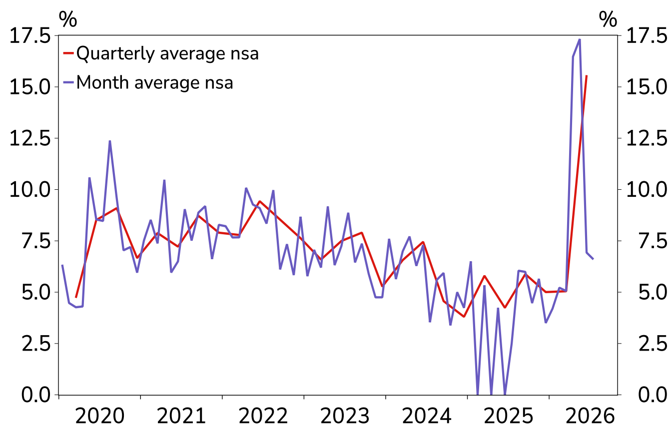
Source: ABS, Macrobond, Westpac Economics

Trimmed Mean inflation in three series



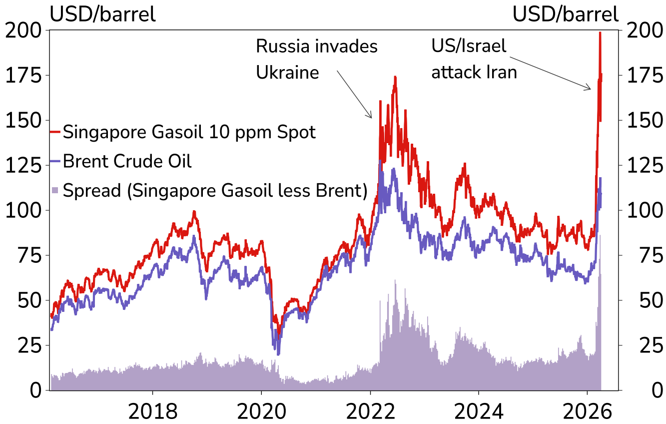
Source: ABS, Macrobond, Westpac Economics

Tradelink - average price increase



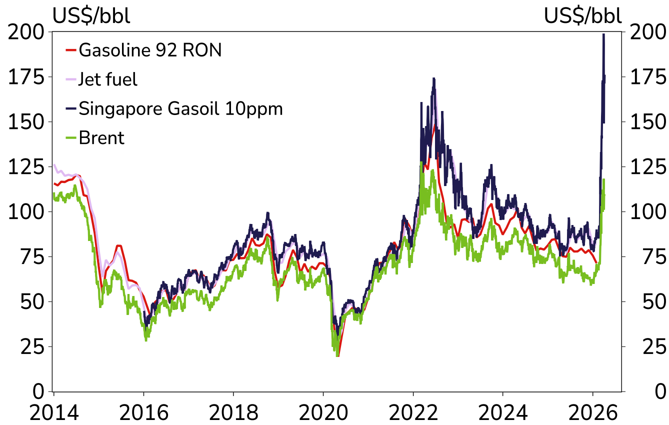
Source: TradeLink, Macrobond, Westpac Economics

Brent Crude vs Singapore Gasoil 10ppm



Source: CME Group, Macrobond, Westpac Economics

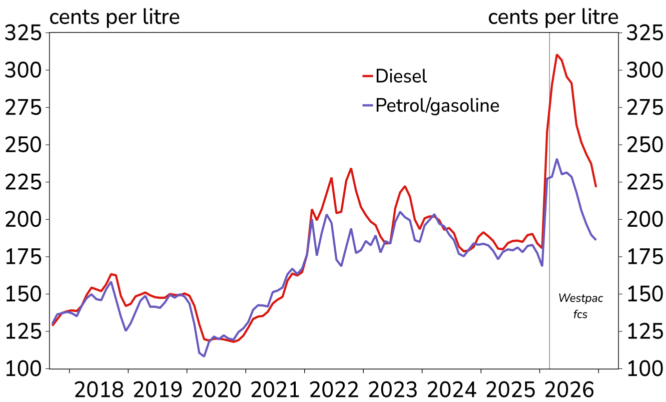
Singapore refined fuel prices



Source: OPEC, CME Group, Macrobond, Westpac Economics

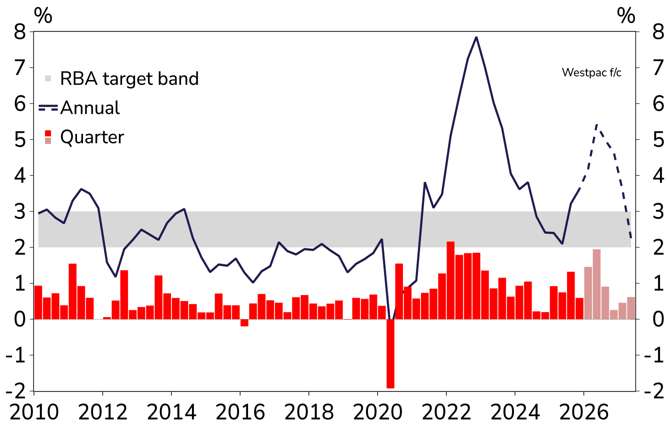
Australian pump prices for auto fuel

Monthly averages



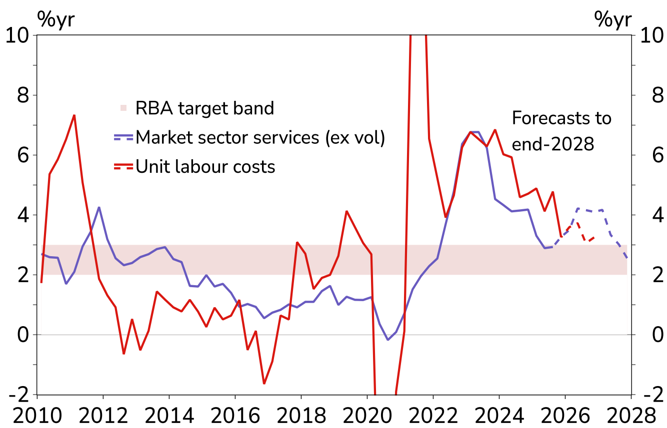
Source: Bloomberg, Macrobond, Westpac Economics

Headline CPI Inflation



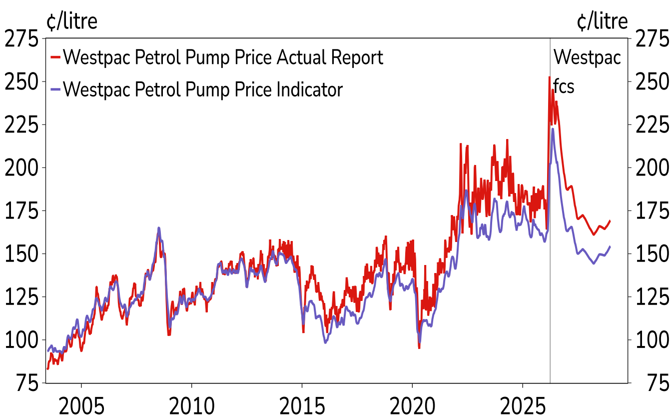
Source: ABS, Macrobond, Westpac Economics

Market sector underpins rise in core inflation



Source: ABS, Macrobond, Westpac Economics

Unleaded fuel pump price weekly average



Source: ABS, API, Macrobond, Westpac Economics

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Cliff Notes: Middle East conflict seemingly at an impasse

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke & Illiana Jain

10:56 April 24 2026

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Key insights from the week that was.

Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act "as the situation demands" ahead. Next week's run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump's pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC's communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh's confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain. Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

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4 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.

US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.

Bond markets saw only modest moves, while the US dollar firmed slightly during the session.

Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.7	0.6%
AUD/USD	0.7202	0.0%
AUD/JPY	113.03	0.2%
AUD/GBP	0.5311	0.3%
AUD/NZD	1.2209	0.2%
AUD/EUR	0.6145	0.1%
AUD/CNH	4.9200	0.0%
AUD/SGD	0.9169	0.0%
AUD/HKD	5.6439	0.1%
AUD/CAD	0.9781	0.0%
EUR/USD	1.1721	-0.1%
USD/JPY	157.01	0.3%
USD Index	98.16	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.25	-0.01
90 day BBSY	4.42	0.00
180 day BBSY	4.80	-0.02
1 year swap	4.66	-0.01
2 year swap	4.70	-0.01
3 year swap	4.68	0.00
4 year swap	4.67	0.00
5 year swap	4.69	-0.01
6 year swap	4.73	0.00
7 year swap	4.77	-0.01
8 year swap	4.81	-0.01
9 year swap	4.85	-0.01
10 year swap	5.09	-0.01

Equities	Close	Change
S&P/ASX 200	8,730	0.7%
S&P 500	7,230	0.3%
Japan Nikkei	59,513	0.4%
Hang Seng	25,777	-1.3%
Euro Stoxx 50	5,882	0.0%
UK FTSE100	10,364	-0.1%
VIX Index	16.99	0.6%

Commodities	Current	Change
CRB Index	393.40	0.0%
Gold	4614.21	-0.1%
Copper	12996	0.1%
Oil (WTI futures)	101.94	-3.0%
Coal (coking)	237.00	0.7%
Coal (thermal)	138.50	-0.4%
Iron Ore	107.90	0.2%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.71	-0.05
10 year bond	5.02	-0.04
United States		
3-month T Bill	3.57	-0.01
2 year bond	3.88	0.01
10 year bond	4.37	0.00
Other (10 year yields)		
Germany	3.04	0.00
Japan	2.52	-0.01
UK	4.96	-0.05

Sydney Futures Exchange	Current	Change
10 yr bond	5.03	-0.02
3 yr bond	4.71	-0.02
3 mth bill rate	4.15	0.01
SPI 200	8,727	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- There was a modest risk on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind the scenes diplomacy aimed at ending the conflict. President Trump said Tehran wants to strike a deal, though he is not yet "satisfied", adding he would "prefer not" to take military action.
- This backdrop, combined with solid US corporate earnings and signs of economic resilience, lifted US equities and kept markets near record highs. The S&P 500 rose 0.3% on the day, taking weekly gains to almost 1% and marking a fifth consecutive week of advances. The tech heavy Nasdaq outperformed, buoyed by a strong outlook from Apple, rising 0.9% on the day and 1.1% over the week. The Dow Jones lagged, slipping 0.3% on the session but still up around 0.6% over the week. Implied volatility edged higher, with the VIX up 0.6% to 17 points.
- European markets were closed for the May Day holiday, except for the FTSE 100 which edged 0.1% lower in thin trade. Asian markets were mixed, with Japan's Nikkei up 0.4% while the Hang Seng fell 1.3%. Locally, the S&P/ASX 200 rose 0.7% on the day but still finished the week 0.7% lower, while SPI futures point to a weaker start today, down 0.3%.
- Bond markets saw only modest moves. In the US, the 2 year Treasury yield edged up 1bp to 3.88%, while the 10 year yield was unchanged at 4.37%. Interest rate futures continue to price no policy changes through 2026. European yields were mixed, with Germany's 10 year steady at 3.04% and UK yields down 5bps to 4.96%.
- Australian government bond futures were also little changed. Three year futures yields fell 2bps to 4.71%, while 10 year yields also declined 2bps to 5.03%. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026 (equivalent to roughly two and a half additional hikes) with around 19bps of tightening priced for this week's RBA Board meeting.
- In FX markets, the US dollar firmed modestly, with the DXY up 0.1% to 98.16. The Australian dollar was little changed against the USD at 0.7202, but outperformed modestly against the yen, pound and New Zealand dollar, lifting the trade weighted index by 0.6%.
- Commodity markets were mixed. Oil prices fell further, with WTI futures down 3.0% to US$101.94/bbl. Gold eased 0.1% to US$4,614/oz, while copper edged higher. Bulk commodities were broadly flat, with iron ore up 0.2% to US$107.90/t. Coal prices were mixed, while ACCUs fell sharply by 4.3%.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Apr	-	4.3%
11:30	AU ANZ Job Ads Apr	-	-3.1%
11:30	AU Dwelling Approvals Mar	-10.0%	29.7%
18:00	EZ HCOB Manufacturing PMI Apr Final	52.2pts	52.2pts
18:30	EZ Sentix Investor Confidence May	-22pts	-19.2pts
0:00	US Factory Orders Mar	0.5%	0.0%
0:00	US Durable Goods Orders Mar Final	0.8%	0.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US ISM manufacturing index** was unchanged at 52.7 in April, just above the 51.1 average of the past six months. New orders improved at the margin, but production and employment deteriorated. All of these components are currently around the average of the past six months.

Local Data

The **Cotality home value index** rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr. The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop. The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply (see here).

Private sector credit growth surprised to the upside in March, ticking up to 0.7%mth. Year-ended growth also rose, exceeding 8.0% for the first time since late 2022. Housing credit growth remained steady, recording a seventh 0.6%mth increase in the past eight months. Both owner-occupier and investor credit continued to follow recent trends, with the latter category maintaining a faster pace. Business credit was little changed, with the 0.8%mth increase remaining a key driver of overall growth (see here).

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22 April 2026

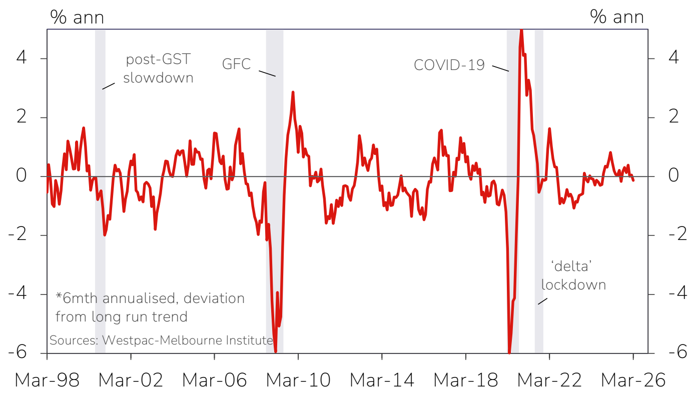
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate declines to –0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

Westpac-MI Leading Index



Leading Index momentum dips back below trend

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to –0.13% in March from +0.05% in February.

The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the 'cost-of-living' crisis of 2022–2024.

The Leading Index growth rate has now swung from +0.31% in October last year to –0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

Component-wise, the biggest negative shifts have come from: the Westpac–Melbourne Institute Consumer Expectations Index (a 20% drop over the last six months effectively taking 0.27ppts off the headline growth rate); a sharp sell-off in the Australian sharemarket in the March month (–0.24ppts); and a flattening yield spread as short-term interest rates have moved higher (–0.15ppts). Some of these declines may not be sustained though, with a notable recovery in sharemarket in the first three weeks of April. If it sustains, the move will be reflected in next month's index.

Roughly speaking, about 60% of the drag on the six month growth rate coming from these three components looks to be due to the conflict in the Middle East. All of sharemarket fall and about half of the sentiment decline since October has occurred after the conflict began. Most of the yield gap shift however can be attributed to monetary policy developments prior to the war.

Other components have provided partial offsets. Most notably, higher commodity prices (up 11.9% in Australian dollar terms over the last six months) have added 0.09ppts to the Index growth rate over the same period. Dwelling approvals have added a further 0.11ppts although this is likely being exaggerated by a very choppy monthly profile (approvals jumped 30% in February after dropping 20% through December–January). The contribution from the remaining three components has seen no net change since October.

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board (MPB) next meets on May 4–5. The latest Leading Index update confirms that higher interest rates and the spike in fuel prices associated with the conflict in the Middle East are starting to weigh on growth momentum, albeit fairly mildly. However, the MPB's main concerns are likely to be around inflation with underlying measures already above the RBA's 2–3% target range and set to move higher as the effects of energy price rises come through. On balance we expect the risk of this feeding into a lift in inflation expectations will over-ride the downside risks to growth. As such, we expect the MPB to raise the cash rate by another 25bps in May with further moves likely in subsequent months.

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5 May 2026

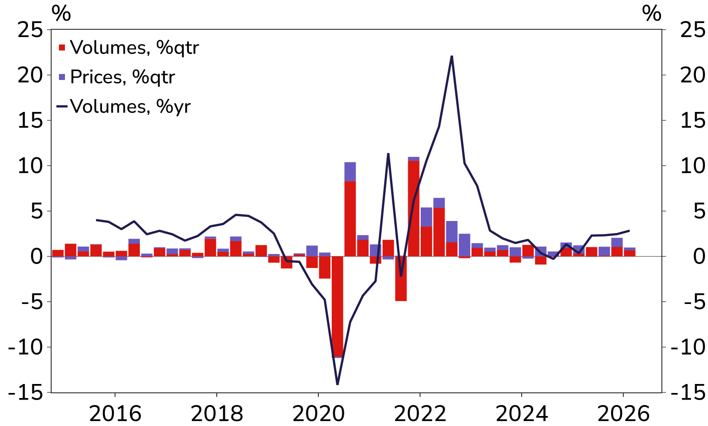
HOUSEHOLD SPENDING INDICATOR BULLETIN

Fuel dominates the narrative

Key points

- Household spending rose 1.6%mth in March, the strongest monthly gain in two years. However, Q1 spending was more subdued, with nominal growth of 1.0%qtr. Volumes increased 0.7%qtr, pointing to a surprisingly soft price gain in the quarter.
- Goods spending surged, while services spending lost momentum. Non-discretionary spending outperformed as discretionary categories remained more restrained.
- In real terms, spending growth over the quarter was uneven across categories but remained positive across all states, with transport and non-discretionary components driving volumes.
- Ahead of the Q1 national accounts (due 3 June) we maintain a 0.6%qtr/2.5%yr forecast for consumption.

Quarterly spending volumes and prices



Source: ABS, Macrobond, Westpac Economics

Q1 real household spending: 0.7%qtr, 2.8%yr

Spending growth sees a notable March uplift

Luka Belobrajdic
Economist

The household spending indicator rose 1.6%mth in March (nominal), somewhat below both Westpac and market expectations. We had anticipated a stronger 2.0%mth rise for the month, while the market was at 1.8%mth. The outcome nonetheless represents the strongest monthly gain since January 2024, following more modest increases of 0.3%mth in February and 0.2%mth in January. Annual growth lifted to 6.3%yr. For Q1 as a whole, nominal spending rose 1.0%qtr, a more subdued outcome compared to the downwardly revised 2.0%qtr increase recorded in Q4 2025. In real terms, volumes increased 0.7%qtr, with the indicator pointing to surprisingly soft price growth within the quarter.

Transport drives the headline higher

By broad category, the engine of growth shifted decisively toward goods in March. Goods spending rose 2.9%mth to be 5.8%yr higher over the year, reflecting a sharp rise in fuel prices alongside an evident pull forward of fuel purchases. By contrast, services spending lost momentum, recording a modest 0.1%mth gain in March (6.9%yr). Non discretionary spending surged 3.4%mth (8.1%yr), after holding flat in the previous month, while discretionary spending posted a more moderate 0.6%mth increase (5.3%yr).

At the detailed level, gains were heavily concentrated in transport spending, which rose 5.1%mth – the strongest outcome since May 2022 following Russia's invasion of Ukraine. Alongside higher fuel prices, strength in public transport spending also contributed, as households adjusted travel behaviour in response to rising fuel costs.

Excluding transport, household spending increased a more moderate 0.9%mth. Food spending also recorded a sizeable rise, up 1.7%mth, with the ABS attributing this to precautionary stockpiling amid concerns over potential disruptions to global supply chains. Miscellaneous goods & services rose 1.7%mth, while furnishings & household equipment grew 1.6%mth. Recreation & culture (+1.3%mth), clothing & footwear (+1.3%mth), and health (+0.3%mth) also reported gains.

Offsetting these increases, hotels, cafes & restaurants fell 0.9%mth, consistent with ongoing restraint in discretionary spending. April **Westpac–DataX Card Tracker** data point to a further wind down in discretionary services activity (see here). Alcoholic beverages & tobacco declined for a third consecutive month, albeit at a more modest pace (–0.1%mth).

All states recorded spending growth in March. Strength was led by Queensland (+1.9%mth), followed by NSW which reversed last month's decline with a 1.7%mth increase, while SA (+1.7%mth), WA (+1.6%mth) and Victoria (+1.2%mth) also posted solid gains.

Household spending indicator – March 2025

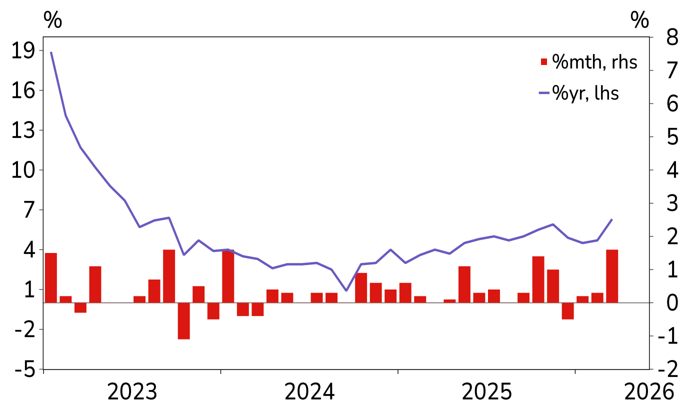
	$bn	% chg mth		% chg yr	
	Mar-25	Feb-25	Mar-25	Feb-25	Mar-25
sa	80.41	0.3	1.6	4.7	6.3
trend	79.45	0.3	0.2	4.9	4.8

Chained volumes – Q1 2026

	real $bn	% chg qtr		% chg yr	
	Q1	Q4	Q1	Q4	Q1
sa	226.54	1.0	0.7	2.5	2.8

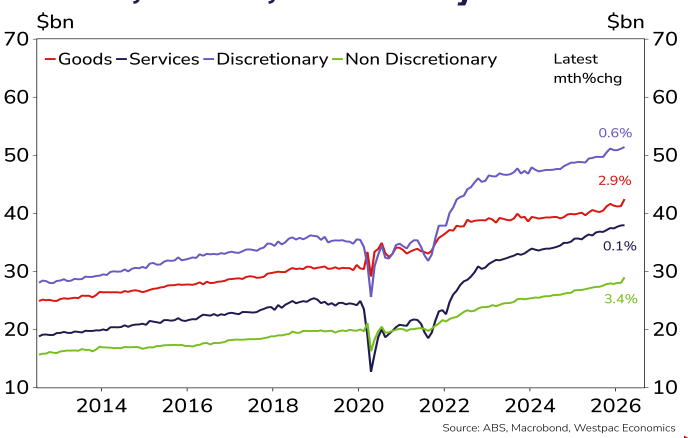
Source: ABS, Macrobond, Westpac Economics.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non.discret



Source: ABS, Macrobond, Westpac Economics

Volume growth remains positive

Nominal spending rose 1.0%qtr in Q1, with volumes up 0.7%qtr - a somewhat softer outcome than the upwardly revised 1.0%qtr increase recorded in Q4. This implies a surprisingly subdued price gain in the quarter at 0.3%qtr, compared with 1.0%qtr in Q4 (despite the fuel price spike). Through the year, volume growth accelerated slightly to 2.8%yr, the strongest reading since Q2 2023.

Transport also led gains in volume terms, rising 1.7%qtr, reflecting more frequent fuel purchases. Non discretionary categories were generally supportive, with health up 1.5%qtr and food up 0.8%qtr. Recreation & culture (+1.1%qtr) and miscellaneous goods & services (+1.1%qtr) also contributed positively. Partially offsetting these gains, alcoholic beverages & tobacco fell 2.4%qtr, reversing last quarter's increase. Clothing & footwear declined 1.0%qtr, while furnishings & household equipment (–0.7%qtr) and hotels, cafes & restaurants (–0.1%qtr) also detracted.

All states recorded real spending growth over the quarter, led by Queensland (+1.1%qtr), SA (+1.0%qtr), WA (+0.8%qtr), NSW (+0.5%qtr) and Victoria (+0.2%qtr).

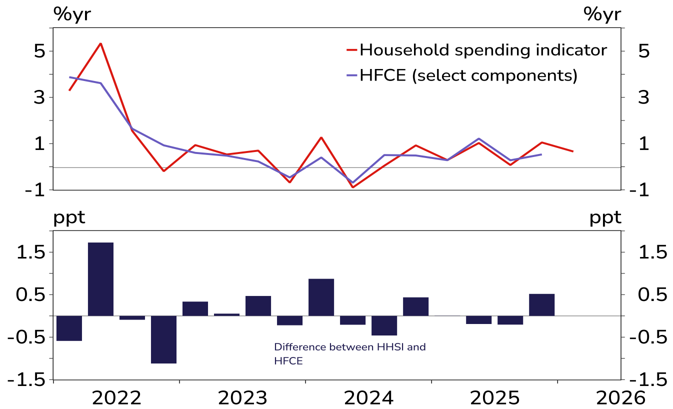
Conclusion

The household spending indicator captures around two thirds of total consumer expenditure. It excludes several major categories (e.g. rents, utilities, etc.) but has still provided a decent guide to the components it covers. Today's volumes outcome diverged noticeably from our expectations, as we had anticipated a small real decline in Q1. This discrepancy may partly reflect the exclusion of rents, utilities and education from the COICOP divisions used in the chain volume calculations, with these categories contributing significantly to the quarterly inflation outcome (see here).

Ahead of the Q1 national accounts (due 3 June), we have pencilled in a 0.6%qtr/2.5%yr increase in total consumption. The shifting interest rate backdrop early this year is likely to have contributed to a moderation throughout the quarter, while **Westpac–DataX Card Tracker** data has shown non-fuel spend is slowing. That said, areas not well captured by card data are likely to provide an offset, supporting a positive overall outcome.

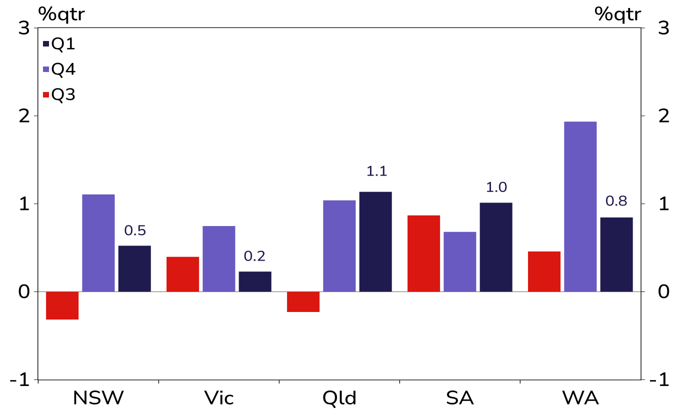
Downside risks are more elevated moving into Q2. Consumer sentiment recorded its largest decline since COVID in April (see here), with today's rate increase likely to weigh further on confidence and spending in coming months as well.

Household spending indication vs nat accs



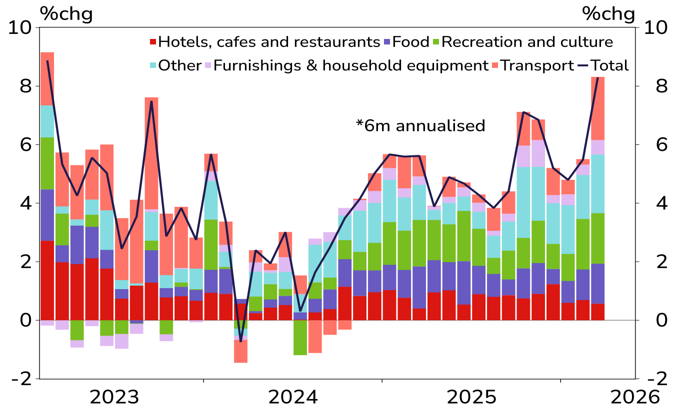
Source: ABS, Macrobond, Westpac Economics

Household spending indicator by state: real



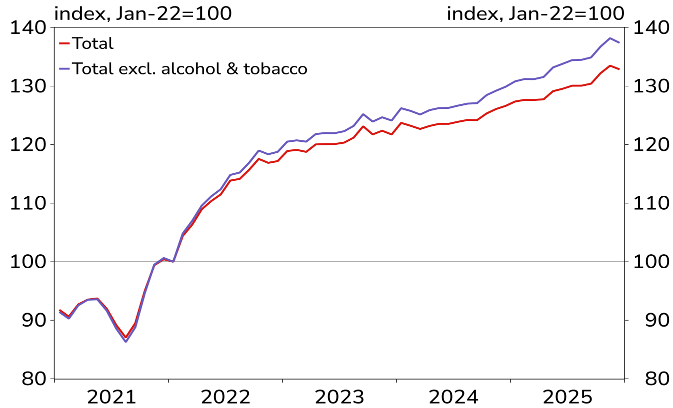
Source: ABS, Macrobond, Westpac Economics

Household spending indicator: nominal growth



Source: ABS, Macrobond, Westpac Economics

Nominal spending excluding alch & tobacco



Source: ABS, Macrobond, Westpac Economics

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4 May 2026

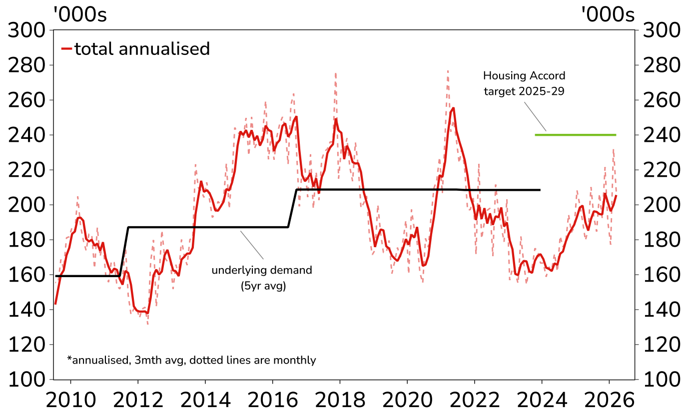
AUSTRALIAN DWELLING APPROVALS BULLETIN

Unit approvals reverse course

Key points

- Total dwelling approvals partially unwound February's sharp gains, falling 10.5%mth in March. The annual pace eased to 9.0%yr, though the large lift in the previous month continues to leave approvals at an elevated level.
- As in recent months, private unit approvals drove the headline outcome, declining 26%mth following February's 101%mth surge. Private detached house approvals rose 0.9%mth. On a rolling three-month basis, house approvals increased 5.1%qtr, signalling a continued upswing in detached housing momentum.
- State-level outcomes remain uneven on a rolling three-month basis, with approvals strongest in Qld and WA, while NSW, Vic and SA recorded declines.
- Looking ahead, further expected RBA cash rate rises throughout 2026, alongside softer dwelling price growth are likely to temper the near-term recovery.

Dwelling approvals



Source: ABS, Macrobond, Westpac Economics

Total dwelling approvals -10.5%mth, 9.0%yr

Detached dwelling approvals in a clearer upswing

Luka Belobrajdic
Economist

Total dwelling approvals partially unwound the sharp gains recorded last month, falling 10.5%mth in March. The result was below our expectation but broadly in line with the market expectation. The annual pace eased to 9.0%yr, although the large rise in last month's result continues to leave approvals at an elevated level. Indeed, the key takeaway looks to be of a clearer upswing emerging in the detached houses segment.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

As in recent results, private unit approvals continued to drive volatility, declining 26%mth, following a 101%mth rise in February. The March outcome does not fully unwind last month's gains, with private unit approvals remaining above their average level over the past 12 months. Units accounted for just over 39% of private approvals in the month, down from the 47% high in February. High rise unit approvals again drove the headline move, with Westpac's seasonally-adjusted estimates across both private and public sectors falling 21%mth, while low mid rise approvals declined 7.5%mth. As a result, the annual growth rate for high rise units eased to 15%yr, while low mid rise approvals moved into contraction (–2.7%yr).

Private detached dwelling approvals rose 0.9%mth, with February approvals revised sharply higher to 2.0%mth (+1.8ppts). On a rolling three month basis, total house approvals increased 5.1%qtr, the strongest result since October 2023, and signalling a continued upswing in detached dwelling approvals.

Dwelling approvals remain strongest in states experiencing the most robust dwelling price growth (see here). On a rolling three month basis, gains are concentrated in Qld (27%yr) and WA (23%yr), led primarily by unit approvals, although detached dwellings are providing more balanced support in WA. In contrast, approvals declined in Vic (–1.5%yr), SA (–5.1%yr) and NSW (–11%yr). In NSW and Vic, declines were driven primarily by units, with house approvals continuing to post gains.

In value terms, residential building approvals fell 16%mth, an 18% decline in new residential approvals partially offset by a 0.8% rise in renovation activity. The value of non residential approvals fell sharply (–25%mth), led by a significant fall in the data centre dominated 'other commercial' segment (–93%mth). The total value of buildings approved declined 19%mth.

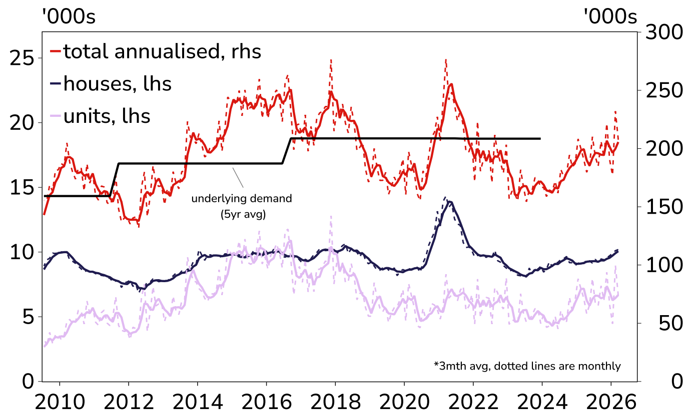
Looking ahead, further expected RBA cash rate increases across May, June and August, alongside softer dwelling price growth, are likely to temper the near term recovery in dwelling approvals. While detached housing momentum has improved, volatility in unit approvals and broader affordability constraints suggest the recovery is likely to remain uneven.

Building approvals – March 2026

		3mth %chg*		%yr	
3mth avg	latest	Feb	Mar	Feb	Mar
Private houses	10,070	4.6	5.3	8.7	10.0
Private units	6,686	-12.5	-2.8	-9.8	-6.8
Public dwellings	379	-23.3	9.9	7.4	26.2
Total dwellings	17,135	-3.4	2.1	0.7	3.1
Total dwellings, mthly*	17,300	31.0	-10.5	16.1	9.0
– units in 'high rise'^	3,686	-17.9	0.8	-21.2	-12.0
– units in 'low rise'^	3,040	-1.3	-5.9	10.0	3.0
Renovations, $bn	1.324	6.4	5.8	10.7	13.4
Non–res., $bn	7.402	8.4	1.6	29.4	34.2

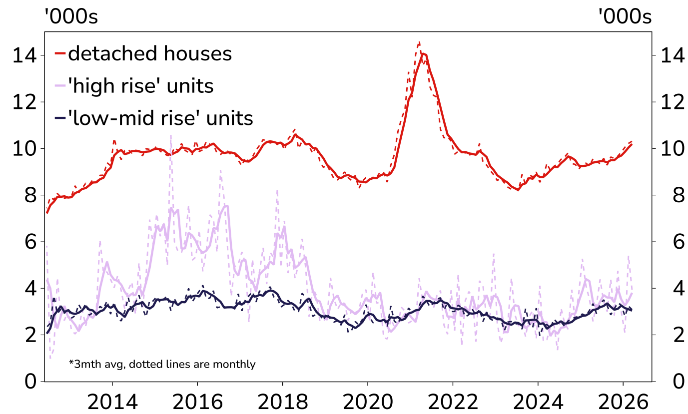
*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

Dwelling approvals: major segment



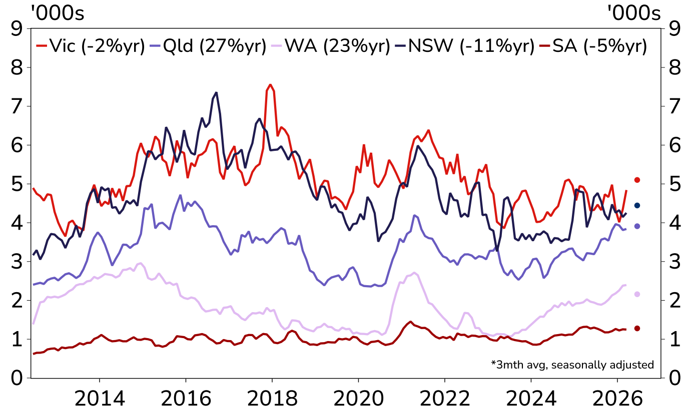
Source: ABS, Macrobond, Westpac Economics

Dwelling approvals: detailed segment



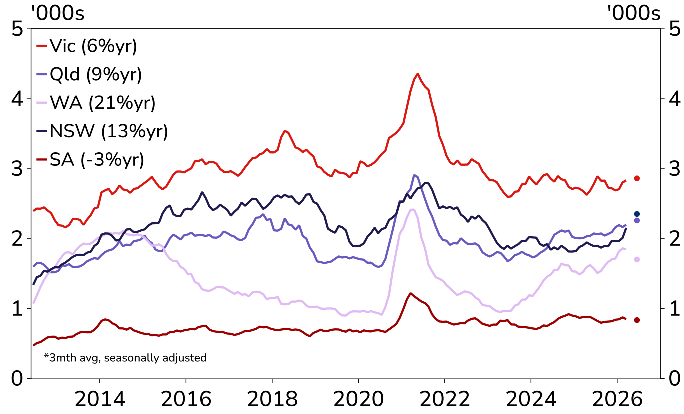
Source: ABS, Macrobond, Westpac Economics

Total dwelling approvals: by state



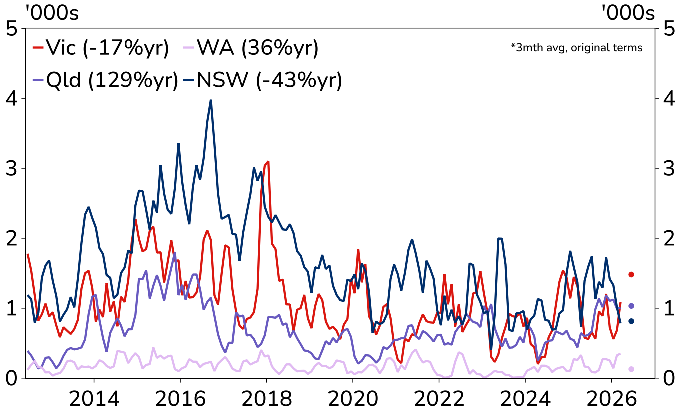
Source: ABS, Macrobond, Westpac Economics

Detached house approvals: by state



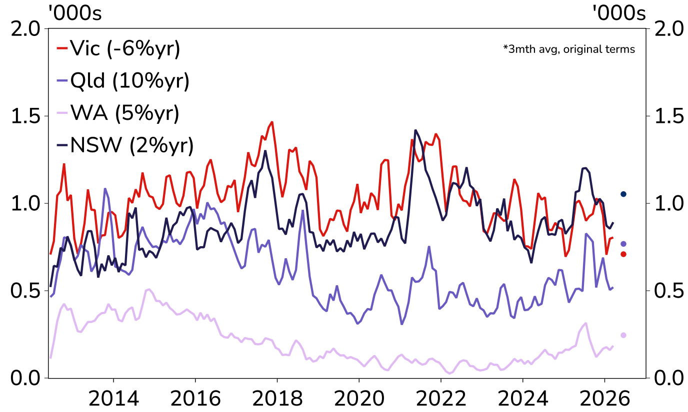
Source: ABS, Macrobond, Westpac Economics

'High rise' approvals: by state



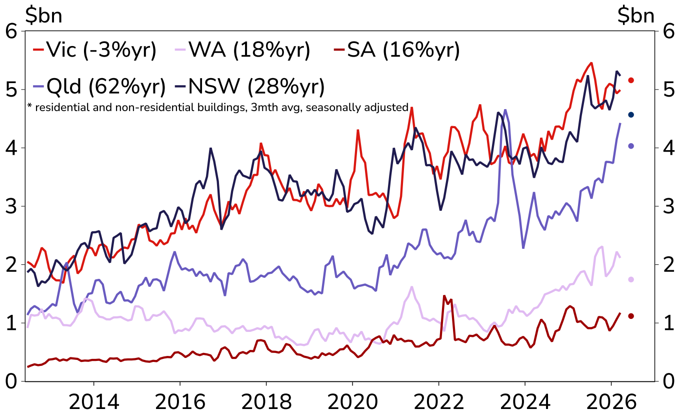
Source: ABS, Macrobond, Westpac Economics

'Low-mid rise' approvals: by state



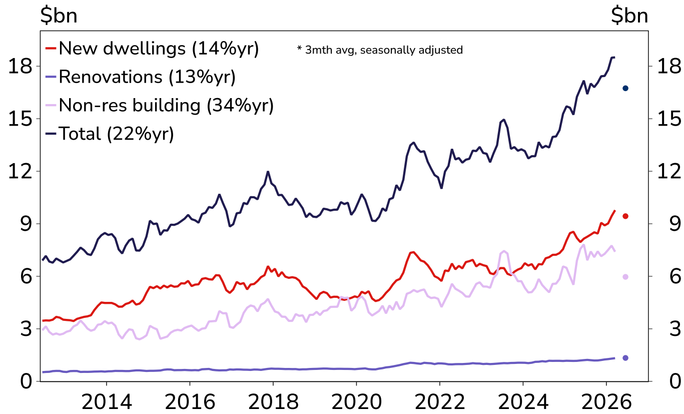
Source: ABS, Macrobond, Westpac Economics

Total building approvals: by state



Source: ABS, Macrobond, Westpac Economics

Total building approvals: by segment



Source: ABS, Macrobond, Westpac Economics

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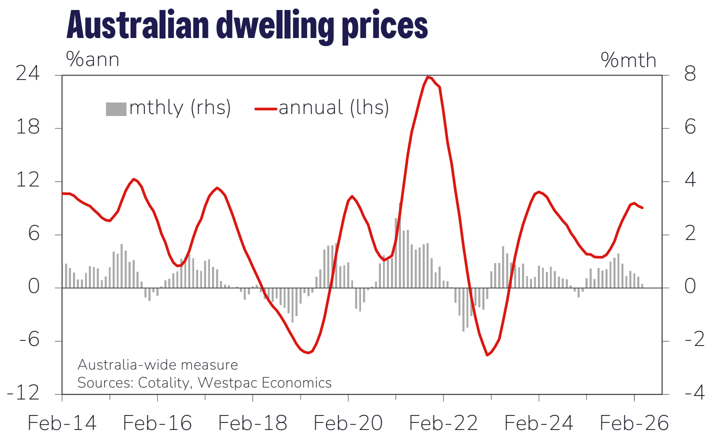
1 May 2026

AUSTRALIAN DWELLING PRICES BULLETIN

Price growth slows across all capital cities

Key points

- The Cotality home value index rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr.
- The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop.
- The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply. In contrast, price growth across other capital cities has eased only modestly and remains robust.
- With further interest rate increases expected over coming months, alongside heightened global uncertainty, additional headwinds are likely, and the risk of a further deceleration in dwelling price growth has increased.



April Cotality home value index: +0.2%mth; +9.1%yr

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Price growth slows, sales retreat further

Luka Belobrajdic
Economist

The Cotality home value index, covering the eight major capital cities, rose 0.2% in April - the weakest result since January 2025. This follows a revised down 0.4%mth in March and 0.5%mth in February, marking a period of lower growth after the stronger outcomes recorded late last year, when prices rose 0.9–1.2%mth over August–November. Annual growth softened to 9.1%yr in April.

The April data suggests that the housing market may be beginning to feel the brunt of higher interest rates and a more uncertain global outlook. That said, divergence across markets remains evident: price declines have continued in Sydney and Melbourne, while monthly price growth in other capitals has seen a mild deceleration but remains robust.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

While still early days, the April read provides clearer insight into the initial impact of tighter monetary policy and uncertainty arising from the Middle East conflict. Prices rose 0.2%mth in non seasonally adjusted terms, with the seasonally adjusted measure matching this outcome.

Turnover continued to trend lower, with preliminary estimates suggesting a quarterly decline of 5.3% - led by Sydney and Melbourne. The ongoing decline likely reflects increased pessimism following recent RBA policy rate hikes and weaker consumer confidence, with the unemployment expectations sub-index falling sharply, likely translating into increased hesitation in committing to a property purchase (see here). At the margin, prospective changes to capital gains tax may also be influencing purchasing decisions. Despite the weakness, sales continue to outpace new listings, indicating supply remains tight, although listings are closing the gap - rising to their highest level since 2024 at 22,900.

Auction clearance rates remained below long run averages in Sydney and Melbourne. Clearance rates in both cities reached recent lows in April, consistent with the pronounced slowing in price growth observed in these markets. Note that clearance rates are only meaningful indicators for Sydney and Melbourne.

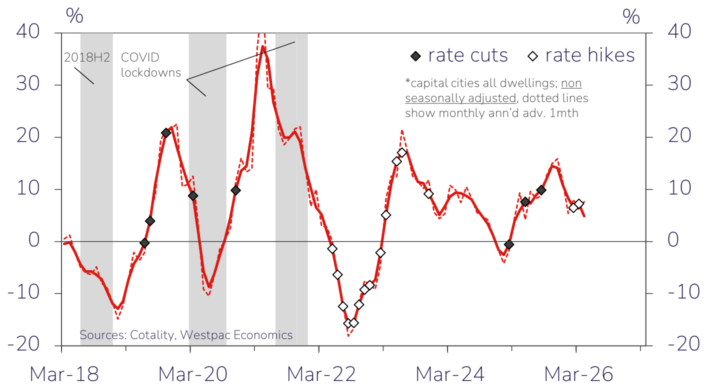
By dwelling type, the slowdown since late last year has remained more pronounced for houses than units, although in April unit price growth (0.1%mth) was slightly softer than for houses (0.2%mth). The slowdown continues to be most evident in top-tier properties, which recorded a 0.5%mth decline in April, while lower-priced tiers continued to gain.

Cotality home value index: Apr 2026

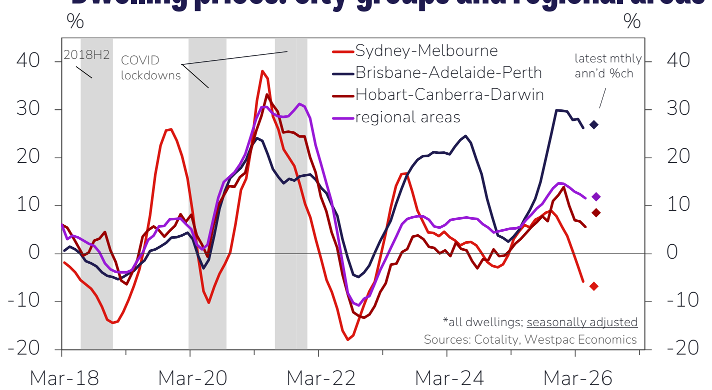
	%mth				%ann			
	Jan	Feb	Mar	Apr	Jan	Feb	Mar	Apr
Australia*	**0.6**	**0.5**	**0.4**	**0.2**	**9.4**	**9.6**	**9.3**	**9.1**
seas. adjusted	0.8	0.5	0.3	0.2	9.3	9.5	9.3	9.1
– houses	0.7	0.5	0.4	0.2	10.4	10.6	10.1	9.9
– units	0.4	0.6	0.6	0.1	5.9	6.4	6.3	6.4
Major capital cities								
Sydney	0.2	0.0	-0.3	-0.6	6.8	6.2	5.0	4.2
Melbourne	-0.2	-0.3	-0.6	-0.6	5.2	4.5	3.0	2.0
Brisbane	1.6	1.6	1.8	1.2	16.0	17.5	19.0	19.7
Adelaide	1.1	1.1	1.3	1.1	9.4	10.6	11.4	12.2
Perth	2.3	2.3	2.3	2.1	19.4	22.2	24.2	26.0
Turnover^	**-0.1**	**-3.4**	**-7.3**	**-5.3**	**8.4**	**6.9**	**1.8**	**0.6**

* combined capital cities
Sources: Cotality, Westpac Economics.
^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



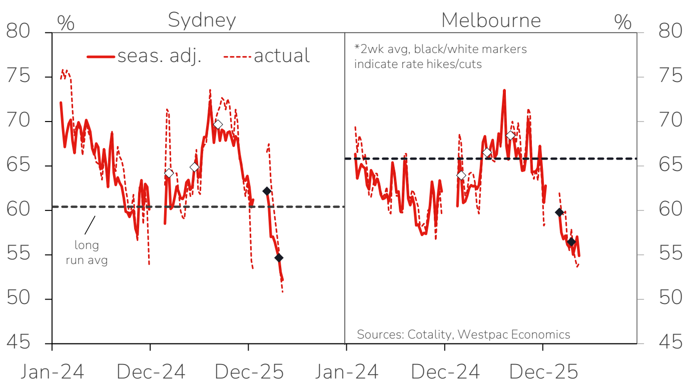
The April price results by capital city were as follows:

- **Sydney:** Prices extended their decline, falling 0.6%mth in non seasonally adjusted terms - the largest monthly fall since December 2024. House prices declined a further 0.7%, while unit prices also fell (-0.4%mth). Weakness was concentrated in the top 25% of dwellings, which declined 1.2%mth. Annual growth slowed to 4.2%yr.
- **Melbourne:** Prices again recorded the sharpest decline among the capitals, falling 0.6%mth. Both houses (-0.8%mth) and units (-0.1%mth) contributed to the decline. As in Sydney, weakness was concentrated in the top quartile, which fell -1.2%mth. Annual growth was 2.0%yr.
- **Brisbane:** Price growth slowed modestly, to 1.2%mth, down from 1.8%mth in March. Both houses and units recorded more subdued gains of 1.2%mth and 1.4%mth respectively. Growth was supported primarily by the bottom 25% of dwellings, which rose 1.7%mth. Annual growth remains very strong at 19.7%yr.
- **Adelaide:** Prices rose 1.1%mth, slightly softer than the March outcome. Annual growth lifted further to 12.2%yr.
- **Perth:** Price growth, although having slowed, continued to outperform all other capitals, increasing 2.1%mth. Annual growth accelerated further to 26%yr, the strongest result since January 2007. Both houses and units contributed, rising 2.1%mth and 2.2%mth respectively, with the bottom quartile recording the strongest growth (2.4%mth).
- Outcomes across the smaller capitals were more subdued. Price growth softened in Darwin (1.3%mth, 19.6%yr), edged modestly higher in Hobart (0.2%mth, 2.6%yr), and was flat in Canberra (5.6%yr).
- **Regional markets,** as has been the recent pattern, continue to outperform their respective capitals in NSW and Victoria, while lagging the pace of growth seen in the mid sized capitals. Annual growth ranges from 7.9%yr in regional Victoria, to 9.1%yr in regional NSW, and 15%yr in regional Queensland (which includes the Gold and Sunshine Coasts).

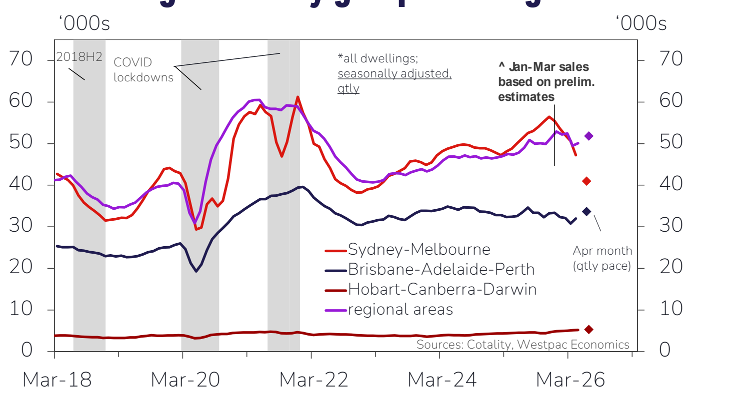
Overall, the April results confirm that price growth is slowing across all capital cities, with Sydney and Melbourne acting as a material drag, while Brisbane, Adelaide and Perth continue to power ahead. Turnover has continued to decline through 2026, although it remains early in the adjustment process. It often takes several months for the full effects of interest rate changes to become apparent in housing market conditions, particularly given the labour market so far has remained relatively firm despite growing global headwinds (see here).

Looking ahead, we expect three further RBA cash rate hikes this year, and the Middle East conflict appears increasingly prolonged continuing to weigh on global energy markets and the Australian economy. In this context, the outlook for the housing market has become more uncertain, with a further price growth deceleration looking increasingly likely.

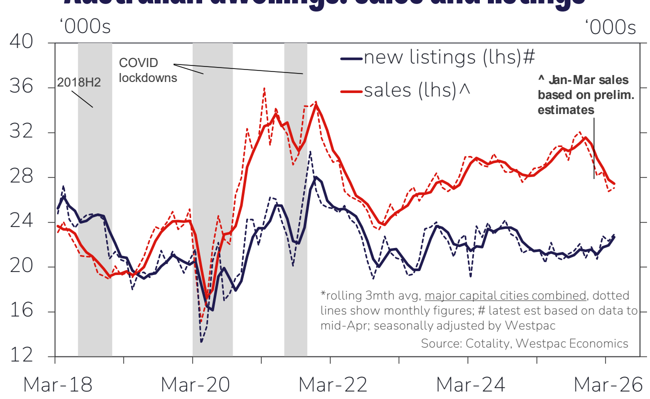
Auction clearance rates



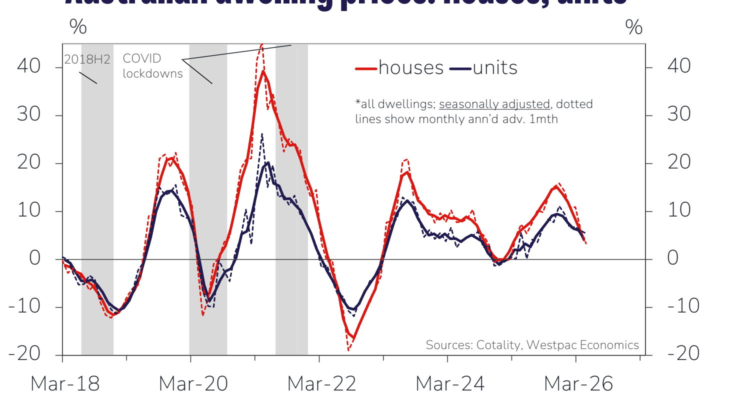
Dwelling sales: city groups and regional areas



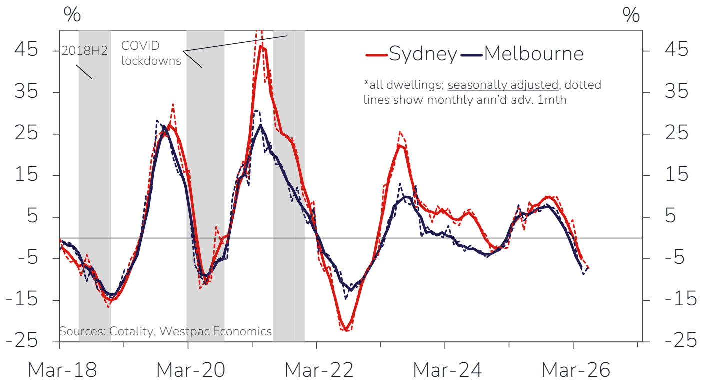
Australian dwellings: sales and listings



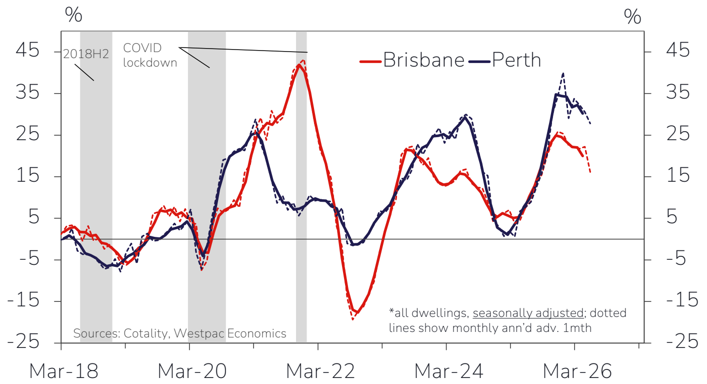
Australian dwelling prices: houses, units



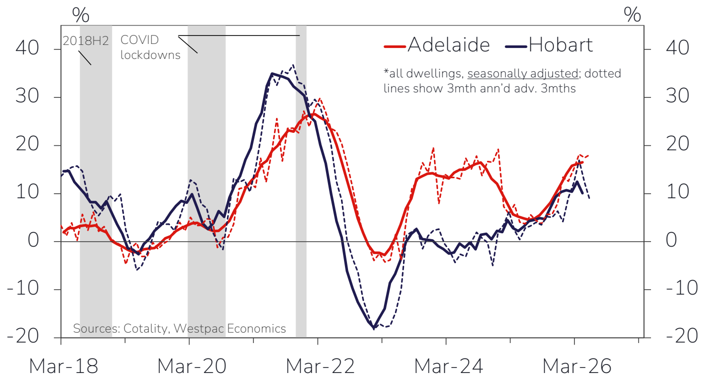
Sydney, Melbourne dwelling prices: 3mth ann'd



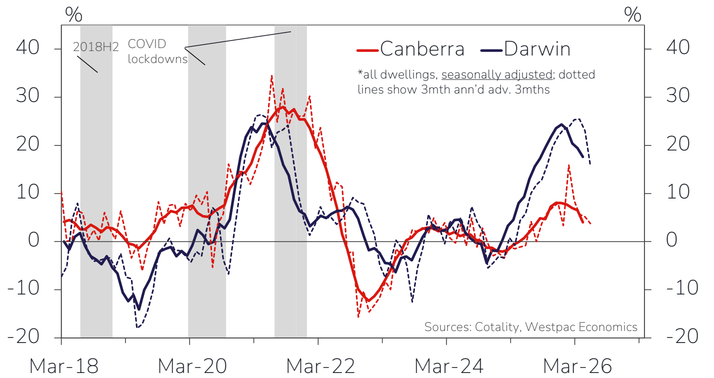
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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First Impressions: NZ labour market surveys, March quarter 2026

#labour #newzealand

By Michael Gordon
Senior Economist, Westpac NZ

08:55 May 06 2026 Share

The unemployment rate ticked down to 5.3% in the March quarter, better than the flat outcome that we and the market expected. Employment and hours worked were up, while wage growth was subdued.

Unemployment rate: 5.3% (prev: 5.4%, Westpac: 5.4%, RBNZ: 5.3%, mkt: 5.4%)

Employment change: +0.2% (prev: +0.5%, Westpac: -0.1%, RBNZ: +0.4%, mkt: +0.3%)

Participation rate: 70.4% (prev: 70.5%, Westpac: 70.3%, RBNZ: 70.5%, mkt: 70.5%)

Labour costs (private sector): +0.4% (prev: +0.5%, Westpac: +0.4%, RBNZ: +0.4%, mkt: +0.4%)

The March quarter Household Labour Force Survey (HLFS) provided a modest positive surprise with the unemployment rate ticking down from 5.4% to 5.3%, the first decline since December 2021. This was better than the flat outturn that we and the market were expecting, but it was in line with the Reserve Bank's (now somewhat dated) February Monetary Policy Statement forecasts.

The fall in unemployment stemmed from the unusual combination of a rise in employment along with a fall in labour force participation, splitting the difference in terms of our somewhat out-of-market view on the composition. We felt that the jump in the participation rate in the previous quarter was overstated, having been concentrated among young people during the school holidays, and would unwind this time. That did happen to some degree, but was balanced out by stronger employment among older groups than we expected.

The other employment measures in the HLFS and the Quarterly Employment Survey (QES) painted a fairly consistent picture of a lift in activity over the March quarter. The HLFS recorded a 0.8% rise in the total number of hours worked, while the QES recorded a 0.7% rise in full-time equivalent workers and 0.6% gains in filled jobs and hours paid. All of these are broadly supportive of our forecast of a 0.8% rise of GDP for the quarter (which we expect will be partly boosted by seasonal distortions).

Wage growth remained subdued at this stage of the cycle, and was broadly in line with expectations. The Labour Cost Index (LCI) for all sectors rose by 0.5% for the quarter, although this appears to be a quirk of rounding, with the private and public sectors each recording 0.4% gains. On an annual basis the LCI held steady at 2.0%. The distribution of pay rises (for those roles that saw any increase) continues to converge on the 2-3% range, though there has been a rise in the number of employers citing the cost of living as a reason for increasing pay rates.

The unadjusted analytical LCI, which includes pay increases that are related to higher productivity, rose by 0.7% for the quarter. This measure has continued to cool off on an annual basis, slowing from 3.3% to 3.1%, the smallest rise since March 2021.

Overall, we don't think the labour market surveys will give the RBNZ much to ponder ahead of its 27 May policy review. There's a range of evidence that the economy was starting to regain some momentum in the early part of this year, but subsequent events in the Middle East have clouded the outlook for both activity and inflation pressures in the months ahead. At the least, the RBNZ can conclude that we came into this shock with a labour market that was starting to improve but still had a substantial degree of slack, a notable contrast with our Australian cousins.

Michael Gordon, Senior Economist

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ECONOMIC BULLETIN

Preview of Q1 labour market surveys: 6 May, 10:45am.

29 Apr 2026 | **Michael Gordon**, Senior Economist | +64 9 336 5670 | michael.gordon@westpac.co.nz

Steady for now

- **We expect the unemployment rate to hold steady at 5.4% for the March quarter.**
- **Higher-frequency indicators have pointed to a modest lift in jobs in recent months, though not outpacing the growth in the working-age population.**
- **While we expect to see a small downward correction in the HLFS employment measure, this doesn't alter the general picture.**
- **Wage growth is likely to have remained subdued, given the existing slack in the labour market.**
- **Our forecasts are a little softer than what the RBNZ expected in its February statement. However, the fast-moving developments in the Middle East mean that the RBNZ's forward view on the labour market will likely have shifted since then.**

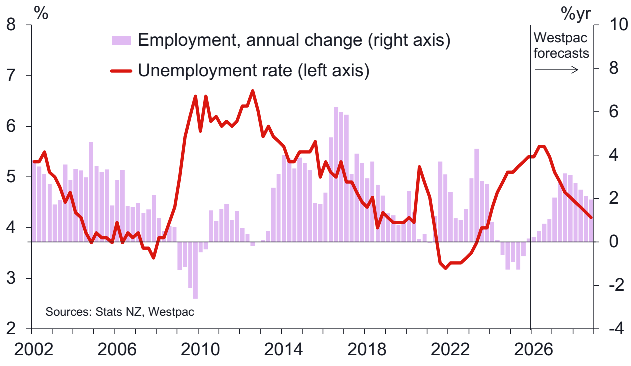
	Q4 actual	Q1 forecast	
	Quarter	Westpac	RBNZ
Household Labour Force Survey			
Unemployment rate	5.4	5.4	5.3
Employment growth	0.5	-0.1	0.4
Participation rate	70.5	70.3	70.5
Labour Cost Index			
All sectors, ordinary time	0.4	0.5	-
Private sector, ordinary time	0.5	0.4	0.4

We expect next Wednesday's labour market surveys to show a steadying in the jobs market over the March quarter. There's a growing range of evidence that the economy was starting to find its footing again in the early part of this year, at least up until the Iran conflict. But with the labour market tending to lag the broader economic cycle, we should expect jobs growth and wage demands to remain muted at this stage.

We're forecasting the unemployment rate to hold steady at 5.4% for the March quarter. We do expect a small drop in employment and participation this time, reversing a surprising jump in the previous quarter, but we're less wedded to that part of the forecast; the unemployment rate is the key variable to watch. We expect wage growth to continue running at about 2% annualised, reflecting the degree of slack in the jobs market and the moderation in inflation in recent years.

Our picks are a little softer than the Reserve Bank's February *Monetary Policy Statement* forecasts, which assumed faster jobs growth and a decline in the unemployment rate by this point. At the margin, a result in line with our forecasts would strengthen the case for caution before lifting the OCR. But the bigger issue for the RBNZ will be what has happened since the *MPS*: the Middle East oil shock will hinder the economic recovery, potentially leading to delays in hiring, layoffs and business failures. We've moved away from our pre-conflict view that 5.4% would mark the peak in the unemployment rate for this cycle.

Employment growth and unemployment rate



Details.

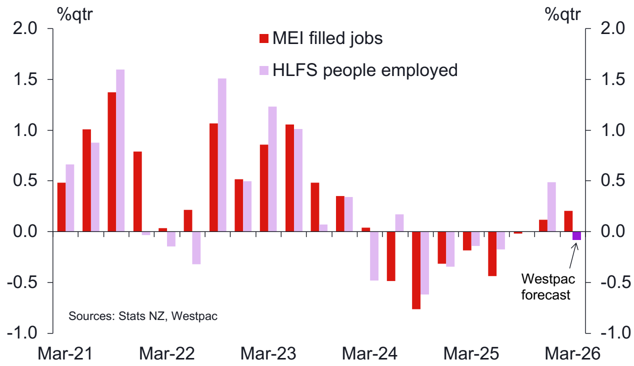
A range of indicators have pointed to the labour market stabilising in recent months:

- The Westpac-McDermott Miller Employment Confidence Index improved in the March quarter.
- Jobseeker benefit recipients were broadly stable in seasonally adjusted terms.
- Job advertisements have been ticking up and are around 10% higher than a year ago, although they remain well below their pre-Covid levels.

The best evidence comes from the Monthly Employment Indicator (MEI), which is drawn from income tax data and provides a comprehensive record of the number of jobs. There are some conceptual differences between the MEI and the quarterly HLFS, but in most cases any gap between the two is likely to reflect sampling error.

The MEI on its own suggests around a 0.2% rise in employment over the March quarter, which would be about in line with the growth in the working-age population. However, we're expecting to see a small dip in employment in the HLFS, accompanied by a drop in the participation rate. The reason is that the December quarter HLFS showed a surprisingly strong 0.5% rise in employment and a lift in participation, even as the unemployment rate also rose. Looking closer, most of the surprise was driven by a sharp rise in employment among the under-25s, which wasn't apparent in the MEI. We suspect that the HLFS captured an unusually large number of students who were working during the summer holidays, which should then return to normal as the new academic year begins. We generally recommend focusing on the unemployment rate as the key metric from the HLFS, as it's less vulnerable to sampling errors.

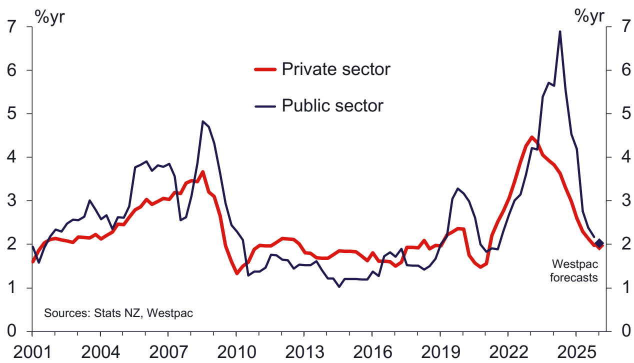
Quarterly employment change



While cost-of-living pressures are rearing up again as a concern for households, the existing degree of slack in the labour market means there's little room to negotiate larger pay increases. Business surveys have suggested that skilled workers are getting harder to find again, which may reflect the more subdued net migration trends in recent times. But unlike in the post-Covid boom, there's little evidence that employers have been willing to bid up to attract or retain workers.

We expect a 0.5% rise in the Labour Cost Index (LCI) for the March quarter, leaving annual growth at around 2%. Our forecast for private sector wage growth is slightly more subdued at 0.4%, in line with the RBNZ's forecast. The public sector tends to see larger pay increases in March quarters – we've pencilled in a 0.8% rise, though this would still see it slowing from 2.2% to 2.0% on an annual basis.

Labour Cost Index wage growth forecasts



The fast-moving developments in the Middle East mean that the labour market surveys will already be somewhat dated on their release. We'll be looking to higher-frequency data in the coming months, such as the MEI (and the weekly snapshots provided by Stats NZ) to gauge whether the conflict is affecting firms' hiring decisions. Unfortunately there's no equivalent high-frequency data on wages; while workers would no doubt like to see cost-of-living adjustments, it may be difficult to secure them in the current environment.

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WESTPAC WAVE

FIJI ECONOMIC UPDATE AND OUTLOOK

April 2026

Fiji will get through this crisis

Shamal Chand
Senior Economist, Westpac Pacific Economics

The Strait of Hormuz remains closed as the Middle East conflict enters its 53rd day. At the time of this publication, prospects for a second round of US–Iran negotiations appear to be fading in Pakistan, as Iran declines to attend. On 22 April, Trump said the US would extend the ceasefire indefinitely until a new proposal is submitted and talks conclude, while maintaining the blockade over the Strait.

Fiji finds itself in a difficult position through no action of its own. The energy market crisis triggered by the conflict is widely regarded as the largest since the 1970s oil shock, with its effects already reverberating through the Fijian economy.

Domestic fuel prices rose sharply in April, following panic buying and hoarding ahead of the official price announcement. Further fuel price increases are likely in coming months as the Fiji Competition and Consumer Commission (FCCC) reassesses global refined fuel prices, shipping/insurance costs and exchange-rate movements. Given fuel remains price-controlled, the pass-through to consumers has so far been partially muted, though pressures are clearly building.

If the conflict is prolonged, Fiji could face significant challenges to economic activity and foreign-reserve holdings, stemming from both higher import costs and potential disruptions to tourism export earnings. Airline route consolidation, driven by rising operating and jet fuel costs, poses a particular risk. Despite tourism performing strongly in the first three months of 2026, with visitor arrivals rising 7.0%y/y, we expect a flatter tourism profile for the remainder of the year in our baseline scenario, given its high exposure to the fuel-dependent transport sector. Elevated jet fuel prices and the risk of supply disruptions present downside risks, especially from the perspective of high intermediate costs. Fiji Airways has already begun consolidating operations, explicitly citing high jet fuel prices as a key driver.

Accordingly, we have downgraded Fiji's 2026 growth forecast to 2.0%, from a pre-conflict projection of 3.3%. Even if the conflict ends soon, our baseline scenario suggests a stalling recovery, with full normalisation unlikely before mid-2027. Headline inflation could rise to around 6.4% by Sept-2026.

While no physical disruptions to Fiji's fuel imports have been observed so far, cost pressures are already being felt, particularly by Energy Fiji Limited (EFL), which still relies on thermal generation for around half of national electricity demand. EFL is now urging consumers to conserve electricity amid rising fuel costs. Electricity rationing is on card now for if diesel supply is disrupted.

Fiji received a major fuel shipment on 4 April, according to IMF ports data, with another major tanker arriving on 21 April, followed by a further shipment expected in early May, based on live shipping-tracking data. On 19 April, Singapore's Foreign Minister assured Fiji that fuel shipments would not be affected.

Beyond energy, the industrial sector, including mining, faces rising input costs that will dampen real output. Manufacturers are expected to pass higher costs on to consumers over time, while agriculture is expected to see declining value addition due to higher fuel and fertiliser costs. These developments are reflected in our downgraded growth outlook. We continue to monitor and assess the ongoing conflict and will update our forecast accordingly.

The Fiji Government has repeatedly confirmed that fuel stocks remain adequate. More recently, the Government activated the four-phase Fiji National Fuel Emergency Action Plan to manage fuel and cost-of-living risks linked to the conflict. In a nationwide address, Prime Minister Rabuka announced parallel fiscal and household measures under consideration, including a proposed 20% salary cut for Ministers and MPs subject to approval, an immediate halt to overseas travel, a freeze on new civil service hiring, diesel subsidies for EFL, relief measures for bus operators, and potential temporary reductions in FNPF contribution rates to support take-home pay. With the national budget due in June, further support measures may be announced, dependent on fiscal space.

Crisis is an opportunity

History shows crises often force economies to reassess systems, behaviour and policy choices. While short-term shocks are painful, the medium- to long-term outcome often includes greater efficiency, stronger institutions and enhanced resilience. For Fiji, the conflict underscores long-recognised vulnerabilities, most notably dependence on imported fossil fuels. The COVID-19 experience offers a useful parallel: while deeply disruptive, it accelerated digital payments and improved financial inclusion.

Energy security is therefore likely to move higher on the policy agenda with this conflict. Renewable investment may accelerate, electric vehicles and plug-in hybrids could gain traction, and businesses may diversify suppliers, hold larger inventories and invest in more fuel-efficient capital. Even if this conflict proves shorter than feared, another shock will eventually emerge. For Fiji, this episode is both a warning about fuel dependence and an opportunity to build lasting energy resilience before the next crisis strikes.

Finally, expectations of a structurally weaker US dollar could provide some relief under Fiji's fixed exchange-rate regime. A firmer FJD against the USD could help contain imported inflation, particularly fuel. The FJD is expected to remain broadly stable versus the AUD, supporting tourism competitiveness, while weakening modestly against the NZD, EUR and JPY and slightly reducing export competitiveness to the US.

The fragile ceasefire extended indefinitely...

It is now 53 days since the Middle East conflict began, leading to the complete closure of the Strait of Hormuz and causing significant disruption to energy markets. The global economy has been extremely volatile since then.

The Strait of Hormuz sits at the centre of these concerns. Before the conflict intensified, more than 100 vessels transited the Strait each day. Recent data suggest that traffic has dropped to only a handful of ships. Given that close to one-fifth of the world's oil and LNG supply passes through this single chokepoint, the impact on global markets has been severe. The Strait remained closed at the time of publication.

On 22 April, President Trump said the United States had indefinitely extended the ceasefire, maintaining its naval blockade of Iranian port traffic until Iran agrees to US terms and submits a new proposal. The ceasefire, initially agreed for two weeks from 7–8 April, has come under increasing strain as military blockades persist. While large-scale air and missile strikes have paused, both sides continue to accuse each other of violating the spirit of the ceasefire.

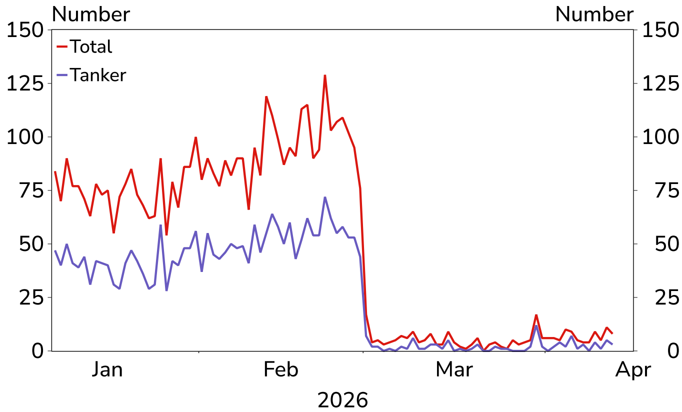
Despite US reassurances and the formal ceasefire, insurance coverage for transit through the Strait of Hormuz remains difficult to obtain, and major shipping companies remain reluctant to resume normal passage. A 10-day Israel–Lebanon ceasefire began on 16 April, easing fighting in southern Lebanon, but this has not resolved broader US–Iran conflict dynamics or maritime tensions. The US naval blockade of Iranian ports remains in place.

After Iran briefly stated that the Strait of Hormuz was fully open to commercial vessels, restrictions were re-imposed over the weekend of 18–19 April, with Tehran citing continued US violations of the ceasefire through its blockade of Iranian ports. Iran has stated that access through the Strait will remain constrained until the blockade is lifted. The US maintains that it is blockading Iranian port traffic rather than the Strait itself, but overlapping instructions and operational uncertainty have sharply reduced transit volumes.

US–Iran talks remain ongoing but inconclusive, with Pakistan acting as the main intermediary after earlier negotiations in Islamabad failed to secure a longer-term ceasefire. Reportedly, progress has stalled over three key issues: Iran's uranium enrichment and stockpiles, the US naval blockade, and rules governing Hormuz shipping access and coordination.

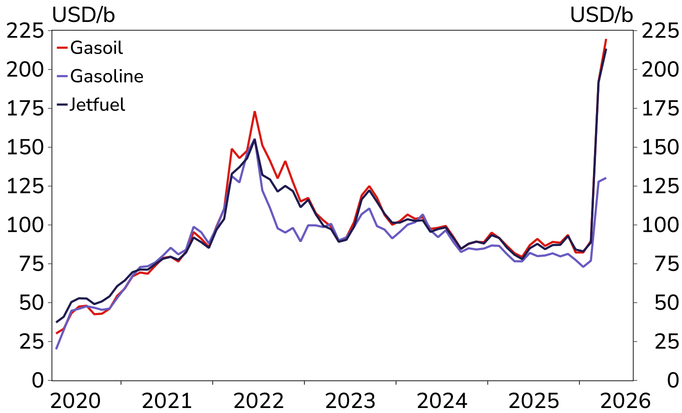
Oil prices remain extremely volatile, falling sharply following ceasefire announcements and rebounding after renewed Hormuz closures. Physical markets remain tight due to tanker congestion, re-routing, and insurance constraints. Since the onset of the conflict, tanker freight costs have surged, with Baltic Exchange dirty and clean tanker indices rising sharply. On average, global refined product prices have increased sharply, with Singapore gasoline up 169%, gasoil up 244%, and jet fuel also up 244% from pre-conflict levels.

Ships passing through Strait of Hormuz



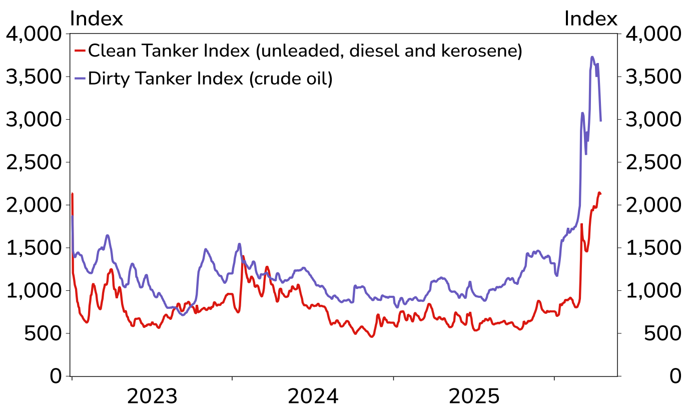
Source: IMF, Macrobond, Westpac Economics

Global Refined Fuel Price



Source: Bloomberg, Macrobond, Westpac Economics

Oil & fuel tankers shipping cost



Source: Baltic Exchange, Macrobond, Westpac Economics

... keeping Fiji's economy at risk

Fiji's economy faces significant downside risks from the ongoing Middle East conflict, leading to higher fuel prices, transport and shipping costs plus a higher import bill. Any potential disruptions to fuel supply could meaningfully hamper domestic economic activity, which is already facing significant strain from higher prices. The tourism sector faces elevated risks from higher jet fuel prices and, in a more severe scenario, the unavailability of jet fuel that could ground long-haul flights. High fuel prices, and their second-round effects transmitted through other channels, are expected to add materially to intermediate costs across all economic sectors.

Westpac's baseline assumption is that the Strait of Hormuz will be effectively closed for around 8 weeks, through to late April, followed by a slow and incomplete reopening. Full normalisation is not expected until late-2026 to mid-2027. The two-week ceasefire announced on 7 April reduced the risk of escalation, but did not materially alter near-term oil or shipping flows. Tanker traffic remains severely constrained, and Iranian exports (around 1.6 mb/d) remain largely offline. Even under a relatively optimistic ceasefire scenario, initial reopening would lift shipping capacity to only around 20–30% of pre-conflict levels, with both production and shipping recovering only gradually.

Brent oil is expected to average around US$105 per barrel in Q2 2026, easing to approximately US$75 per barrel by end-2026. However, physical oil and refined product prices are expected to remain elevated for longer due to logistics, insurance, and refinery constraints. Even if the conflict were to end in April under an optimistic scenario, the recovery is expected to be slow.

After factoring in these risks, we have downgraded Fiji's growth forecast for 2026 to 2.0%, from our pre-conflict outlook of 3.3%. Growth is expected to rebound to 3.2% in 2027. Higher input costs are expected to erode value-addition across key sectors, resulting in a broadly flatter growth profile for industries heavily reliant on fuel and transport inputs. We expect visitor arrivals to be flat this year, despite a very strong Q1 outcome, reflecting downside risks from higher fuel prices and the likelihood of jet fuel supply disruptions affecting flights. The primary sector, especially agriculture is at risk from higher fuel and fertiliser prices. Government spending is expected to provide some support in 2026. We expect cost-of-living support measures to be announced in the upcoming June Budget ahead of the General Election later this year.

Further, these domestic risks are compounded by the threat of a broader slowdown, or recession, across Fiji's major trading and tourism markets, particularly Australia, New Zealand, and the US. Higher inflation and weaker growth in these economies could constrain their household budgets, reducing outbound travel and dampening tourist arrivals to Fiji.

Westpac Economics, in its latest April Market Outlook, expects the Middle East conflict to remain a major global shock in 2026 with Australia expected to experience a slight slowdown, with GDP growth averaging around 1.8% in 2026, trimmed-mean inflation peaking near 4%, and unemployment rising towards 5%. The Reserve Bank of Australia is expected to deliver three further 25bp rate hikes (in May, June, and August) to contain second-round inflation pressures.

New Zealand is also entering a period of slower growth of 1.5% and elevated inflation, with higher oil prices acting as a negative terms-of-trade shock. In the US, growth had already slowed prior to the conflict. The Federal Reserve is expected to remain on hold, tolerating energy-driven headline inflation while closely monitoring labour-market risks.

Asia remains highly exposed given its reliance on energy and food imports. Inflation pressures are expected to keep policy settings tighter for longer, though outcomes remain uneven. China is relatively insulated, with Q1 2026 growth at 5.0%y/y and longer-term support from rising global demand for green technologies.

Overall, there is an upside risk to our growth outlook if the tourism sector sees minimal impact from the conflict, beating our underlying assumption. However, this would depend on flights continuing to operate as normal and the national airline being able to absorb higher operating costs through efficiency gains, without any disruptions.

Medium-term economic growth forecast

Sectors	2020	2021	2022	2023	2024	2025	2026	2027	2028
Primary	-3.8%	9.1%	3.0%	3.8%	4.4%	4.0%	2.4%	4.6%	3.8%
Industry	-15.3%	-8.8%	10.2%	0.3%	2.4%	1.1%	0.2%	1.6%	1.0%
Service	-20.9%	-6.9%	25.1%	13.5%	3.6%	3.3%	2.3%	3.2%	3.0%
Net taxes	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%
Real GDP	**-17.2%**	**-4.3%**	**17.7%**	**9.4%**	**3.5%**	**3.1%**	**2.0%**	**3.2%**	**2.9%**

Source: Westpac Pacific Economics

Fuel prices will rise further

Fuel prices rose sharply nationwide from 1 April, with motor spirit increasing to $2.93 per litre (from $2.44), diesel to $2.89 per litre (from $2.14), and kerosene to $2.40 per litre (from $1.69). These increases were broadly in line with our expectations. As expected, gas prices saw no major change due to their contractual pricing arrangements. However, rising shipping costs could place upward pressure on LPG prices in the near-term.

So far, the full impact of global energy price increases has not yet been fully felt domestically in Fiji, largely due to fuel price controls.

Fuel prices are expected to rise further in May, with additional adjustments likely to be announced by the FCCC in the coming days, adding to the price increases experienced in April. Our fuel price forecasts are presented in the table below.

Fuel prices are expected to exceed levels experienced during the Russia–Ukraine war in upcoming months, reflecting much wider refinery margins, damage to oil and gas infrastructure in the Middle East, and the prolonged closure of a major global chokepoint.

Even before the March price adjustments took effect, there were early signs of panic buying and fuel hoarding locally, placing additional pressure on logistics and supply chains.

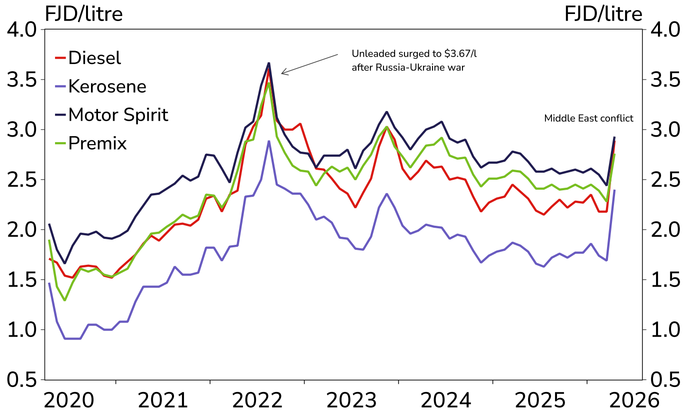
Higher fuel prices are expected to feed through into input costs across all sectors. Given Fiji's heavy reliance on imports and shipping for food supply, higher fuel and insurance costs have raised shipping costs, placing upward pressure on the prices of food and other essentials.

Headline inflation is expected to peak at around 6.4% by September 2026, averaging 3.4% for the year, with upside risks should the conflict extend beyond April under our baseline scenario and the Strait of Hormuz remain closed.

The Fiji Government imposes a 46c per litre fiscal duty on motor spirit and around 20c per litre on diesel, together with 12.5% VAT. FCCC accommodates a retail margin of 10c per litre on motor spirit and 9.5c on diesel. The Fiji Government's fiscal space to respond to incoming inflationary pressures is extremely limited. While reducing fiscal duties could be considered, this would not be best practice.

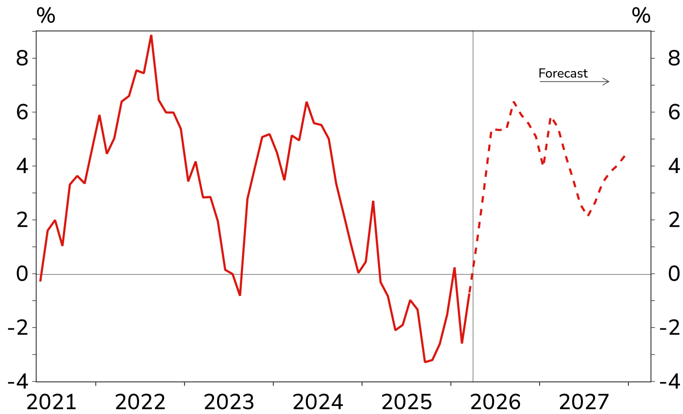
As with the VAT cut in the last budget, fuel duty reductions are unlikely to be fully passed through to consumers. Targeted income support for vulnerable households would be a more effective option.

Fiji Domestic Fuel Price



Source: IMF, Macrobond, Westpac Economics

Headline inflation forecast



Source: FBoS, Macrobond, Westpac Economics

Westpac Pacific Fuel Price Forecast

Date	Motor Spirit ($/L)	Premix ($/L)	Diesel ($/L)	Kerosene ($/L)
April-26 (Current Price)	2.93	2.76	2.89	2.40
May-26	3.33 [3.10-3.56]	3.10 [2.89-3.32]	3.55 [3.29-3.81]	3.03 [2.80-3.27]
June-26	3.36 [3.13-3.60]	3.04 [2.82-3.25]	3.68 [3.41-3.94]	3.16 [2.92-3.39]

Note: 95% confident that prices will fall within the stated confidence range in [...]. There is 5% margin for error in this forecast given uncertainties around the assumptions and daily developments regarding the conflict. These are price forecasts, see disclaimer.
Source: Westpac Pacific Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Fiji's fuel supply remains unaffected

Global oil market

The Energy Information Administration (EIA), in its April report, estimates that around 7.5 mb/d of crude oil production was shut in during March, rising to about 9.1 mb/d in April, largely across Iraq, Saudi Arabia, Kuwait, the UAE, Qatar and Bahrain. These shut-ins have forced consuming regions to draw down inventories rapidly.

Global observed oil inventories fell by 85 mb in March. Outside the Middle East Gulf, stocks declined by 205 mb, while oil on water fell sharply by 107 mb. Meanwhile, inventories have been building in the Middle East, with around 100 mb added to floating storage and about 20 mb added to onshore crude stocks. China added 40 mb of crude in March, acting as a partial buffer for the global system, with some of these barrels supplying Singapore refineries. The EIA has downgraded its near-term global oil demand outlook. Even after the conflict ends, demand destruction from sustained high prices and the continued structural shift away from oil are expected to remain a constraint on the global oil market over the long-term.

Robert Rennie, Westpac's Head of Commodities and Carbon Strategy, notes in a recent Energy Market Report that the market is materially under-pricing the physical impact of the US–Iran conflict. He estimates that around 12 mb/d of crude and refined product exports have been disrupted, implying roughly over 550 million barrels removed from global supply.

Fiji's fuel supply

At present, fuel shipments are en route to Fiji, with the Shan Gang Fa Xian vessel (45,841 DWT) arriving on 2 May. The Morning Glory tanker vessel (50,322 DWT) arrived on 21 April. Importantly, deliveries scheduled for both April and May remain secured, and no disruptions to fuel shipments to Fiji have been observed to date.

On 19 April, Singapore's Foreign Minister also assured Fiji that Singapore will not impose restrictions on fuel exports and will continue to ensure the free flow of energy supplies through diversification, resilience and open international trade routes.

In March, Fiji imported approximately 85,861 tonnes of fuel, of which about 11,585 tonnes were re-exported to other Pacific Island countries. This left roughly 74,276 tonnes available for domestic use, adding an estimated 26 days of fuel cover to national reserves. According to IMF port data, Fiji imported 56,085 tonnes of fuel as of 17 April, while re-exported 19,410 tonnes of fuel, resulting in a net import of 36,675 tonnes Comparatively, Fiji imported over 100,000 metric tonnes of fuel in April last year. In 2025, Fiji imported about 1.3 million tonnes of fuel, with around 170,000 tonnes re-exported to neighbouring Pacific economies.

The domestic fuel market is supplied by Mobil, Pacific Energy and TotalEnergies Fiji, with bulk storage terminals located at Walu Bay in Suva and Vuda Point in Lautoka. Dedicated LPG facilities are located in Lami and Malau. Nationwide fuel storage capacity exceeds 100 million litres, while average daily fuel consumption is close to 2.5 million litres, placing Fiji's standalone fuel cover at roughly 40 days under normal operating conditions. When scheduled deliveries are incorporated, effective fuel cover typically extends to two to three months.

Fiji imports 100% of its refined fuels, including petrol, diesel, Jet A-1 and kerosene, predominantly from Singapore, while LPG is sourced from Australia under longer-term supply arrangements.

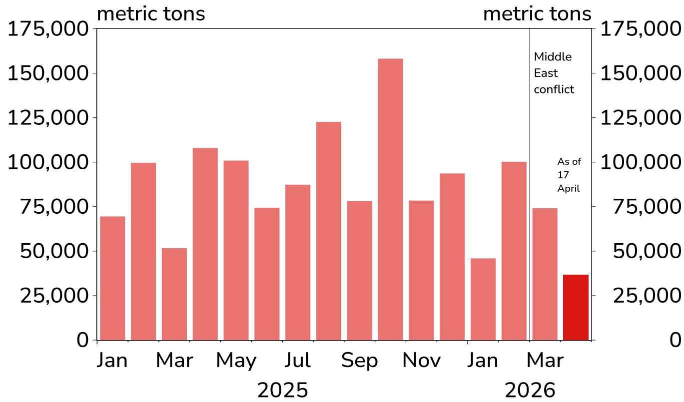
Why is the diesel price so high?

Historically, the price of diesel has been below that of unleaded petrol. However, this trend is now changing. The key reason lies in tightness within refined fuel markets, particularly for diesel and jet fuel. The EIA highlights that refining systems are globally less flexible than crude supply, and refinery operations have been disrupted by both crude availability constraints and direct infrastructure risks.

Diesel is also a globally traded fuel, critical for shipping, trucking and industrial activity worldwide. Diesel powers freight transport, heavy machinery, power generators and military vehicles. Even in war-driven price spikes, trucks must continue hauling goods, ships must keep sailing, and backup generators must remain operational. Refineries cannot instantly shift production to increase diesel output. Diesel is derived from specific crude fractions, which are particularly exposed during geopolitical disruptions. This is why diesel prices have gone up quickly.

Elevated diesel prices have significant implications for electricity generation in Fiji, where Energy Fiji Limited (EFL) continues to rely on thermal generation to meet around half of total electricity demand.

Fiji's net fuel import



Source: IMF, Macrobond, Westpac Economics

Tourism is still the X-factor

We expect visitor arrivals to remain broadly flat in 2026, despite a strong start to the year. Visitor arrivals in Q1 2026 increased by 7.0%y/y, supported by robust outcomes across all three months. Arrivals totalled 70,993 in January, dipped seasonally to 54,219 in February, before rebounding sharply to a record 71,765 in March. This lifted total Q1 arrivals to 196,977 visitors, compared to 184,119 in 2025.

Monthly growth strengthened through the quarter, rising from 0.3%y/y in January to 9.6% in February and 12.4% in March. March recorded the highest visitor arrivals ever for the month, suggesting demand regained momentum following the seasonal slowdown in February.

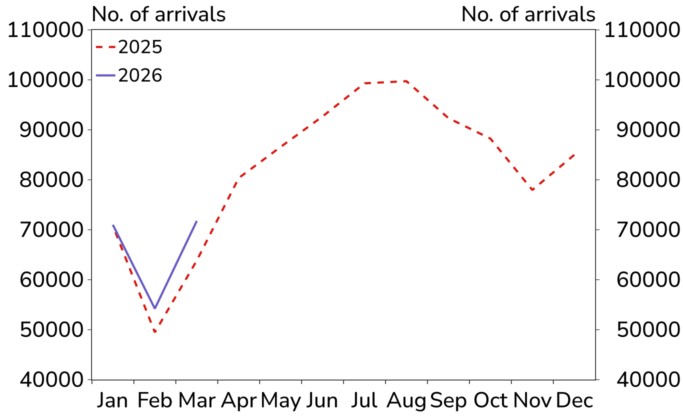
While tourism sector momentum was strong in early 2026, the outlook for the remainder of the year is becoming more challenging. Elevated jet fuel prices, coupled with risks of fuel supply disruptions linked to the ongoing Middle East conflict, present significant headwinds for airline operations and the wider tourism sector.

These pressures have already begun to affect flight capacity. Fiji Airways has announced the temporary suspension of four services across two international routes, including selected services on the Nadi–Brisbane route from late April and Tuesday services on the Dallas–Nadi route between May and mid-June. With fuel remaining its single largest cost, the airline is preparing for a prolonged period of elevated operating expenses. Management has signalled a cautious approach, focusing on efficiency gains, route optimisation, and prioritising core Australia and New Zealand markets, while seeking to limit fare increases where possible. The national airline is expected to face higher operating costs, which will weigh on its margins. The national airline may pursue further route consolidation if access to jet fuel at offshore airports becomes constrained, as countries increasingly prioritise domestic supply.

Australia remained Fiji's largest source market in Q1 2026, with arrivals totalling 86,445 visitors, up 8.5%y/y, although its share of arrivals softened in February before recovering in March. New Zealand arrivals rose 5.1%y/y to 33,506 visitors, providing steady support across the quarter. Arrivals from the US continued to perform strongly, increasing 5.2%y/y to 26,189 visitors, with the US share of arrivals rising steadily through the quarter. Visitor arrivals from China spiked in February before easing in March, pointing to early signs of a gradual recovery from Asian markets, albeit still below pre-pandemic levels. Overall, Fiji's major source markets continued to account for around 82–90% of total arrivals.

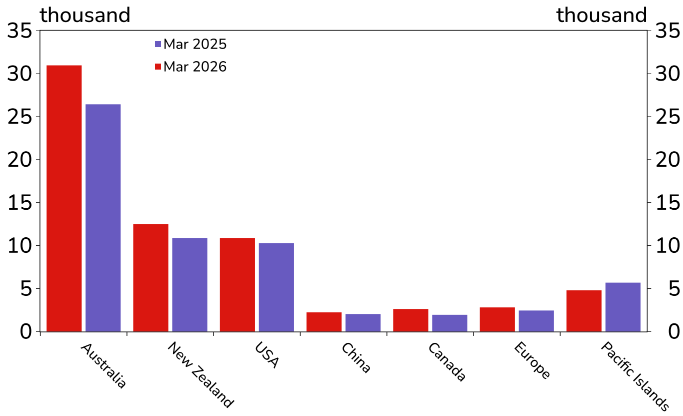
Working-age travellers remained the dominant visitor cohort, with 65.2% aged 25–64, while holiday travel continued to account for around 75-80% of arrivals each month. Under our baseline scenario, these factors point to flat visitor arrivals for 2026, with upside risk should fuel prices ease and operational disruptions prove limited.

March visitor arrivals up 12.4%

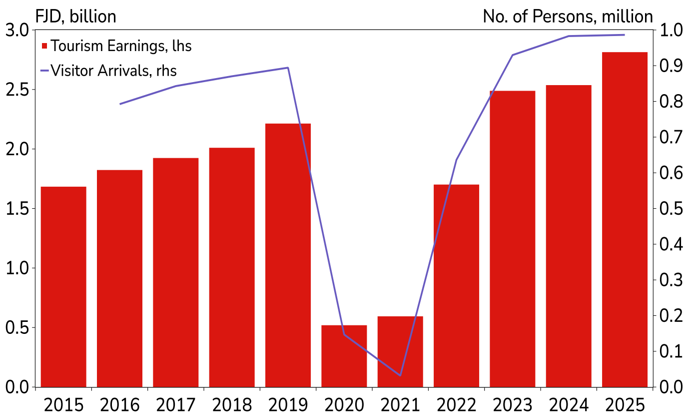


Source: FBoS, Macrobond, Westpac Economics

Australia, NZ and US top markets



Tourism Earnings



Source: FBoS, Macrobond, Westpac Economics

Fiji dollar risks contained

Westpac Economics, in the latest [April Market Outlook](), expects the US dollar to weaken structurally over the medium term as its safe-haven appeal fades, despite ongoing Middle East risks. USD gains have remained capped during the conflict, with markets increasingly willing to look through geopolitical shocks amid expectations of a gradual reopening of the Strait of Hormuz and improving global growth prospects outside the US. The DXY index is expected to fall from around 98 to 96.8 by end-2026 and to 94.0 by end-2027.

The Australian dollar is expected to outperform, supported by Australia's relatively tighter policy stance. The RBA is set to deliver three additional rate hikes, lifting AUD back to multi-year highs. AUD strength is described as being rate-driven, assisted by a positive terms of trade shock, rather than purely risk-on sentiment, with AUD/USD forecast to trade around 0.73–0.74 through 2027.

The New Zealand dollar is also projected to recover gradually as the USD weakens, though energy-related income shocks and slightly later RBNZ tightening cash rate. NZD/USD is forecast to rise toward 0.62 by end-2026 and 0.67 by end-2027.

The Euro is identified as a key beneficiary of USD depreciation as the ECB shifts from expected cuts to rate hikes in response to higher energy-driven inflation. Westpac projects EUR/USD to rise toward 1.20–1.22 by 2027.

The Japanese yen, starting from very weak levels, is forecast to strengthen materially as Japanese policy normalises and global risk conditions stabilise, with USD/JPY falling toward the low-140s by 2028.

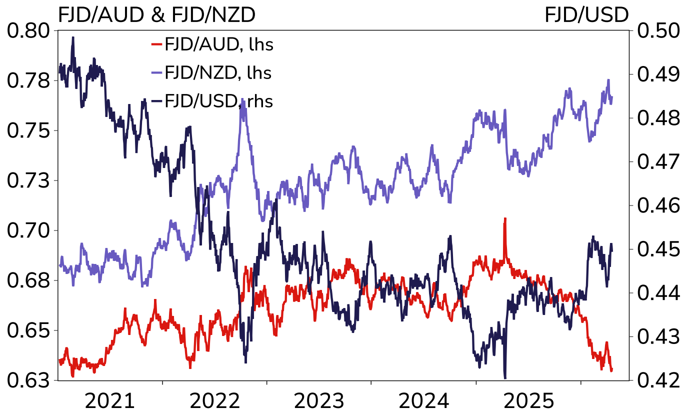
As such, under Fiji's basket-peg exchange rate regime, the RBF target stability in the trade-weighted FJD. The projected path implies the FJD strengthens against the USD, remains broadly stable versus the AUD, and weakens modestly against the EUR, JPY and NZD over time.

This aligns with our expectation that the US dollar increasingly lacks support, even amid Middle East tensions, A firmer Fiji dollar against the US dollar could help contain imported inflation pressures, particularly for USD-invoiced imports such as fuel and freight-intensive goods. This means Fiji exports to the United States, especially mineral water could become slightly more expensive for US consumers.

From a tourism competitiveness perspective, the largely stable FJD/AUD relationship implies Fiji's price competitiveness for Australian visitors remains broadly unchanged. However, a weaker FJD against the NZD suggests Fiji becomes marginally more affordable for New Zealand visitors.

FJD weakness against the Japanese yen raises the local currency cost of Japan-sourced goods and services, like Japanese vehicles.

Fiji dollar performance



Source: , Macrobond, Westpac Economics

Exchange rate forecast

Majors	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
FJD/USD	0.4409	0.45	0.46	0.46	0.46	0.47	0.47	0.47	0.47	0.47
FJD/AUD	0.6298	0.63	0.60	0.63	0.63	0.63	0.63	0.63	0.64	0.64
FJD/EUR	0.3838	0.38	0.39	0.39	0.39	0.39	0.38	0.38	0.38	0.38
FJD/JPY	71.85	71	72	71	70	70	69	69	67	66
FJD/NZD	0.7642	0.76	0.76	0.74	0.72	0.71	0.70	0.70	0.70	0.70
AUD/USD	0.7153	0.72	0.77	0.73	0.73	0.74	0.74	0.74	0.73	0.73
EUR/USD	1.1740	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
USD/JPY	159.41	158.0	156.0	154.0	152.0	150.0	148.0	146.0	144.0	142.0
NZD/USD	0.5893	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67

Source: Bloomberg, Westpac Economics Market Outlook, Westpac Pacific Economics

Energy investment is critical for Fiji's future

There was considerable discussion around the Fijian Competition and Consumer Commission's (FCCC) proposed electricity tariff changes in late December 2025. The announcement attracted country-wide criticism from households and businesses concerned about the potential economic impact, prompting a 21-day public consultation period in January.

Now that the initial reaction has eased, it is timely to revisit this issue. This discussion has become even more relevant in the context of the ongoing Middle East conflict, which has once again exposed Fiji's vulnerability to global energy price shocks and supply disruptions. The Minister for Finance, Esrom Immanuel had indicated that the final increase in electricity tariffs is expected to be lower than the initially proposed 24.2%, following public consultation feedback. Even so, tariff rates are still expected to rise.

Revisiting the proposed changes, under the FCCC's 2025 tariff determination Fiji was set to transition from a single flat tariff to an inclining block (tiered) structure for domestic customers, although this has since been put on hold.

More than half of residential customers were to fall within the 0–100 unit band and would therefore see no change in their electricity bills. For commercial customers, the had FCCC approved a move from a flat tariff to a stepped inclining block structure, with rates ranging from around 43c to 63c per unit and an average increase of 24.2%. As with households, higher consumption attracts higher marginal tariffs. Notably, electricity tariffs were last revised in October 2019.

This note outlines why an eventual increase in electricity tariffs remains justified and important for Fiji's future, despite short-term inflationary pressures, especially in a world where geopolitical risks are once again driving fuel price volatility.

The global AI revolution is driving large-scale investment into energy supply, grid systems and supporting infrastructure to meet electricity-intensive digital demand. In larger economies, deep capital markets and competitive pricing frameworks support this transition.

Fiji, however, faces different realities. Electricity supply in Fiji is a natural monopoly. Generation and grid systems require large, long-lived upfront investments that cannot be efficiently duplicated in a small market. When tariffs are held below the cost of reliable supply, investment is delayed, outage risks rise, and the system becomes increasingly reliant on ad-hoc public support, an approach that becomes more problematic when fiscal pressures are rising due to higher global fuel and import costs linked to conflicts such as those in the Middle East.

For Fiji to position itself as a regional trade and digital connectivity hub, sustained investment in energy infrastructure is essential. Electricity demand has already risen to the point where additional diesel generators are required during peak periods, exposing Fiji directly to global fuel price movements. At the same time, Google has begun constructing a major ICT facility in Natadola, including a new subsea cable landing station. This strengthens Fiji's role in regional digital connectivity but also raises the importance of a reliable, expandable and modernised power system. Fiji still relies heavily on fossil-fuel generation, and meeting rising demand sustainably will require an accelerated shift toward renewable energy.

Stronger grid investment and renewable energy development are also critical for Fiji's core economic sectors. Tourism, which accounts for nearly 70% of services activity, depends on stable electricity for hotels, airports and transport systems. Agriculture (13.5% of GDP) relies on electricity for irrigation, cooling, milling and packaging, while manufacturing (17.4% of GDP) depends on reliable power to remain competitive. In an environment of global energy uncertainty, a weak grid would amplify economic shocks rather than absorb them.

Energy Fiji Limited (EFL) has outlined more than FJ$1.7 billion in planned investment over the next decade, aligned with Fiji's target of achieving 100% renewable electricity by 2035. EFL has reported electricity demand growth of around 9% in 2024 and expects annual demand growth of about 5%. At current tariff levels, EFL has indicated it would be unable to adequately fund new generation capacity, transmission upgrades and system-wide resilience, increasing the risk of future power disruptions.

Financing these investments cannot rely on syndicated banking alone. Small Island Developing States face high capital costs, limited economies of scale and long payback periods, making energy projects less attractive to private financiers, particularly when tariffs are tightly constrained. EFL has stated that tariff revenue is the only stable and predictable cash flow available to service debt and unlock long-term financing.

While higher electricity tariffs will have a measurable short-term impact on inflation, the effect is likely to be smaller than feared and should ease over time. The longer-term benefits including reduced diesel imports, lower exposure to global energy price shocks, and stronger energy security are especially valuable during periods of geopolitical instability. Higher tariffs may also encourage greater uptake of rooftop solar, strengthening energy independence further.

The experience of the Water Authority of Fiji offers a cautionary lesson. Persistently low tariffs, chronic under-investment and reliance on public support have led to frequent service disruptions. Fiji cannot afford to repeat this mistake in the energy sector.

Fiji Government yields

Month	3 mths	6 mths	12 mths	10 yrs	15 yrs	20 yrs
Mar-26	0.20	0.45	1.12	3.90	4.15	5.75
Feb-26	0.20	0.45	1.12	3.90	4.15	5.75
Jan-26	0.20	0.45	1.12	3.90	4.15	5.75
Dec-25	0.20	0.45	1.12	3.90	4.15	5.75
Nov-25	0.20	0.45	1.12	3.90	4.15	5.75
Oct-25	0.20	0.45	1.13	3.90	4.15	5.46
Sep-25	0.20	0.45	1.13	3.90	4.15	5.50
Aug-25	0.20	0.45	1.15	3.90	4.15	5.50
Jul-25	0.20	0.45	1.19	3.90	4.15	5.00
Jun-25	0.20	0.45	1.19	3.90	4.15	5.00

Source: Westpac Pacific

Interest rate forecast

Economies	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Australia										
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10

Source: Westpac Economics Market Outlook

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025	2026	2027	2028
World	6.7	3.8	3.3	3.4	3.4	3.1	3.2	3.3
United States	6.2	2.5	2.9	2.8	2.1	1.5	1.6	1.8
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.2	0.6	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Europe	6.4	3.7	0.5	0.9	1.5	0.8	1.3	1.6
Australia	5.4	4.2	2.1	1.0	2.0	1.8	1.2	2.4
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	3.5	3.3

Source: Westpac Economics Market Outlook

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The FOMC favours a steady hand

#fomc #usd #us

By Elliot Clarke
Head of International Economics, Westpac

08:24 April 30 2026

Share

The FOMC kept the stance of policy and their outlook unchanged in April as expected, at Powell's last meeting as FOMC Chair.

As expected, the FOMC kept the stance of policy unchanged at its April meeting and, broadly speaking, portrayed a balanced baseline and risk outlook. This is despite not explicitly stating a hike is as likely as a cut – language the dissenters Hammack, Kashkari, and Logan arguably would have preferred. This outcome is consistent with our and the market's expectations as well as the degree of uncertainty evident in financial markets – the price of Brent crude rising circa 7% today to USD120 per barrel while US equities held near record highs.

The Committee's take on economic activity was sanguine, with GDP characterised as "expanding at a solid pace" and the unemployment rate "little changed in recent months" even as job gains "remained low". Members' views on the price outlook showed caution but not overt concern, with inflation simply characterised as "elevated". "The Committee is [also] attentive to the risks to both sides of its dual mandate", and Chair Powell noted in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral", "perhaps mildly restrictive".

We have been more concerned than the FOMC over domestic inflation stemming from capacity constraints and, in such an economic state, believe outsized and/or persistent second-round effects of energy and tariff inflation are meaningful risks. Still, with growth below trend in Q4 2025 and Q1 2026, and likely through mid-2027, there is no urgency to take a hawkish stance, let alone hike. Per Chair Powell's remarks and current market pricing, the best course is to hold and continue assessing current conditions and uncertainties.

Like all other major central banks, the road ahead for the Federal Reserve is challenging. The domestic and international risks the economy and Committee face are disparate and could persist for some time. The FOMC will also have to navigate considerable US fiscal uncertainty over the year(s) ahead. A continued uptrend in the US 10-year yield, and consequently the 30-year mortgage rate, will limit the breadth of growth across the economy and weigh on household and financial market confidence. In time, it will also restrict the Government's capacity to act against a meaningful deterioration in economic momentum as the interest burden grows. As such, we cannot discount policy rate cuts entirely, though they are more likely to be a topic of conversation in 2027 or 2028 than 2026.

Finally, with Kevin Warsh's nomination for FOMC Chair advancing from the Committee stage to a full vote in the Senate, it is important to recognise this meeting was Powell's last meeting as Chair. In the press conference though, Powell made clear he still intends to stay on as a Federal Reserve Governor, and consequently a member of the FOMC, until the investigations into the Federal Reserve are "well and truly over with finality and transparency". The Department of Justice dropping their criminal investigation into the organisation and Chair Powell are a decisive step in that direction, but the Supreme Court decision in Lisa Cook's case is still to come, and the Federal Reserve's own investigation into construction costs has to be completed to rule out the Department of Justice re-opening its investigation. Powell remaining in place as a Governor over the period will provide continuity while these uncertainties are resolved.

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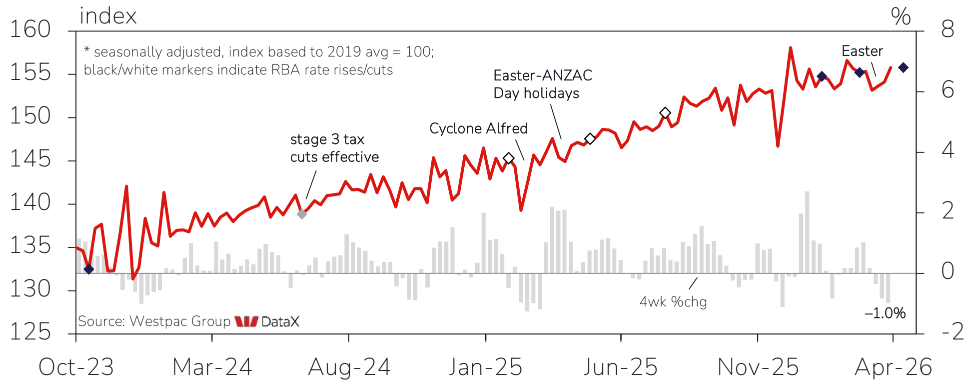
Card activity points to stalling growth in discretionary spend

- The **Westpac-DataX Card Tracker Index*** continues to show a complex mix of factors affecting activity week to week but with clearer signs of a slowing in discretionary categories starting to emerge. The Index rose 2.1pts over the two weeks to April 25, reversing a similar sized decline around the start of the month. Some of the variation looks to be due to residual holiday-related softness around Easter.
- Quarterly growth momentum remains subdued, holding around a 1% pace as at late April, down a touch on the 1.2% gain in Q1 and materially slower than the 2% average over the previous three quarters. Notably, non-fuel spend is tracking a more subdued 0.5%qtr pace.
- Monthly growth continues to track a more volatile path, much of which reflects big swings in fuel prices, spiking in March but with a significant fall in April as the excise tax cut came into effect and a pull-forward in demand subsided. The latest week is tracking a sizeable 1% decline on a monthly basis. Notably, non fuel card activity is also tracking a weak monthly pace, down 0.7%. Some of the latter may be due to the aforementioned residual holiday-related softness.
- The category detail provides a somewhat clearer picture that suggests we are seeing an underlying shift in spending momentum. While there is considerable noise coming from both fuel and electricity related activity, discretionary categories, and especially discretionary services, are showing a more pronounced slowdown with data over the last six weeks suggesting this has tipped over into outright contraction.
- Six weeks does not quite qualify as a decisive signal for the card data, the 'gold' standard we use being 12 week or quarterly growth rates. The added volatility from holidays and sharp changes in fuel-related activity also means weekly and monthly patterns need to be interpreted carefully. That said, a shift from softening growth to outright contraction in discretionary spend would be consistent with the signs of a deepening 'cost of living' shock to consumers evident in other measures such as consumer sentiment.

"… clearer signs of a slowing in discretionary categories …"

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.
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If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

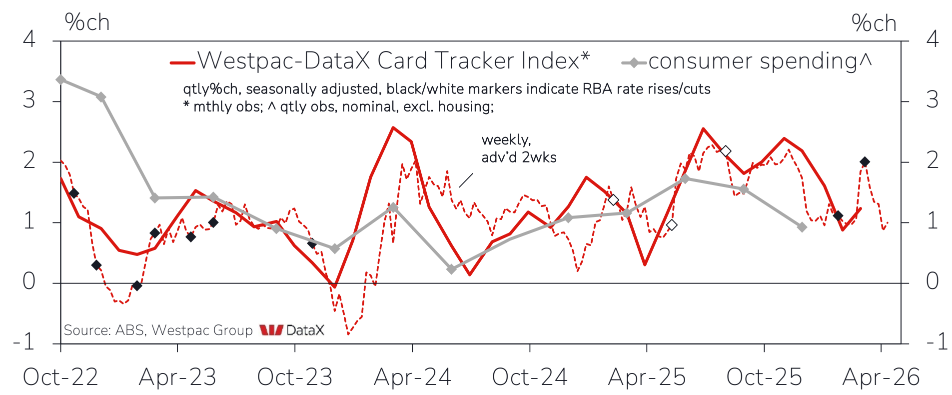
Monthly moves volatile, quarterly momentum sluggish

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a clear moderation since November, coming in at 1.2% for the March quarter, the latest week tracking a slightly softer 1% pace. The same growth rates excluding fuel are 0.9%qtr and 0.5%qtr respectively.
- Monthly activity has been extremely choppy through March-April reflecting both fuel price effects (an initial surge then partial retracement following the temporary halving in fuel excise tax that came into effect in April) and volume effects (a surge in demand as buyers tried to secure fuel ahead of price rises and possible shortages). Non-fuel activity posted a 0.5% rise in the March month but is tracking a 0.7% monthly contraction as at late April.
- ABS data is only just capturing the first part of these shifts. The March household spending indicator recorded a 1.6% rise in nominal activity in the month, both the monthly and quarterly nominal closely in line with our card measure. However, the real, inflation-adjusted gain of 0.7%qtr was above expectations, the implied price change of just 0.3%qtr quite puzzling given the strong Q1 CPI result (see here).

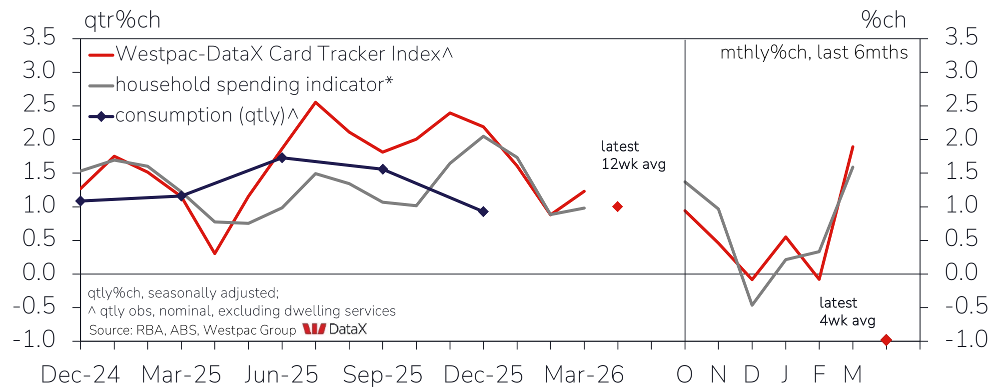
qtly%ch	Q3	Q4	Q1	latest^
Westpac–DataX Card Tracker	1.8	2.2	1.2	1.0
ABS monthly household spending indicator*				
Nominal	1.1	2.0	1.0	n.a.
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.6	0.9	n.a.	n.a.
Real	0.6	0.2	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
\# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



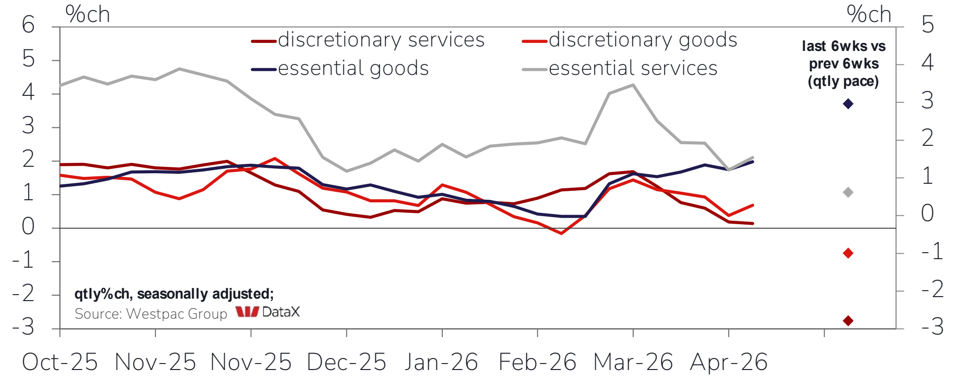
Discretionary services tipping into contraction?

- Chart 4 shows quarterly growth in card activity across broad categories, with markers indicating the quarterly pace over the last six weeks.
- Discretionary segments have driven all of the moderation since 2025 with a notable softening over the last two months, particularly for discretionary services where quarterly growth momentum has stalled flat. Activity over the last six weeks suggests discretionary services is starting to see a material contraction (running at close to 3% on a quarterly basis). Card activity across discretionary goods segments has also dipped, contracting at around a 1% quarterly pace over the last six weeks.
- In contrast, card activity has been firm or lifted across essentials categories. For goods, this mainly reflects sharply high fuel activity, with growth in essential goods ex fuel is tracking a more subdued 0.2%qtr growth pace. The essential services segment remains positive but has slowed since earlier in the year.
- By state, quarterly growth is tracking at a slower pace in Vic and NSW, is slightly firmer in Qld and SA, and noticeably firmer in WA (Chart 5). Interestingly, the last six weeks has seen a more material softening in Qld and WA. We have recently updated our state forecasts to incorporate the significant changes to our national view since March (see here).

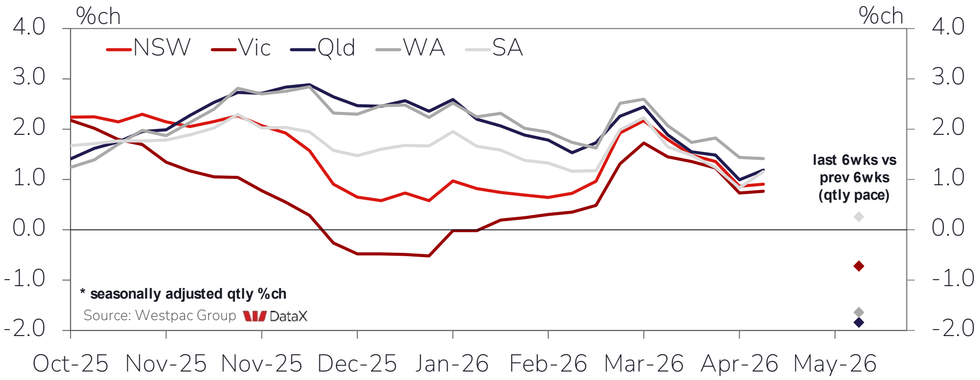
	Jan	Feb	Mar	25/4
Westpac–DataX Card Tracker	**154.4**	**154.2**	**157.2**	**155.8**
By category				
– discretionary*	156.0	155.5	156.4	155.4
– essential*	149.5	150.0	155.6	155.9
By state				
– NSW	148.7	148.2	150.9	150.9
– Vic	145.3	146.1	148.2	145.7
– Qld	169.7	165.2	172.9	171.8
– WA	169.8	171.1	173.0	170.4
– SA	161.6	159.9	164.9	166.1

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

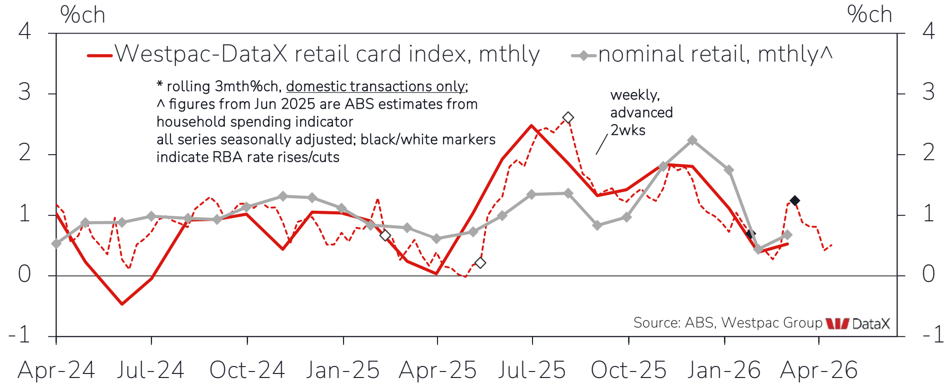


Retail a touch softer, basic food in particular

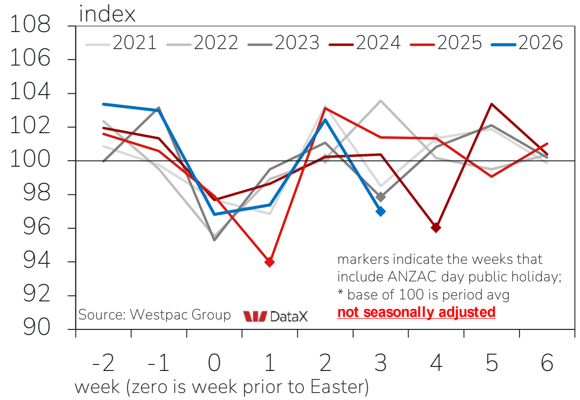
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures suggest corresponding ABS measures are likely to show little change in quarterly growth rate terms for the month of April. The latest signal shows our MHSI index tracking at 0.9%qtr vs the March ABS measure of 1%qtr. For retail, the latest 0.5%qtr compares to the March ABS read of 0.7%qtr.
- As this indicates, the picture suggests the narrower 'retail' segment is underperforming. Some of that reflects the fact that this excludes fuel segments. However, food retail has also been notably weak through March and April.
- Some of this may be residual holiday-related softeness. Chart 7 shows how non seasonally adjusted card activity has tracked around the the Easter break this year compared to previous years. This year's pattern is very similar to the previous five years although the latest week may have seen a bigger than usual dampening effect from ANZAC Day.

	Jan	Feb	Mar	25/4
MHSI card index	**150.6**	**150.4**	**153.7**	**152.6**
– qtly%ch	1.3	0.5	1.0	0.9
– qtly, ann%ch	5.4	5.5	6.3	6.2
ABS MHSI				
– %ch	0.2	0.3	1.6	n.a.
– qtly%ch	1.7	0.9	1.0	n.a.
– qtly ann%ch	5.0	4.9	5.4	n.a.
Retail card index	**151.0**	**150.5**	**152.1**	**150.2**
– qtly%ch	1.1	0.4	0.5	0.5
– qtly, ann%ch	5.1	5.2	5.7	5.6
ABS retail sales				
– %ch	0.5	0.4	1.2	n.a.
– qtly%ch	1.7	0.4	0.7	n.a.
– qtly ann%ch	4.8	4.4	4.8	n.a.

6. Card activity: retail



7. Card activity: Easter-ANZAC day periods compared



Week ended dates*:

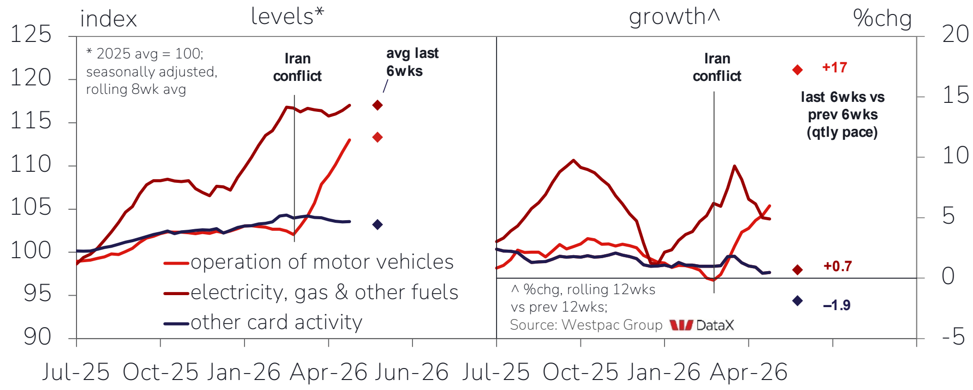
Mth	Wk	21	22	23	24	25	26
Mar	3	20-03	19-03	18-03	16-03	22-03	21-03
	4	27-03	26-03	25-03	23-03	29-03	28-03
Apr	1	03-04	02-04	01-04	30-03	05-04	04-04
	2	10-04	09-04	08-04	06-04	12-04	11-04
	3	17-04	16-04	15-04	13-04	19-04	18-04
	4	24-04	23-04	22-04	20-04	26-04	25-04
	5^	–	30-04	29-04	27-04	–	–
May	1	01-05	07-05	06-05	04-05	03-05	02-05
	2	08-05	14-05	13-05	11-05	10-05	09-05

* light grey is week prior to Easter; dark grey is week including ANZAC day (Mondayised in WA, ACT and NSW (2026 only).
All weekly observations are for Sunday to Saturday.

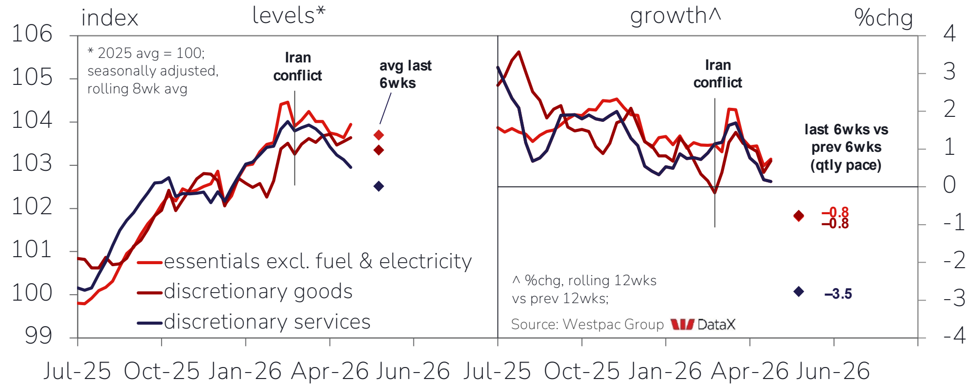
Middle East energy shock: update

- The energy shock continues to reverberate through the Australian economy. This update takes a closer look at how fuel and non fuel card transactions have tracked since February.
- As noted, March and April have seen large swings in fuel transaction activity coming from both prices and volumes. Average terminal gate fuel prices spiked 65% over the four weeks to March 23 dropping 24% over the following four weeks as a temporary halving in excise tax and exemption from GST came through. Transactions volumes also saw a material rise initially with a 10% lift in March suggesting there was active fuel stockpiling in the month, something that now looks to have subsided.
- There have also been some notable developments around electricity that are worth excluding when analysing quarterly growth trends. In particular, the March quarter saw the final roll off of Federal and state government energy rebate schemes. This shift, which was clearly evident (if not the main focus) in the March CPI report (see here) has the effect of driving a significant rise jump in 'out of pocket' electricity spend for Australian consumers.
- Chart 8 shows card activity since July split into 'operation of motor vehicles' (mainly fuel), electricity, gas & other fuels, and other card activity. The left panel is indexed with 100 being teh 2025 average and the right panel shows quarterly growth rates. All figures are seasonally adjusted.
- The earlier rise in electricity and post-Feb surge in fuel are stark. Also evident is the slowing in non-fuel card activity with has seen quarterly growth essentially stall. The last six weeks suggest this deterioration has accelearted materially since mid-March, tracking a quarterly pace of contraction of 1.9%.
- Digging further into the 'other' component, Chart 9 shows the same picture but for non-fuel essentials, discretionary goods and discretionary services. The softening is particularly pronounced for discretionary services, especially the weakenign over the last six week. As discussed elsewhere, some of the softness over the last six weeks may be a residual Easter effect. However, the more pronounced slowing in discretionary services suggests there is a significant 'belt tightening' effect happeing over and above this.

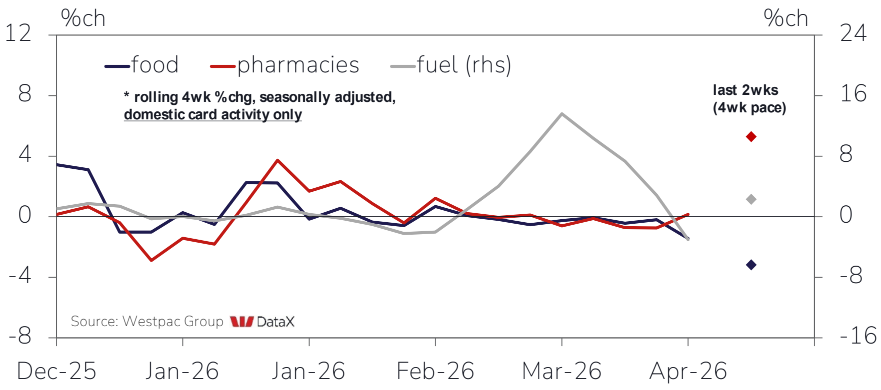
8. Card activity: fuel, electricity and other segments combined



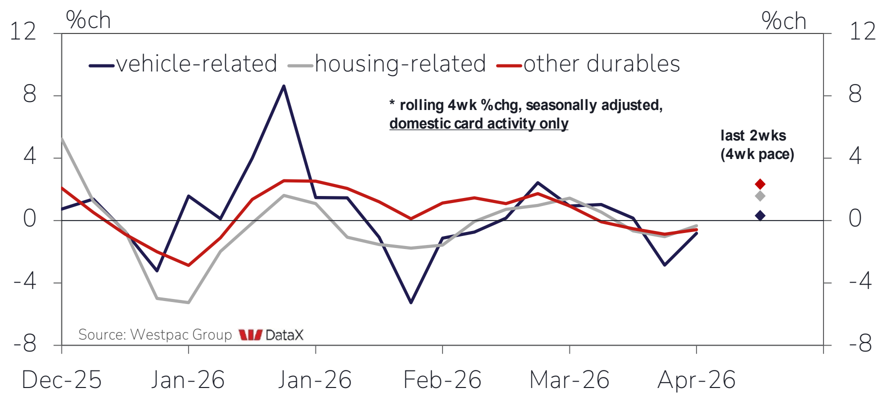
9. Card activity: non energy by selected broad categories



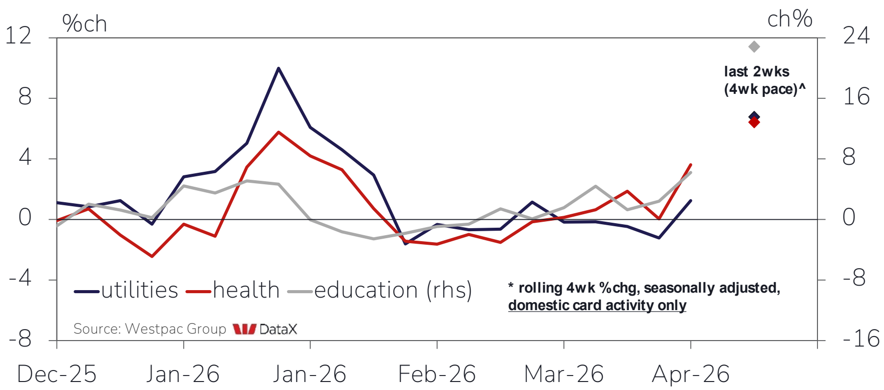
12. Card activity: essential goods



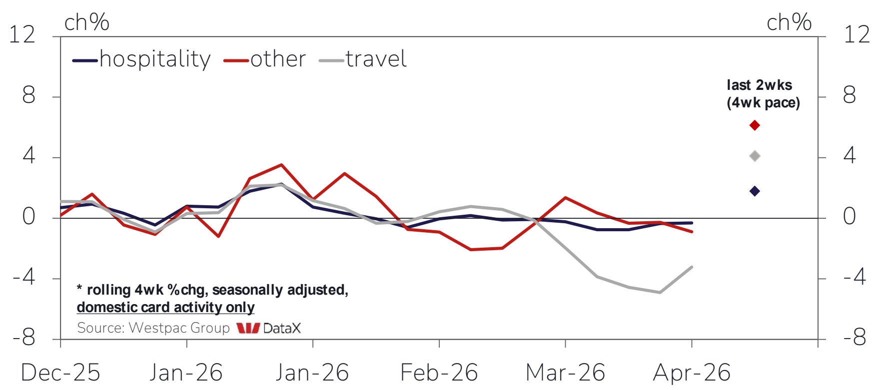
13. Card activity: discretionary goods



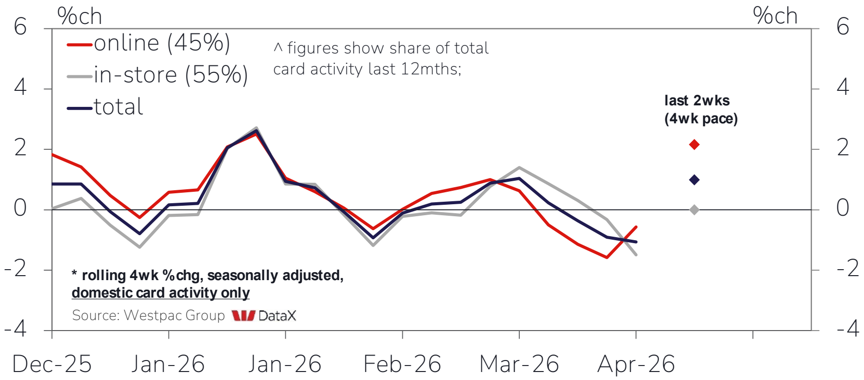
14. Card activity: essential services



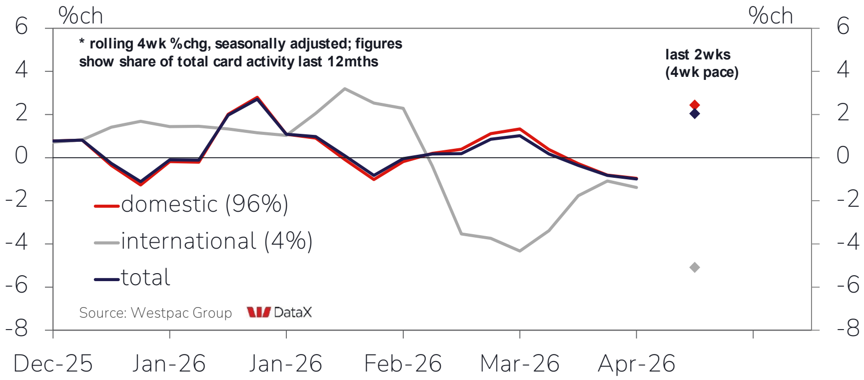
15. Card activity: discretionary services



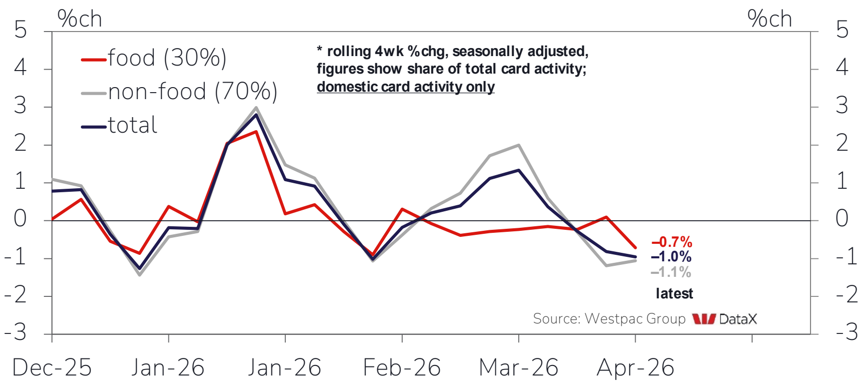
16. Card activity: online and in-store



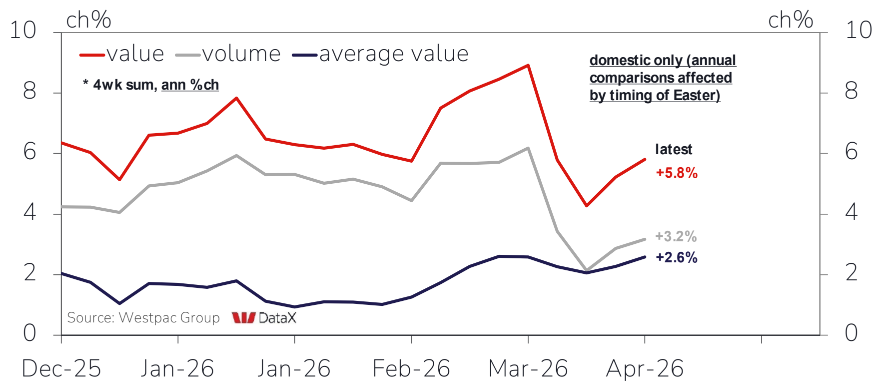
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

WESTPAC CARD INDICATORS*

	2024			2025				2026				week ending:			
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	4/4	11/4	18/4	25/4
Westpac–DataX Card Tracker Index	**140.1**	**141.3**	**143.1**	**144.7**	**147.4**	**150.1**	**153.4**	**155.3**	**154.4**	**154.2**	**157.2**	**153.2**	**153.6**	**154.1**	**155.8**
qtly%ch	0.6	0.8	1.3	1.1	1.9	1.8	2.2	1.2	1.6	0.9	1.2	1.3	1.3	0.9	1.0
qtly, ann%ch	4.2	4.0	5.4	3.9	5.2	6.2	7.2	7.3	6.6	6.7	7.3	7.2	7.0	7.0	7.0
By category															
– discretionary	141.6	143.2	145.7	146.0	149.1	151.6	155.2	156.0	156.0	155.5	156.4	153.6	153.5	155.4	155.4
– essential	137.6	138.1	138.7	141.4	143.3	146.1	148.5	151.7	149.5	150.0	155.6	151.2	152.6	151.9	155.9
services	145.6	147.8	150.4	153.1	156.5	160.0	164.1	166.3	165.9	166.5	166.4	162.4	164.3	165.1	168.7
– discretionary services	148.2	151.1	154.3	155.0	158.9	161.3	166.1	166.9	167.1	167.1	166.5	162.2	163.7	165.6	164.2
– essential services	141.9	143.0	144.8	150.4	153.0	158.1	161.3	165.3	164.1	165.6	166.2	162.6	165.1	164.4	175.1
goods	134.8	134.9	135.6	136.0	137.8	139.6	141.8	143.6	142.0	141.4	147.4	144.2	143.7	144.1	144.7
– discretionary goods	134.3	134.5	136.3	136.3	138.4	140.9	143.3	144.1	143.9	142.8	145.4	144.3	142.5	144.2	145.7
– essential goods	135.1	135.1	135.0	135.7	137.3	138.5	140.5	143.2	140.4	140.2	149.0	144.2	144.8	144.0	143.8
MHSI card index*	139.2	140.2	141.8	142.5	145.1	147.2	150.1	151.6	150.6	150.4	153.7	150.6	150.8	151.3	152.6
qtly%ch	0.2	0.7	1.1	0.5	1.8	1.5	1.9	1.0	1.3	0.5	1.0	1.2	1.1	0.7	0.9
qtly, ann%ch	3.6	3.4	4.7	2.6	4.2	5.0	5.8	6.3	5.4	5.5	6.3	6.2	6.0	6.0	6.2
retail card index*	139.9	141.2	142.7	143.1	145.8	147.7	150.4	151.2	151.0	150.5	152.1	151.1	150.3	151.5	150.2
qtly%ch	-0.5	0.9	1.1	0.2	1.9	1.3	1.8	0.5	1.1	0.4	0.5	0.8	0.8	0.4	0.5
qtly, ann%ch	2.6	2.9	4.1	1.8	4.2	4.6	5.4	5.7	5.1	5.2	5.7	5.8	5.6	5.5	5.6
By state															
– NSW	135.5	136.4	138.0	140.1	142.4	143.7	147.9	149.3	148.7	148.2	150.9	148.4	147.8	148.8	150.9
– Vic	134.7	135.3	136.9	138.6	140.0	142.4	144.8	146.5	145.3	146.1	148.2	144.7	144.7	145.0	145.7
– Qld	148.2	151.0	153.9	155.2	158.1	162.2	168.7	169.3	169.7	165.2	172.9	169.8	168.0	168.4	171.8
– WA	148.8	151.4	154.1	157.1	159.8	163.4	168.2	171.3	169.8	171.1	173.0	169.2	173.1	172.3	170.4
– SA	146.9	147.8	150.2	151.8	154.2	157.0	160.8	162.1	161.6	159.9	164.9	162.2	160.4	163.0	166.1

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

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Week beginning 4 May 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA May hike locked in.

The Week That Was: Policy perspectives from across the globe.

Focus on New Zealand: RBNZ's Breman says core inflation stable.

For the week ahead:

Australia: RBA policy decision, household spending indicator, dwelling approvals, goods trade balance.

New Zealand: RBNZ financial stability report, unemployment rate, employment, LCI wage inflation.

Japan: S&P Global services PMI.

China: RatingDog Services PMI.

Euro area: PPI, retail sales, Sentix investor confidence, S&P Global manufacturing PMI.

United States: Unemployment rate, average hourly earnings, trade balance, ADP employment change.

World: S&P Global Services PMI.

Information contained in this report current as at 1 May 2026.

RBA May hike locked in

Luci Ellis
Chief Economist, Westpac Group

We reaffirm our expectation that the RBA Monetary Policy Board (MPB) will raise the cash rate a further 25bps at its May meeting, to 4.35%. Inflation was higher than the MPB was comfortable with prior to the Middle East conflict, spurring it to lift the cash rate in both February and March. The RBA doubled down on its views that the economy was tighter than full employment and needed to be restrained to get inflation back under control.

Those rate hikes were based on data relating to the period before the war. While petrol prices have since reversed much of the 32.8% increase recorded in March, part of this was driven by the cut to excise, due to expire in a few months. Diesel prices – and thus freight costs – remain very elevated. The RBA could look through higher fuel prices if that was all that was happening, but it is not. Pass-through to other (non-fuel) prices is clearly starting, touching everything from building products to takeaway food if the reports we are receiving are any guide. The RBA will be hearing similar stories from firms in its liaison program.

March would have been very early days for much pass-through to be evident in the CPI. For example, many of the price increases for building products we are aware of did not take effect until 1 April. Today's CPI data nonetheless show scattered signs of pass-through to other prices. There were some promising signs in softer monthly prices of appliances and some other household goods. However, home-building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month and quarter. Services related to audio-visual, computing and telecommunications also increased in the month, which for telecommunications went against the run of recent months' results.

This is occurring in the context of a starting point where non-tradables and services inflation are already too high. At 0.8%qtr, the RBA's preferred quarterly trimmed mean measure of inflation is still too high for the RBA to walk past, even though it was a touch lower than our pre-release expectation, a downside risk we had flagged.

Together with the spike in both consumer inflation expectations and business survey measures of costs and prices, the March inflation data will have the RBA's inflation warning lights flashing bright red. The MPB will see an imperative to address high inflation despite the caution expressed by the minority voters in March.

Some observers point to the demand-destruction higher fuel prices can unleash via the hit to real incomes, which will dampen inflation on its own eventually. This is plausible, but it will take too long to assuage an RBA facing an extended period of above-target inflation.

Indeed, based on its communication so far, especially the March minutes, the MPB puts little weight on that argument. The minutes characterised the supply shock as 'further exacerbating existing capacity pressures', and the future demand destruction as just a possibility. This view flows from the RBA's analysis that the economy is already too tight, as inferred from inflation already being above target. It is also taking signal from the income boost from higher LNG prices, but no disinflationary signal from exchange rate appreciation beyond what is already implied by the RBA's own actions on rates.

"We reaffirm our view that the RBA will raise the cash rate 25bps to 4.35% next week."

We also consider significant what the RBA has not communicated in recent weeks. When markets began pricing in multiple policy rate hikes by the ECB, Bank of England and Bank of Canada, senior officials at those central banks pushed back. Indeed, BoE Governor Bailey stated in an interview with Reuters that "markets had gotten ahead of themselves". ECB President Lagarde used a speech on 25 March to highlight that the current shock was likely to be less inflationary than the energy shock in 2022 when Russia invaded Ukraine at a time that other supply chains were still recovering from pandemic disruption. The RBA has not pushed back in the same way. In addition to the higher starting point for inflation here, part of the reason seems to be that Australia is already seeing the pass-through to other prices that other central banks are still at the stage of watching for.

All this adds up to the MPB wanting to tighten policy further. The refreshed forecast in the Statement on Monetary Policy will allow the RBA to set out its views of the inflation impulse from the war, making May a good opportunity to take, and explain, the next step.

The outlook for the cash rate beyond May is necessarily less certain. We hold to our base case that there will be two further rate hikes after May, in June and August. The RBA's experience last year, when underlying inflation popped back up almost immediately after it cut rates, will have nudged some within the RBA to the idea that the cash rate needs to be higher than its previous peak to really get inflation under control (for the technically-minded, their individual estimates of the neutral rate got revised up). While outwardly the RBA continues to characterise its strategy as being willing to be a bit less activist to hold onto the post-pandemic employment gains, most of the original architects of that strategy have left the building and those inclined to be more activist will have more influence.

There is a chance that the RBA ends up doing less than our base case, if the voices on the MPB that counselled caution in March can sway other members, or if pass-through to non-fuel prices turns out to be less than current information suggests. However, we put less weight on this scenario given the starting point for domestically driven inflation.

Cliff Notes: policy perspectives from across the globe

Elliot Clarke, Head of International Economics
Illiana Jain, Economist

In Australia, the Q1 CPI report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, Chief Economist Luci Ellis reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our preliminary note sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, the FOMC then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

> **"The initial consequences of the Middle East conflict for Australian consumer inflation were seen."**

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that "upside risks to inflation and downside risks to growth have intensified" and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March's baseline and the upcoming six weeks "will be the right time" to assess the economy "in order to make an informed decision". Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England's April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring "a prompt but modest hike in Bank Rate" to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee's readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages $108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages $127 this quarter and remains above $100 well into 2028 – would likely require "a forceful tightening in monetary policy", however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE's most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

RBNZ's Breman says core inflation stable

Darren Gibbs
Senior Economist

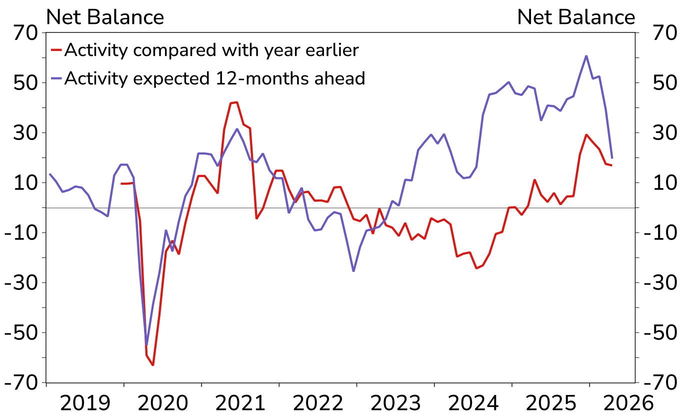
The domestic focus during this past holiday-shortened week has remained on gathering up-to-date information on how the New Zealand economy is being impacted by the ongoing Middle East conflict and assessing the RBNZ's likely response.

Early in the week, RBNZ Governor Breman participated in an event in Hamilton as part of her regional engagement programme. While there were no formal speech notes, the RBNZ issued a press statement outlining the points that she planned to make during a panel discussion, while audio from the session was also made available. In our view, Breman's comments were consistent with those made at the 8 April OCR review. Specifically, Breman stated that "...the Reserve Bank remains focused on balancing inflation control with supporting economic recovery." And she reiterated that "...monetary policy can and should ensure that a temporary increase in inflation does not turn into enduring inflationary pressures."

Perhaps the main news was Breman's reflection on last week's Q1 CPI report. She noted that annual inflation of 3.1% was slightly higher than expected at the time of the April OCR Review. But importantly, she added that "...measures of core inflation, which look through this volatility, have remained stable within the target band." She also emphasised that the Bank was focused on the prospect of second-round inflation effects, specifically transmitted through the labour market, rather than the first-round impact of higher fuel prices. These comments suggest that the RBNZ will take the time necessary to fully understand the nature and implications of the conflict before deciding how it should respond. Breman's comments were the initial catalyst for the repricing of prospects of a rate hike at the RBNZ's 27 May meeting, which the market now views as around 25% (down from 60% at the beginning of the week). Confidence reports released later in the week – discussed below – have contributed to that repricing. For the record, Westpac continues to forecast a first lift in the OCR in September.

Staying with the RBNZ, it was announced this week that the Minister of Finance and the Bank's Monetary Policy Committee (MPC) have agreed changes to the MPC Charter. These changes will provide more transparency and accountability to MPC decision-making. They also are a subset of the reforms we recommended in a note published last year before the new Governor took up her role. While the new Charter continues to encourage the formation of a consensus decision, it requires that the votes of individual members be attributed when a vote takes place. As well as attributing votes, material differences of view or judgement within the Committee will also be attributed in the published Record of Meeting, even when no vote is taken. This will make it easier for MPC members to publicly express differing views on the economic outlook and monetary policy strategy (indeed, it makes clear that members are encouraged to communicate those views externally). The new Charter will be in place for the RBNZ's 27 May meeting so will help elucidate any differences in view amongst the MPC. These reforms are a welcome step in the right direction in our view. Although just how effective the changes will be is still to be assessed in light of just how frequent votes are and the threshold applied when determining if an alternative view is specifically recorded.

Activity past year vs expected year ahead

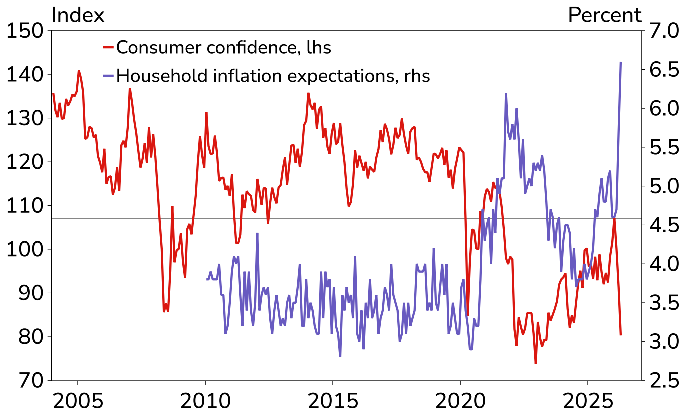


Source: ANZ, Stats NZ, Macrobond, Westpac Economics

On the data front, the focus was the ANZ's Business Outlook Survey for April. Overall, the broad theme of the survey was much as should have been expected based on the late responses to last month's survey and the results of last week's QSBO business survey. Headline business confidence has taken a significant knock, with net optimism declining to -10.6 from 32.5 in April – the first negative reading since 2023. Encouragingly, firms remain more optimistic about their own situation, although the proportion of firms expecting their own trading activity to increase over the next year has halved to 19.6. A similar proportion continue to report an increase in activity levels over the past year, suggesting that demand is holding up for many firms. Uncertainty is curbing firms' willingness to invest in expanding their businesses, however, with net hiring intentions turning modestly negative in April and net investment intentions sliding to barely positive levels. Overall, this survey portrays the picture we expected to see a few weeks ago when we significantly downgraded our view on growth through mid-2026.

Predictably, firms' year-ahead inflation expectation increased to 3.81% from 3.08% previously, even as the net proportion of firms reporting an intention to raise prices fell modestly from March. Firms reported a sharply higher expected increase in their costs over the next three months, whereas expected price increases were little changed from last month's survey. This points to significant pressure on firms' profit margins. Perhaps as a response, firms forecast for year-ahead wage growth fell to just 2.5% - now close to last year's low. The latter is likely to be viewed somewhat encouragingly by the RBNZ given its concern that high near-term headline CPI inflation rate could morph into second-round inflation by driving a wage-price spiral (albeit the current slack in the economy).

Consumer confidence and inflation expectations



Source: ANZ, Westpac New Zealand, Macrobond, Westpac Economics

Turning to the rest of this week's data, the ANZ's consumer confidence index slumped a further 12% to a three-year low of 80.3 in April. This reading is in line with the responses that had been collected in the final week of the March survey, suggesting that confidence may have been broadly stable over the past month. The net proportion of households thinking it's a good time to buy a major household item (the best retail indicator) fell 11ppts to -25, which is the lowest level since September 2024. This appears consistent with some recent anecdotes from the retail sector. Household's two-year ahead inflation jumped 0.9ppts to 6.6%, thus exceeding the levels reached even during the Covid spike.

The final piece of data this week was the building consents report for March. The number of dwelling consents fell a modest 1.3% during the month but were still 8.2% higher than a year earlier. Given that most of the consents issued in March were likely filed in February, it will be another month or two before any impact from the Middle East conflict becomes evident in the building consents figures.

One piece of good news this week was the Government's announcement that it had reached an agreement with one of the largest fuel companies to supply 90m litres of diesel – equivalent to nine days of regular demand – to fill the additional storage space that will become available towards the end of June. This will increase the average level of diesel in the country at any given time by about a third, adding a small but welcome degree of resilience.

Looking ahead to next week, the focus domestically will be on the March quarter labour market surveys. While these surveys will give no insight about the emerging impact of the Middle East conflict, they will still provide important information on the degree of spare capacity and labour cost pressure prior to the oil price shock.

As my colleague Michael Gordon wrote in his preview, [we expect that the unemployment rate likely remained stable at 5.4%] during the March quarter. While the tax-based Monthly Employment Indicator (MEI) points to a modest lift in employment in the quarter – broadly in line with growth in the working age population – we expect the Household Labour Force Survey (HLFS) of measure of employment will post a 0.1%q/q decline. This simply reflects our sense that the 0.5%q/q increase in the HLFS measure in the December quarter was likely overstated, with the MEI failing to validate the HLFS's indication of a sharp rise in employment among the under-25s during that quarter. With the labour force participation rate in the December quarter likely similarly overstated, we expect a modest decline in participation to be recorded in the March quarter.

Turning to labour costs, given the usual lags, spare capacity in the labour market will likely continue to have restrained wage growth in the March quarter. We expect a 0.5%q/q rise in the Labour Cost Index (LCI) for the March quarter, leaving annual growth at around 2%. Our forecast for private sector wage growth is slightly more subdued at 0.4%q/q. The public sector tends to see larger pay increases in March quarters – we've pencilled in a 0.8%q/q rise, though this would still see annual growth slow from 2.2% to 2.0%.

Our picks are a little softer than the RBNZ's February Monetary Policy Statement forecasts, which assumed faster jobs growth and a decline in the unemployment rate by this point. At the margin, a result in line with our forecasts would strengthen the case for caution before lifting the OCR. But the bigger issue for the RBNZ will be what has happened since the MPS: the Middle East oil shock will hinder the economic recovery, potentially leading to delays in hiring, layoffs and business failures. The RBNZ will need to balance what this might mean for medium-term inflation against the risk that high near-term inflation could nonetheless raise medium-term inflation expectations.

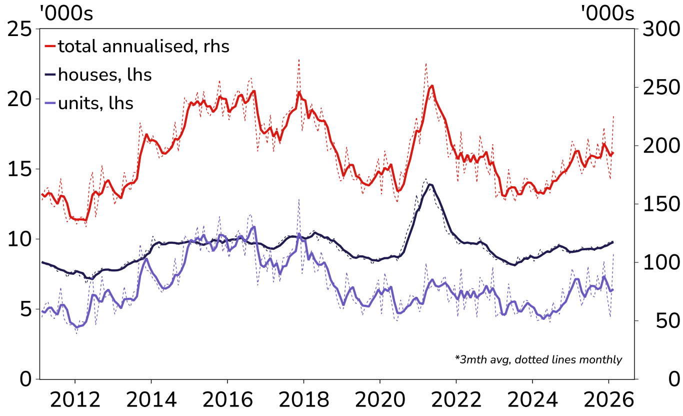
AUS: Mar Dwelling Approvals (%mth)

May 4, Last: 29.7, Westpac f/c: –5.0
Market f/c: –10.0, Range: –29.0 to –4.0

Dwelling approvals rebounded sharply in Feb, up 29.7%mth and 14%yr. The bounce more than retraced a 20% drop through Dec–Jan that followed a choppy run over the previous four months. The volatility has centred on private unit approvals. Private detached house approvals were broadly flat in Feb but have shown positive underlying momentum since the start of the year.

March is likely to show a move lower, the Feb jump taking high rise approvals to an elevated high level that is unlikely to sustain. Detached house and medium density unit approvals should retain some positive momentum. While the mix is uncertain, a 5% decline in total approvals is plausible. Note that it will take a several months for interest rate rises and other developments to impact dwelling approvals.

Approvals ascent re-emerges



Source: ABS, Macrobond, Westpac Economics

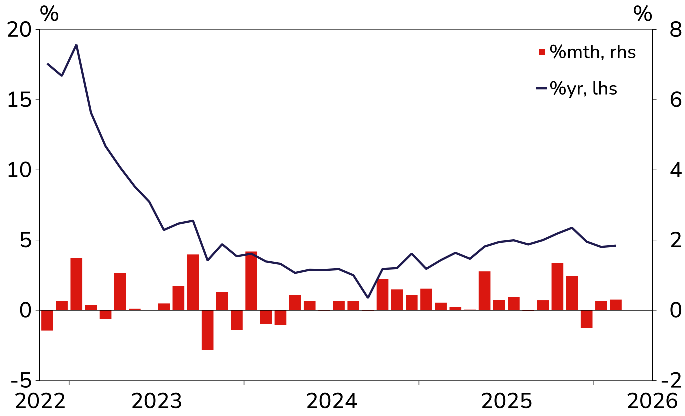
AUS: Mar Household Spending Indicator (%mth)

May 5, Last: 0.3, Westpac f/c: 2.0
Mkt f/c: 1.5, Range: –0.5 to 2.4

The Household Spending Indicator rose 0.3%mth in Feb, matching Jan's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr.

March is expected to show a big jump led by a sharp rise in fuel prices and a pull-forward in fuel purchases. Our **Westpac-DataX Card Tracker** suggests the ABS spending indicator is likely to be up around 2% for the month. That would mark the strongest monthly increase since July 2022 and take annual growth to just above 6.5%yr. Note that the March report will also include estimates for Q1 household spending in real, inflation-adjusted terms. With nominal spend tracking a 1.1% rise in the quarter and the CPI posting a 1.4% rise, real spending may record a small decline for the quarter.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

AUS: RBA Policy Decision (%)

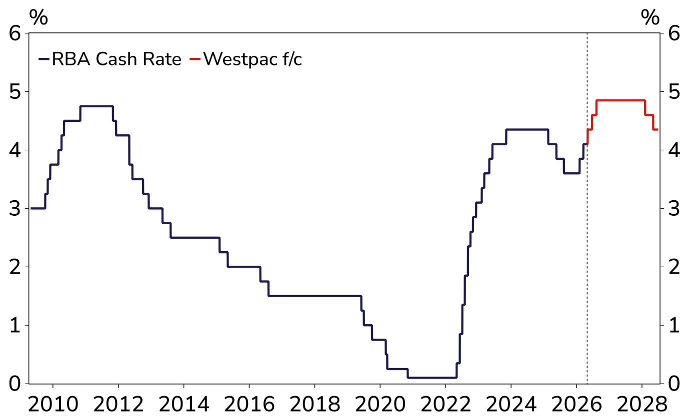
May 5, Last: 4.10, Westpac f/c: 4.35
Market f/c: 4.35, Range: 4.10 to 4.35

Westpac expects the RBA Monetary Policy Board (MPB) will deliver its third consecutive 25bp rate hike at the May meeting, raising the cash rate back to its previous peak of 4.35%.

The Q1 CPI report demonstrated that inflation was higher than the MPB was comfortable with prior to the Middle East conflict. Pass-through of higher fuel costs to other prices throughout the economy is clearly starting. Given the higher starting point and faster pass-through, communications from RBA officials have not pushed back on market's pricing in rate hikes over recent weeks, unlike other central banks.

This round will include a refresh of the staff forecasts which will allow the RBA to set out its views of the inflation impulse from the war. For more detail, see [Page 2](#).

RBA to hike in May



Source: RBA, Macrobond, Westpac Economics

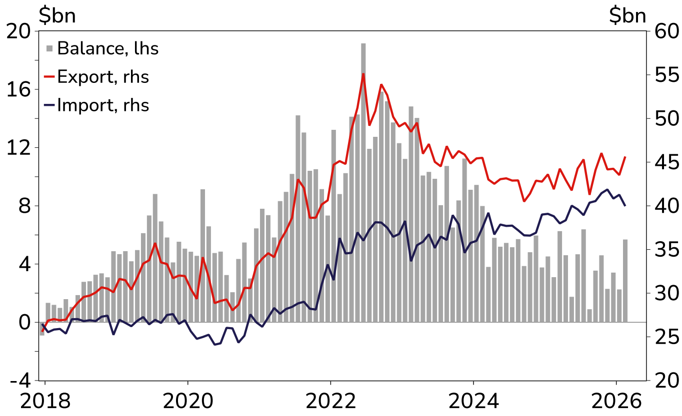
AUS: Mar Goods Trade Balance ($bn)

May 7, Last: 5.7, Westpac f/c: 3.9
Mkt f/c: 4.4, Range: 2.0 to 7.5

A combination of an increase in gold exports, along with a rebound in rural goods outflows, led to an almost 5%mth rise in export values in February. Imports fell by more than 3%mth, primarily due to ongoing volatility in key capital goods imports, leaving the goods trade balance at a seven-month high of $5.7bn.

March is typically a strong month for key commodity exports, but seasonally adjusted data may show lower shipments of the Big 3 commodities. This is despite a significant rise in coal exports, driven by increased demand from Asia. Disruptions from the Middle East conflict could affect Australian imports – although data from ports does not currently indicate a significant impact on oil imports, so we have pencilled in a modest recovery in imports. Overall, we think the headline goods surplus will ease back below $4bn, a level in line with last year's average.

More volatility in goods trade to be expected



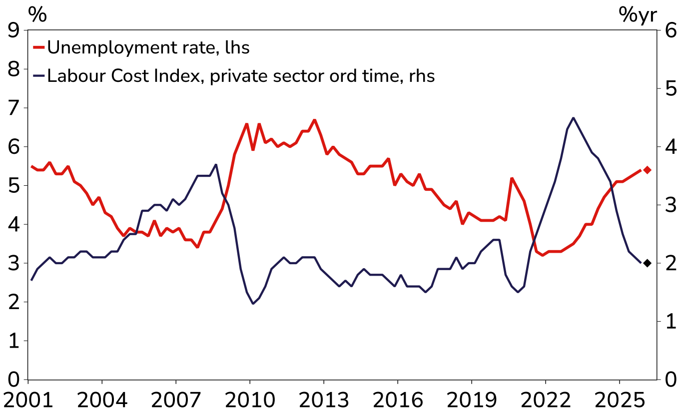
Source: ABS, Macrobond, Westpac Economics

NZ: Q1 Labour Market Surveys (%)

May 6, Unemployment Rate, Last: 5.4, Westpac f/c: 5.4
May 6, LCI Private Sector, Last: 0.5, Westpac f/c: 0.4

We expect the unemployment rate to hold steady at 5.4% for the March quarter. High-frequency indicators have pointed to a modest lift in jobs in recent months, though not outpacing the growth in the working-age population. We do expect to see a small downward correction in the HLFS employment measure, after an overstated 0.5% rise in the December quarter, but this doesn't alter the general picture – we recommend focusing on the unemployment rate, as this is less vulnerable to sampling errors. Given the existing slack in the labour market, wage growth is likely to have remained subdued.

Labour market indicators



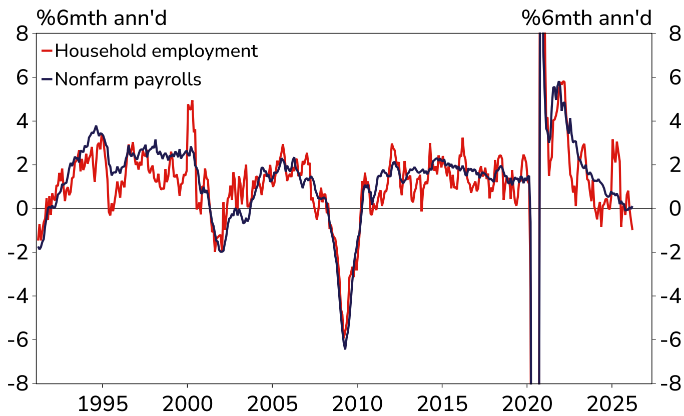
Source: Stats NZ, Macrobond, Westpac Economics

US: April employment report

May 8, payrolls, Last: 178k, Mkt f/c: 60k, WBC f/c: 90k
May 8, U/E rate, Last: 4.3%, Mkt f/c: 4.3%, WBC f/c: 4.3%

Nonfarm payrolls rebounded 178k in March, taking the 3-month average to 68k, a material step up from the month-average through the second half of 2025, -8k.
While the unemployment rate is essentially unchanged at 4.3% over the past year, household employment growth has been materially weaker than payrolls. Had the participation rate not declined by around 0.7ppts, the unemployment rate would instead be close to 5.0%.
In April, a robust gain in employment, circa 90k for payrolls, is likely to keep the unemploymen rate unchanged, though risks for employment remain skewed to the downside after a weak period for activity growth.

Household survey suggests risks to linger



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 04							
Aus	Apr	MI Inflation Gauge	%ann	4.3	–	–	Provides a general indication of inflation trends.
	Apr	ANZ–Indeed Job Ads	%mth	–3.1	–	–	Closely watched for early signs of easing labour demand.
	Mar	Dwelling Approvals	%mth	29.7	–10.0	–5.0	Likely to move lower as the rise in unit approvals unwinds.
Eur	Apr	S&P Global Manufacturing PMI	index	52.2	52.2	–	Final estimate.
	May	Sentix Investor Confidence	index	–19.2	–21.0	–	Investors are growing very anxious over Europe's outlook.
US	Mar	Factory Orders	%mth	0.0	0.4	–	Conflict may put some investment plans on the back burner.
		Fedspeak	–	–	–	–	Williams.
Tue 05							
Aus	Mar	Household Spending Indicator	%mth	0.3	1.5	2.0	Expect a large jump led by a sharp rise in fuel prices.
		RBA Policy Decision	%	4.10	4.35	4.35	Inflation's high starting point and signs of swift pass–through …
		RBA Statement of Monetary Policy	–	–	–	–	… of fuel costs will compell the RBA to respond in May.
NZ	Apr	ANZ Commodity Prices	%mth	4.1	–	–1.0	Dairy and meat prices eased over the month.
US	Mar	Trade Balance	US$bn	–57.3	–59.7	–	Volatile as companies adapt to tariffs.
	Apr	ISM Services	index	54.0	53.7	–	Services activity currently robust, but outlook is cloudy …
	Apr	S&P Global Services PMI	index	51.3	–	–	… S&P Global pointing to more downside risks than ISM.
	Mar	New Home Sales	%mth	–17.6	–	–	Sales volumes 43% below peak and near 2022 lows.
	Mar	JOLTS Job Openings	000s	6882	6803	–	Lower openings–to–unemployed points to slackening.
Wed 06							
NZ		RBNZ Financial Stability Report	–	–	–	–	Six–monthly review of financial conditions.
	Q1	Unemployment Rate	%	5.4	5.4	5.4	Signs that the labour market was stabilising in Q1…
	Q1	Employment	%qtr	0.5	0.3	–0.1	…though we expect a downward correction in employment.
	Q1	LCI Wage Inflation (Pvte, Ordinary Time)	%qtr	0.4	0.4	0.4	Wage pressures to remain muted at this stage.
Chn	Apr	RatingDog Services PMI	index	52.1	52.0	–	Materially stronger than official gauges.
Eur	Mar	PPI	%ann	–3.0	1.5	–	Producers have some capacity to absorb upstream pressures.
US	Apr	ADP Employment Change	000s	62	70	–	Noisy and imperfect guide to official payrolls data.
		Fedspeak	–	–	–	–	Musalem, Goolsbee.
World	Apr	S&P Global Services PMI	index	–	–	–	Final estimate for Europe and UK.
Thu 07							
Aus	Mar	Goods Trade Balance	$bn	5.7	4.4	3.9	Shipments of the 'big 3' commodities may appear lower.
Eur	Mar	Retail Sales	%mth	–0.2	–0.2	–	Risk around real incomes may crimp discretionary spending.
US	Mar	Construction Spending	%mth	–0.3	–	–	Healthy existing inventory of new homes as sales collapse.
	Apr	NY Fed 1–Yr Inflation Expectations	%ann	3.42	–	–	Expectations still well contained at this stage.
	Mar	Consumer Credit	$bn	9.5	12.5	–	On a firmer trend compared to this time last year.
		Initial Jobless Claims	000s	189	–	–	Still at a very low level versus history.
		Fedspeak	–	–	–	–	Hammack, Williams.
Fri 08							
Jpn	Apr	S&P Global Services PMI	index	51.2	–	–	Final estimate.
US	Apr	Nonfarm Payrolls	000s	178	60	90	March's rebound does little to offset earlier stagnation.
	Apr	Unemployment Rate	%	4.3	4.3	4.3	Closer to 5% on a constant–participation basis, implying …
	Apr	Average Hourly Earnings	%mth	0.2	0.3	–	… a marked turn in job creation and building downside risks.
	May	Uni. Of Michigan Sentiment	index	49.8	49.3	–	Pointing to a weaker consumer through to mid–year.
		Fedspeak	–	–	–	–	Goolsbee.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (1 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.37	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.02	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	63	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.39	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.61	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.56	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	30	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (1 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7191	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5891	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	157.28	158	156	154	152	150	148	146	144	142
EUR/USD	1.1723	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3591	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8281	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2207	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	2.0	0.9	0.3	0.4	0.7	–	–	–	–
%yr end	3.2	3.6	4.1	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.1	1.0	1.0	0.6	0.8	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Quarter–average.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	–0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	–0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.9	1.9	0.9	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	2.2	3.1	4.1	1.7

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Economic Calendar

May 2026

MON	TUE	WED	THU	FRI
				1 **AUSTRALIA** PPI Q1 prev 0.8% (11:30am) **NEW ZEALAND** ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar prev 2.7% (8:45am) **JAPAN** Tokyo CPI Apr y/y exp 1.7% prev 1.4% (9:30am) **UNITED KINGDOM** Nationwide House Prices Apr exp –0.3% prev 0.9% (4:00pm) **UNITED STATES** ISM Manufacturing Apr exp 53.1 prev 52.7 (12:00am) **GLOBAL** S&P Global Manufacturing PMI Apr (F)
4 **AUSTRALIA** MI Inflation Apr y/y prev 4.3% (11:00am) ANZ-Indeed Job Ads Apr prev –3.1% (11:30am) Dwelling Approvals Mar exp –5.0% prev 29.7% (11:30am) **EURO ZONE** S&P Global Manufacturing PMI Apr (F) prev 47.4 (6:00pm) Sentix Investor Confidence May prev –19.2 (6:30pm) **UNITED STATES** Factory Orders Mar exp –0.1% prev 0.0% (12:00am) Durable Goods Orders Mar (F) (12:00am) Fedspeak – Williams (2:50am)	**5** **AUSTRALIA** Household Spending Indicator Mar exp 2.0% prev 0.3% (1:30pm) RBA Policy Decision exp 4.35% prev 4.10% (2:30pm) **UNITED STATES** Trade Balance Mar exp –$59.7bn prev –$57.3bn (10:30pm) S&P Global Services PMI Apr (F) prev 51.3 (11:45pm) ISM Services Apr exp 53.9 prev 54.0 (12:00am) New Home Sales Mar prev –17.6% (12:00am) JOLTS Job Openings Mar exp 6700k prev 6882k (12:00am)	**6** **CHINA** RatingDog Services PMI Apr prev 52.1 (11:45am) **EURO ZONE** S&P Global Services PMI Apr (F) prev 47.4 (6:00pm) PPI Mar y/y prev –3.0% (7:00pm) **NEW ZEALAND** Household Labour Force Survey Q1 (8:45am) Employment exp –0.1% prev 0.4% Unemployment Rate exp 5.4% prev 5.4% Priv. Wages Ord. Time exp 0.4% prev 0.5% **UNITED KINGDOM** S&P Global Services PMI Apr (F) prev 52.0 (6:30pm) **UNITED STATES** ADP Employment Change Apr prev 62k (10:15pm) Fedspeak – Musalem (11:30pm) Fedspeak – Goolsbee (3:00am)	**7** **AUSTRALIA** Goods Trade Balance Mar exp $3.9bn prev $5.7bn (11:30am) **CHINA** Foreign Reserves Apr prev US$3342.1bn **EURO ZONE** Ger. Factory Orders Mar (4:00pm) Retail Sales Mar prev –0.2% (7:00pm) **UNITED STATES** Construction Spending Mar prev –0.3% (12:00am) NY Fed 1-Yr Inflation Expectations Apr y/y prev 3.42% (1:00am) Fedspeak – Hammack (4:05am) Consumer Credit Mar exp $12.5bn prev $9.5bn (5:00am) Fedspeak – Williams (5:30am) **GLOBAL** ECB & BoE Conference – Various Speakers	**8** **CHINA** Trade Balance Apr prev US$51.13bn (Sat 9 May) Credit & M2 Data Apr (9-15 May) New Loans ytd prev CNY8600bn M2 Mony Supply y/y prev 8.5% **EURO ZONE** Ger. Industrial Production Mar prev -0.3% (4:00pm) **UNITED STATES** Employment Report Apr (10:30pm) Nonfarm Payrolls Chg exp 63k prev 178k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.2% UoM Consumer Sentiment May (P) exp 48.8 prev 49.8 (12:00am) Fedspeak – Goolsbee (9:30am Sat 9 May) **GLOBAL** ECB & BoE Conference – Various Speakers

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Economic Calendar

May 2026

MON	TUE	WED	THU	FRI
11	**12**	**13**	**14**	**15**
CHINA CPI Apr y/y prev 1.0% (11:30am) PPI Apr y/y prev 0.5% (11:30am) **UNITED STATES** Existing Home Sales Apr prev –3.6% (12:00am)	**AUSTRALIA** Westpac-MI Consumer Sentiment May prev 80.1 (10:30am) NAB Business Survey Apr (11:30am) Conditions prev 6 Confidence prev –29 **EURO ZONE** EU ZEW Expectations May prev –20.4 (7:00pm) **JAPAN** Household Spending Mar y/y prev –1.8% (9:30am) **UNITED STATES** NFIB Small Business Optimism Apr prev 95.8 (8:00pm) CPI Apr prev 0.9% (10:30pm) Fedspeak – Goolsbee (3:00am)	**AUSTRALIA** WPI Q1 (11:30am) q/q exp 0.8% prev 0.8% y/y exp 3.3% prev 3.4% Housing Finance Approvals Q1 (11:30am) Total exp prev 9.5% Owner-Occupier prev 10.6% Investor prev 7.9% **EURO ZONE** GDP Q1 (S) (7:00pm) Industrial Production Mar prev 0.4% (7:00pm) **JAPAN** Current Account Mar prev ¥3932.7bn (9:50am) **NEW ZEALAND** RBNZ 2Yr Inflation Expectation Q2 y/y prev 2.37% (1:00pm) **UNITED STATES** PPI Apr prev 0.5% (10:30pm)	**AUSTRALIA** MI Consumer Inflation Expectations May y/y prev 5.9% (11:00am) **NEW ZEALAND** Net Migration Mar prev 3970 (8:45am) **UNITED KINGDOM** GDP Q1 prev 0.1% (4:00pm) **UNITED STATES** Import Price Index Apr prev 0.8% (10:30pm) Retail Sales Apr prev 1.7% (10:30pm) Business Inventories Mar prev 0.4% (12:00am) Fedspeak – Hammack (3:00am)	**CHINA** Current Account Balance Q1 (P) prev US$243.8bn **NEW ZEALAND** BusinessNZ Mfg PMI Apr prev 53.2 (8:30am) Selected Price Indices Apr (8:45am) **UNITED STATES** NY Empire Manufacturing Index May prev 11 (10:30pm) Industrial Production Apr prev –0.5% (11:15pm)
18	**19**	**20**	**21**	**22**
CHINA Activity Data Apr ytd y/y (12:00pm) Retail Sales prev 2.4% Industrial Production prev 6.1% Fixed Asset Investment prev 1.7% **NEW ZEALAND** Performance Services Index Apr prev 46.0 (8:30am) **UNITED KINGDOM** Rightmove House Prices May prev 0.8% (9:01am) **UNITED STATES** NAHB Housing Market Index May prev 34 (12:00am)	**AUSTRALIA** RBA's Hunter – Speech (9:30am) RBA May Meeting Minutes (11:30am) **EURO ZONE** Trade Balance Mar prev €7.0bn (7:00pm) **JAPAN** GDP Q1 (P) prev 0.3% (9:50am) Industrial Production Mar (F) prev –0.5% (2:30pm) **NEW ZEALAND** PPI Q1 prev 0.1% (8:45am) Retail Card Spending Apr prev 0.7% (8:45am) **UNITED KINGDOM** ILO Unemployment Rate Mar prev 4.9% (4:00pm) **UNITED STATES** Pending Home Sales Apr prev 1.5% (12:00am) Fedspeak – Paulson (9:00am)	**AUSTRALIA** Westpac-MI Leading Index Apr ann'd prev –0.13% (10:30am) **EURO ZONE** CPI Apr (F) (7:00pm) **UNITED KINGDOM** CPI Apr y/y prev 3.3% (4:00pm) **UNITED STATES** FOMC April Meeting Minutes (4:00am)	**AUSTRALIA** Labour Force Survey Apr (11:30am) Employment Change exp 10k prev 17.9k Unemployment Rate exp 4.3% prev 4.3% Participation Rate exp 66.8% prev 66.8% **EURO ZONE** EC Consumer Confidence May (P) prev –20.6 (12:00am) **JAPAN** Core Machinery Orders Mar prev 13.6% (9:50am) **NEW ZEALAND** Trade Balance Apr prev NZ$698mn (8:45am) **UNITED STATES** Philadelphia Fed Manufacturing Index May prev 26.7 (10:30pm) Housing Starts Apr prev 10.8% (10:30pm) Building Permits Apr prev –10.8% (10:30pm) Kansas City Fed Manufacturing Index May prev 10 (1:00am) **GLOBAL** S&P Global PMIs May (P) Manufacturing Services	**EURO ZONE** Ger. IFO Business Climate Survey May prev 84.4 (6:00pm) **JAPAN** CPI Apr y/y prev 1.5% (9:30am) **NEW ZEALAND** Retail Sales Volumes Q1 prev 0.9% (8:45am) **UNITED KINGDOM** GfK Consumer Sentiment May prev –25 (9:01am) Retail Sales Apr prev 0.7% (4:00pm) **UNITED STATES** UoM Consumer Sentiment May (F) (12:00am)

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Economic Calendar

May 2026

MON	TUE	WED	THU	FRI
25	**26**	**27**	**28**	**29**
UNITED STATES Chicago Fed National Activity Index Apr prev –0.2 (10:30pm)	**UNITED STATES** FHFA House Prices Mar prev 0.0% (11:00pm) S&P CoreLogic CS House Prices Mar prev –0.05% (11:00pm) Conf. Board Consumer Confidence Index May prev 92.8 (12:00am) Dallas Fed Manufacturing Index May prev –2.3 (12:30am)	**AUSTRALIA** RBA Board Member – Speech (11:00am) CPI Apr (11:30am) Headline m/m exp 1.1% prev 1.1% Headline y/y exp 5.0% prev 4.6% Construction Work Done Q1 exp 0.5% prev –0.1% (11:30am) **CHINA** Industrial Profits Apr y/y prev 15.8% (11:30am) **NEW ZEALAND** ANZ Business Confidence May prev –10.6 (10:00am) RBNZ Policy Decision exp 2.25% prev 2.25% (12:00pm) **UNITED STATES** Richmond Fed Manufacturing Index May prev 3 (12:00am)	**AUSTRALIA** Private Capital Expenditure Q1 exp 0.3% prev 0.4% (11:30am) **EURO ZONE** EC Economic Confidence May prev 93.0 (7:00pm) EC Consumer Confidence May (F) (7:00pm) **NEW ZEALAND** Employment Indicator Apr prev 0.3% (8:45am) **UNITED STATES** Personal Income Apr (10:30pm) Personal Spending Apr (10:30pm) PCE Deflator Apr (10:30pm) Durable Goods Orders Apr (P) (10:30pm) GDP Q1 (S) (10:30pm) New Home Sales Apr (12:00am)	**AUSTRALIA** Private Sector Credit Apr prev 0.7% (11:30am) **CHINA** Manufacturing PMI May (11:30amSun 31 May) Non-manufacturing PMI May (11:30amSun 31 May) **EURO ZONE** CPI May (10:00pm) **JAPAN** Tokyo CPI May (9:30am) Jobless Rate Apr (9:30am) Industrial Production Apr (P) (9:50am) **NEW ZEALAND** ANZ Consumer Confidence May (8:00am) **UNITED STATES** Wholesale Inventories Apr (P) (10:30pm) Chicago PMI May (11:45pm)

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Week beginning 27 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: It Depends on What You are Trying to Achieve.

The Week That Was: Middle East conflict seemingly at an impasse.

Focus on New Zealand: A matter of balance.

For the week ahead:

Australia: ANZAC Day public holiday, Q1 CPI, Cotality home value index, private credit.

New Zealand: ANZAC Day public holiday, employment indicator, ANZ business and consumer confidence.

Japan: BoJ policy decision, industrial production, jobless rate.

Euro area: ECB policy decision, CPI, GDP, unemployment rate.

UK: BoE policy decision.

United States: FOMC policy decision, PCE deflator, personal income and spending, ISM manufacturing.

Canada: BoC Policy decision.

Information contained in this report current as at 24 April 2026.

It Depends on What You are Trying to Achieve

Luci Ellis
Chief Economist, Westpac Group

- **Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.**
- **Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.**
- **There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. "Boost revenue" is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.**

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim "never let a good crisis go to waste" and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while revenue windfalls from higher commodity prices are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that "people expect more from government nowadays" and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government's effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is not true in Australia and most other advanced economies outside North America.

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts) must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia's actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the simplified version we suggested in 2023, where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA's inflation target – regardless of actual inflation over the holding period.

> **"Speculation about tax reform in the upcoming federal budget abounds."**

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has previously shown, the size of government in Australia has increased substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

Forecast changes

- **A full update to our forecasts was published in our Market Oulook publication on April 17.**

Cliff Notes: Middle East conflict seemingly at an impasse

Elliot Clarke, Head of International Economics
Illiana Jain, Economist

Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act "as the situation demands" ahead. Next week's run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump's pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC's communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh's confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain.

Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

Our latest Market Outlook provides an in-depth view of the outlook for the US, Europe, China and global financial markets.

A matter of balance

Satish Ranchhod
Senior Economist

The conflict in the Middle East has cast a long shadow across the New Zealand economy, with a softening in demand, rising costs and winding back of plans for hiring. Inflation is already at elevated levels and it's set to take a large step higher over the next few months. All of this leaves the RBNZ with a particularly challenging balancing act. But while there are questions about how quickly the RBNZ will adjust the OCR, the direction of those movements will be upwards.

Curtain raiser

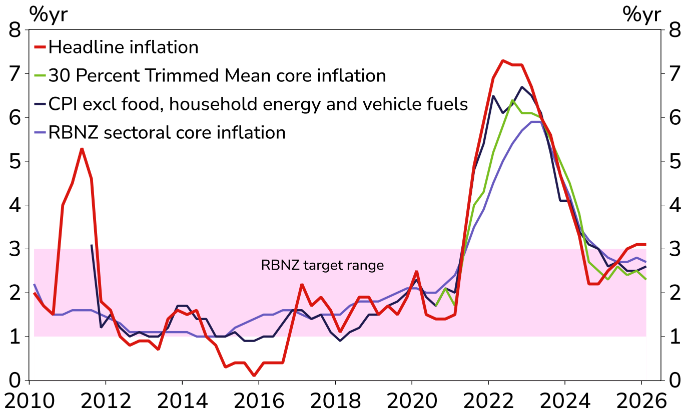
The latest CPI report showed that, even before the full impact of the recent oil price shock has been felt, New Zealand inflation was running hotter than we or the RBNZ expected. Consumer prices rose 0.9% in the March quarter. That saw the annual inflation rate remaining unchanged at 3.1%, above both our forecast and the RBNZ's April expectations.

The March quarter did see a large seasonal increase in food prices (1.5%). More important, however, were the large increases in transport costs. The sharp rise in global oil prices since late February left petrol prices up 3.5% over the quarter, with diesel prices up 11%. Notably, we also saw the early stages of spillovers from those high fuel prices into other costs, with domestic airfares up 9% over the quarter.

Looking under the surface, the various measures of core inflation provided some mixed messages on how strong the underlying inflation pulse has been. Some closely-watched measures of core inflation remain elevated. For instance, CPI ex-fuel and food came in at 3.0%yr (vs 2.9% previously). Similarly, the RBNZ's sectoral measure of core inflation held firm at 2.7%yr in the March quarter. However, other measures of core inflation, such as the trimmed mean and weighted median measures or those measures that exclude government charges, have been softer.

While not every measure of core inflation is running red hot, what stands out is that inflation in New Zealand hasn't fallen to 'low' levels over the past year. That's despite weak growth and a soft labour market. Part of the reason for that is because we have continued to see large increases in administered costs (like council rates and electricity charges) that aren't very responsive to changes in interest rates. But we are also seeing pressures in some other areas. This lingering firmness in overall inflation is significant for the RBNZ, highlighting the limited headroom they had even before the recent oil price shock.

Consumer prices and core inflation



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

The worst is yet to come

The March quarter inflation result was really just the curtain raiser. Inflation is set to rise sharply through the middle part of this year as the full impact of recent oil price rises ripples through the economy. We also expect to see continued firmness in administered prices, like council rates and electricity charges.

However, the outlook for inflation is much cloudier when we look at price pressures in more cyclical parts of the economy. That was highlighted in the latest Quarterly Survey of Business Opinion, and in our own recent discussions with businesses across the country.

Businesses have highlighted significant pressure on operating costs. And that pressure has not been limited to fuel and transport prices, with more widespread disruptions to supply chains. In some cases, like in the building sector, the reported increases in materials costs have been large.

At the same time, businesses have reported that much of the firming in economic momentum that we saw in the early part of the year has now been derailed. Economic confidence has dropped sharply over the past month, and the dampening impacts of the Middle East conflict on demand are becoming more visible. We've already seen tourist operators reporting an increase in cancelled bookings, and businesses across the country are reporting softness in discretionary spending as households grapple with rising costs for essentials.

Looking ahead, businesses across the economy are bracing themselves for softer trading conditions over the next few months. That's seen them winding back their plans for capex and hiring.

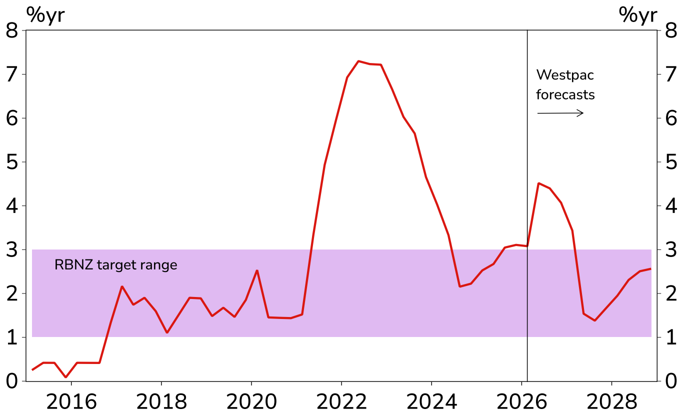
That softness in demand is raising questions about whether businesses can pass increases in operating costs through to output prices. At this stage, that passthrough has not been complete, with many businesses reporting increased pressure on margins. But that can't continue indefinitely. Many businesses have already seen their margins being squeezed for several years now, and they are now facing further (and in some cases very large) increases in operating costs. Against that backdrop, while softness in demand might limit the extent of output price rises over the coming months, inflation still looks set to take a sizeable step higher.

Putting that mix of soft demand and significant increases in operating costs together, we now expect that inflation will rise to 4.5% in mid-2026 (up from our previous forecast for 4.3%yr). Further ahead, inflation is expected to ease only gradually, slowing to 4.1% by the end of this year.

Headline inflation is expected to slow materially over 2027 as the impact of earlier oil price increases dissipates. However, core inflation is expected to remain elevated this year, and is expected to ease back towards the mid-point of the RBNZ's target band only gradually over 2027, rather than falling to low levels.

The outlook for inflation remains murky, particularly beyond the current quarter. Crucially, the outlook will be highly dependent on the evolution of tensions in the Middle East and the related (potentially large) moves in oil prices. But even if tensions in the Middle East were to dissipate quickly, the associated disruptions to supply chains and pressure on operating costs would still take some time to ease.

CPI inflation forecasts



Source: , Macrobond, Westpac Economics

Balancing act

All of this leaves the RBNZ with a particularly challenging balancing act. The RBNZ can't offset the rise in oil prices that's already occurred by hiking the OCR now. However, business surveys are pointing to a broadening lift in price pressures, and the RBNZ can't ignore the risk that the current oil-related rise in operating costs evolves into a more widespread and protracted lift in inflation. The past few years have shown just how corrosive and long-lasting the effects of high inflation can be for the economy, and the RBNZ is loath to see those sorts of pressures taking hold again.

Earlier interest rate hikes might help limit the risk that we see a more sustained rise in inflation. However, the RBNZ is also very mindful that higher interest rates now would weigh on economic activity at a time when the labour market is already soft.

This isn't an easy trade-off for the RBNZ. Balancing those concerns, we expect that the RBNZ will begin a series of increases in the Official Cash Rate from September, earlier than they previously signalled in their last published forecasts from February (which pre-dated the Middle East conflict). We expect the OCR will rise from the current low of 2.25% to 3.50% in early 2027. While that would be a relatively fast rise in the OCR, it would only take the OCR back around 'neutral' levels from the RBNZ's perspective at a time when inflation has been persistently above 3%.

Further ahead, the outlook is less certain. As a result, we expect that interest rates will continue to rise, but at a more gradual pace.

Market pricing for the OCR has been pulled forward in recent weeks and is now consistent with the first hike coming in July. We certainly wouldn't rule out an earlier start to the tightening cycle, given the significant rise in cost pressures. However, we think the RBNZ will prefer to wait to see how pricing behaviour in the economy is shaping up. While we will have a number of business surveys and monthly prices updates by the time of the July policy meeting, we won't have the full June quarter CPI report until after that meeting. (In contrast to the monthly price updates from Stats NZ, the quarterly CPI report has broader coverage including a range of discretionary spending categories. That update will help to illustrate how the balance between higher costs and softer demand is evolving in terms of overall pricing pressures.) The RBNZ will also want to see how spending and the labour market are evolving, both of which will be important for determining how persistent the strength in inflation will be.

Fiscal pressures

The other news of note this week was Moody's decision to attach a negative outlook to New Zealand's sovereign credit rating. The current top-tier "Aaa" rating – shared with just ten other countries – has been in place since October 2002 and is a notch higher than the rating currently assigned by both Standard and Poor's and Fitch (the latter also moved its rating to a negative outlook last month). It is worth noting that Moody's base model assigns a rating one notch lower, with the current Aaa rating reflecting a one-notch uplift based on an assessment that the recent weakening of fiscal metrics would improve over time. This week's action clearly indicates that Moody's are considering removing that uplift. Specifically, Moody's stated: "The negative outlook reflects our assessment that risks to New Zealand's fiscal trajectory have increased..." due to "...the potential for a combination of tighter monetary policy, slower short-term growth and increased debt servicing costs".

Following this ratings action, the Minister of Finance, Nicola Willis, held a press briefing at which she also outlined some economic scenarios that the Treasury had produced during its preparations for the upcoming Budget on 28 May. Willis stated that the ratings action reinforced the Government's decision to resist the temptation to "splash the cash" in reaction to the current oil shock. Importantly, she reaffirmed that the operating allowance for new initiatives in the upcoming Budget will be held at a relatively frugal $2.4bn. This will necessitate savings and reprioritisations to fund the targeted relief that the Government has already provided to lower income workers and some other groups, as well as the other pressures on operating spending that flow from higher fuel prices.

Unsurprisingly, the information presented by Willis showed that an upgrade to the outlook for growth and employment had been the base case prior to the Middle East conflict. More surprisingly, the least severe post-war scenario presented – one based on crude oil remaining around $110/bbl in the near-term – was associated with a growth outlook that was similar to that presented in the Half-Year update in December. This scenario, which Willis seemed to indicate might be most representative of the current outlook, would likely still lead to a modest deterioration in the near-term fiscal outlook due to increases in spending that sit outside the spending allowance, such as benefit costs (which are indexed to the CPI) and debt servicing. However, it would probably not generate a repeat of the very large upgrades to the borrowing programme that have been seen at various times in recent years.

We will publish our preview of Budget 2026 after we have seen the Government's financial accounts for April (released 12 May). Willis indicated that the Treasury had finalised its economic forecasts this week and that Cabinet would make final Budget decisions in around a fortnight.

AUS: Q1 Headline CPI (%qtr)

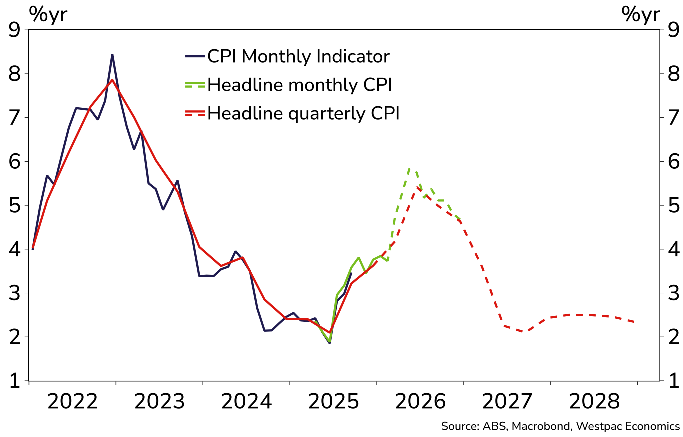
Apr 29, Last: 0.6, Westpac f/c: 1.5
Market f/c: 1.4, Range: 1.1 to 1.6

Westpac is estimating a 1.5%qtr/4.2%yr gain in the March quarter CPI. At two decimal places our estimate is a solid 1.48% so we see the risks as balanced.

The Middle East conflict is the largest energy shock since the oil crises of the 1970s/80s. It started Febuary 28 so its impact was only felt through March, mostly via auto fuel. As such we expect a much broader impact in the June quarter and through the second half of the year. For more details on the scenario underpinning these projections, and our latest thoughts on the risks, please refer to the April Market Outlook.

For a detailed breakdown of our June quarter estimates, and the monthly estimates to May, see our Inflation Outlook Bulletin.

Headline inflation in three series



Source: ABS, Macrobond, Westpac Economics

AUS: Q1 Trimmed Mean CPI (%qtr)

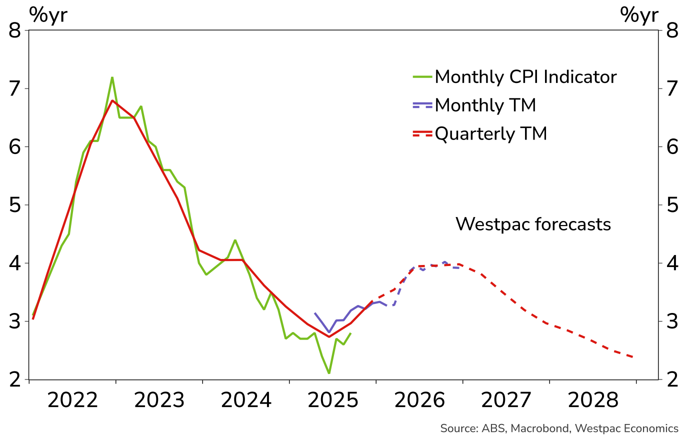
Apr 29, Last: 0.9, Westpac f/c: 0.9
Market f/c: 0.9, Range: 0.8 to 1.0

Core inflation is not immune to the Middle East Crisis. While the impact is likely to be more significant through the second half of the year we are expecting a 0.93% increase in the March quarter, matching the 0.90% December quarter gain. The annual pace is expected to lift modestly to 3.5%yr from 3.4%yr.

The March quarter is a prelude to the step up in the pace with a 1.0% increase in the June and September quarters and the annual pace peaking at 4.0%yr in the second half of the year.

The ABS are publishing the quarterly underlying inflation measures consistent with the historical price collection frequency. Replicating this process represents a small downside risk to our estimate.

Trimmed Mean inflation in three series



Source: ABS, Macrobond, Westpac Economics

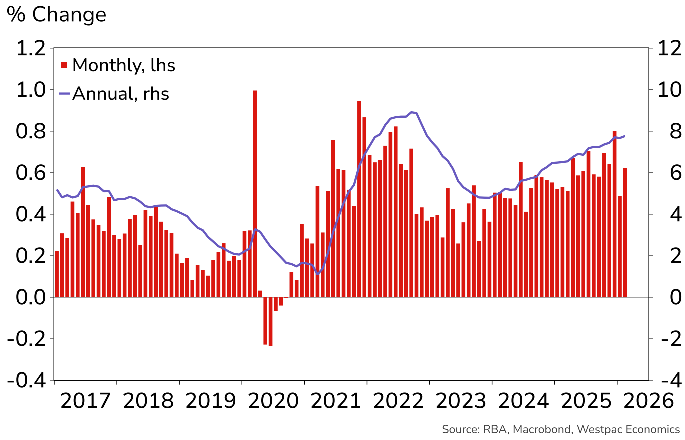
AUS: Mar Private Sector Credit (%mth)

Apr 30, Last: 0.6 Westpac f/c: 0.5
Market f/c: 0.6, Range: 0.5 to 0.7

Private sector credit rose 0.8%mth in December, eased to 0.5%mth in January, and then steadied at 0.6%mth in February, in line with the two-year average.

For March, headline growth is expected to moderate to 0.5%mth. The effects of the RBA's cash rate increases in February and March are likely to emerge with a lag, although interest rate expectations rose earlier. In addition, the global energy price shock associated with the war in the Middle East is placing further pressure on household budgets and disrupting business activity. With both consumer sentiment and business confidence falling sharply in March, credit growth is likely to face increasing downward pressure, amid heightened economic uncertainty.

Private Sector Credit Growth



Source: RBA, Macrobond, Westpac Economics

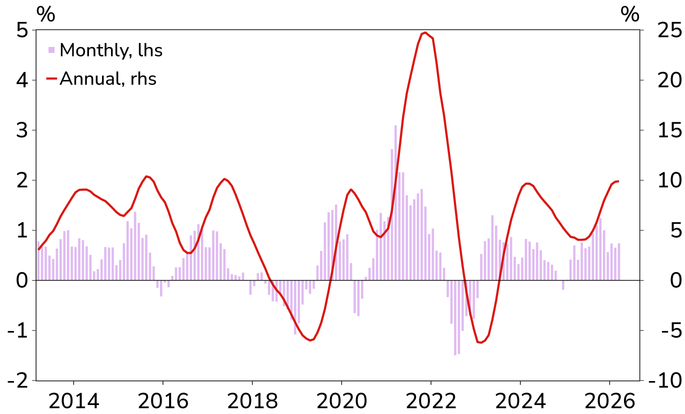
AUS: Apr Cotality Home Value Index (%mth)

May 1, Last: 0.6, Westpac f/c: 0.3

The Cotality home value index rose 0.6% in March, following similar gains over the previous three months, annual growth holding broadly steady at 9.3%yr. The detail continued to show slight price declines in Sydney and Melbourne, where turnover also looks to be pulling back, but relatively strong price gains in Brisbane, Adelaide and Perth where turnover remains firmer.

The daily measure points to a slower 0.3% rise for the April month with slightly more pronounced declines in Sydney and Melbourne and price gains moderating a touch in the mid-sized capitals.

Cotality home value index



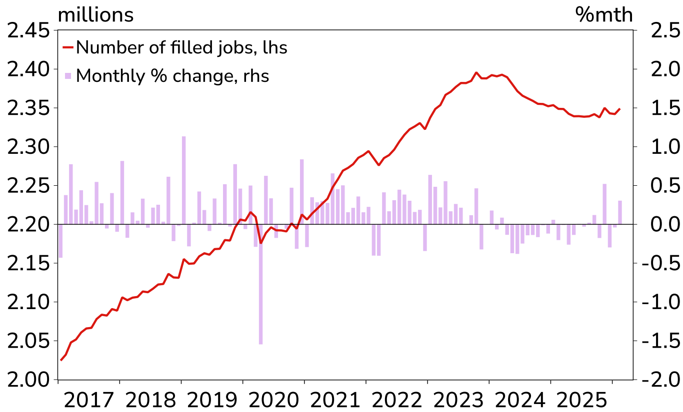
Source: Cotality Australia, Macrobond, Westpac Economics

NZ: Mar Monthly Employment Indicator (%mth)

Apr 28, Last: 0.3, Westpac f/c: flat

The February MEI added to the evidence that the New Zealand economy was regaining momentum prior to the Iran war. The number of filled jobs rose by 0.3%, although this is likely to be revised down a little in subsequent releases; the broader picture is one of a stabilisation in jobs in recent months after declining through 2024-25. The weekly snapshots provided by Stats NZ are now running about in line with a year ago, which suggests a flattish outcome for the March month. We'll be watching these figures closely for any signs that the uncertainty stemming from the Iran war is prompting businesses to put off hiring decisions.

Monthly Employment Indicator



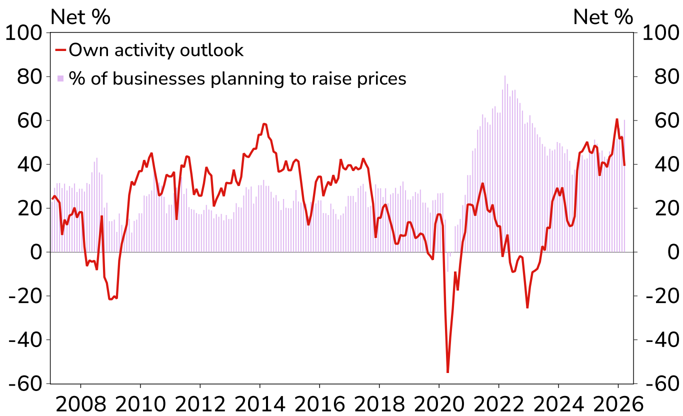
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Apr ANZ Business Confidence (index)

Apr 30, Last: 32.5

The first business survey since the beginning of the Iran war saw a sharp drop in confidence, with late-March responses turning significantly weaker than earlier ones as the gravity of the situation became clearer. That sets the stage for an April survey that's likely to look quite ugly on the whole, even if there is some improvement within the month as the 8 April ceasefire helped to bring fuel prices down from their highs. Firms' inflation expectations and pricing intentions are likely to take a further step up, but the measures of wage growth and hiring intentions will also be an important consideration as to whether we see a sustained rise in inflation beyond the initial spike.

Business confidence high prior to Iran conflict



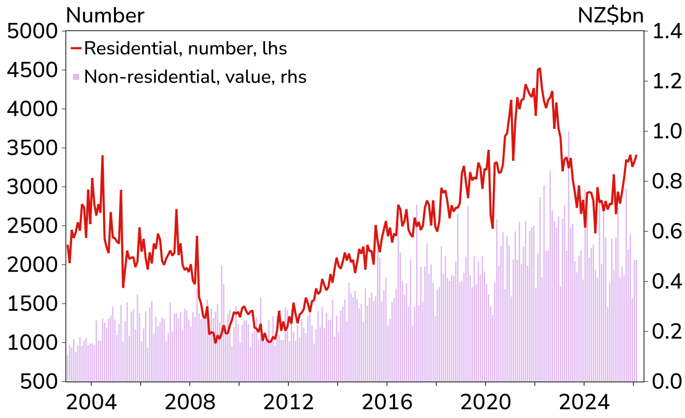
Source: ANZ, Macrobond, Westpac Economics

NZ: Mar Building Consents (%mth)

May 1, Last: 2.7, Westpac f/c: flat

Since late 2025, dwelling consent numbers have taken a step higher, and we expect that issuance will remain firm in March. That would see annual consent numbers climbing to around 37,800 – its highest level since 2023. Developers have been bringing new projects to market, supported by last year's reductions in interest costs and the earlier easing in cost pressures. However, those gains pre-date the recent conflict in the Middle East. Builders are now reporting significant increases in materials costs and pressure on interest rates is mounting. That's likely to see fewer new projects coming to market over the coming months, and some planned work may not proceed. Commercial consent numbers have been mixed across segments to date. But across all segments, the risks are now tilted towards greater caution in businesses' plans for capex in the near term.

Building consents picking up



Source: Stats NZ, Macrobond, Westpac Economics

US: FOMC Policy Decision (%)

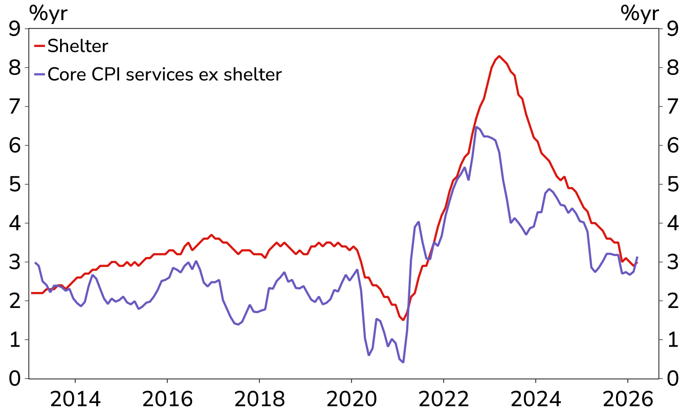
Apr 28-29, Last: 3.625, Market f/c: 3.625, Westpac f/c: 3.625

The FOMC received a reprieve from downside risks to the economy over the past month as nonfarm payrolls growth turned up after an extended period of weakness.

The deceleration in GDP growth evident in Q4 and expected in Q1 notwithstanding (see below), the focus of FOMC risk analysis is likely to be the threat of elevated inflation. The latest CPI report was favourable, with inflationary pressures concentrated in energy prices and core inflation benign. However, if a deal between the US and Iran is not forthcoming, this situation could change rapidly.

We expect the Committee to note concerns over passthrough, but to hold a balanced view overall, waiting for data to show the evolution of risks in coming months.

Passthrough risk the near-term concern



Source: BLS, Macrobond, Westpac Economics

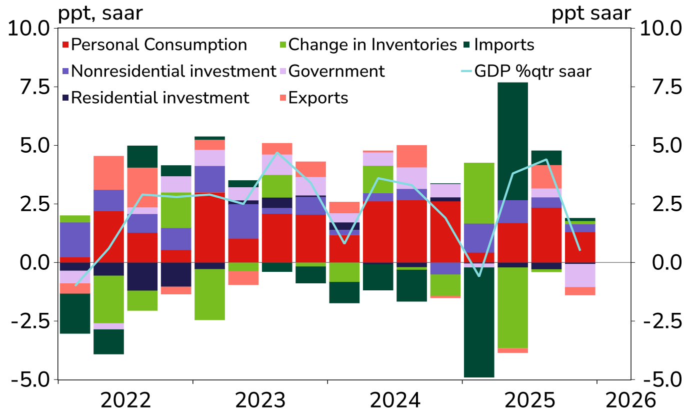
US: Q1 GDP (%ann'd)

Apr 30, Last: 0.5, Market f/c: 2.0, Westpac f/c: 1.0

US GDP decelerated abruptly at the end of 2025 following strong growth through mid year, and under the weight of the Federal Government shutdown and tariff uncertainty. Partials available for Q1 2026 point to another poor result as the new year begins.

In part this looks to be due to net exports subtracting materially from growth in the three months to March. Though housing investment seems to be contracting, and household consumption and business investment growth is below trend. With consumer sentiment at record lows, US GDP growth is susceptible to remaining below trend through Q2 and Q3, potentially seeing additional slack build in the labour market.

United States contributions to GDP



Source: BEA, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

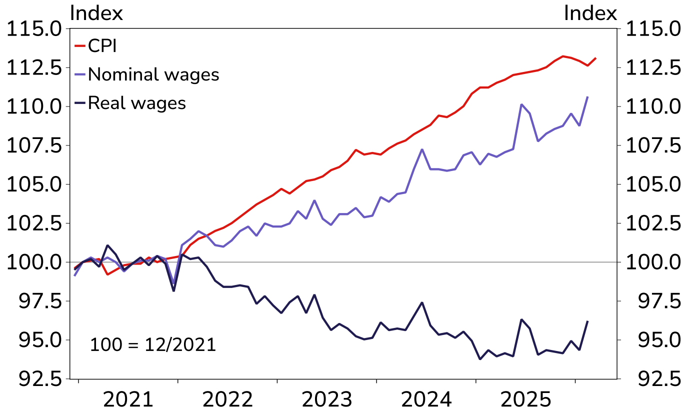
Japan: BoJ Policy Decision (%)

Apr 27, Last: 0.75, Market f/c: 0.75, Westpac f/c: 0.75

We anticipate the Bank of Japan will remain on hold at its April meeting but signal that further rate rises are on the horizon. A fresh set of forecasts should show inflation is on track to be higher given higher costs of energy and still elevated food prices.

The Policy Board is focused on creating the right conditions for domestically-driven inflation. They will want to be patient to ensure financial conditions remain sufficiently accomodative for the corporate sector to continue to raise wages and invest while balancing the impact a weak yen has on domestic inflation. We continue to anticipate a June hike.

Real wage gains still key for BoJ



Source: SBJ, MHLW, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 27							
Aus		ANZAC Day	–	–	–	–	Public holiday in lieu for NSW, ACT, WA. Markets still open.
NZ		ANZAC Day	–	–	–	–	Public holiday in lieu. Markets closed.
US	Apr	Dallas Fed Manufacturing	index	–0.2	–	–	Volatile, but pointed to neutral conditions before Iran impacts.
Tue 28							
NZ	Mar	Employment Indicator	%mth	0.3	–	flat	Jobs market was stabilising prior to Iran conflict.
Jpn	Mar	Jobless Rate	%	2.6	2.6	–	Labour market is softening marginally.
	Apr	BoJ Policy Decision	%	0.75	0.75	0.75	Assessing outlook for now, but rate hike on the table in June.
US	Feb	S&P/CS Home Price Index	%mth	0.16	–	–	Stabilising but on fragile footing as confidence falters.
	Apr	Richmond Fed Manufacturing	index	0	–	–	Volatile, but pointed to neutral conditions before Iran impacts.
	Apr	Conf. Board Consumer Confidence	index	91.8	89.3	–	To retest recent lows as consumers feel effects from conflict.
Wed 29							
Aus	Mar	Monthly CPI	%ann	3.7	4.8	4.7	A 35% increase in auto fuel lifts the CPI 1.3% in the month…
	Q1	CPI	%qtr	0.6	1.4	1.5	… lifting the auto fuel contribution to 0.3ppt for the quarter…
	Q1	Trimmed Mean CPI	%qtr	0.9	0.9	0.9	… while underlying inflation momentum remains solid.
Eur	Apr	Economic Confidence	index	96.6	95.8	–	At risk of slumping, after nudging sideways for three years.
US	Mar	Durable Goods Orders	%mth	–1.3	0.5	–	Investment pulse was already slowing prior to US-Iran.
	Mar	Housing Starts	%mth	7.2	–	–	Cost pressures will challenge homebuilding sector …
	Mar	Building Permits	%mth	–4.7	–	–	… and potentially make some projects less viable.
	Apr	FOMC Policy Decision	%	3.625	3.625	3.625	On hold this year, absent a deterioration in the labour market.
Can	Apr	BoC Policy Decision	%	2.25	–	–	Prolonged pause as downside risks to activity are assesed.
Thu 30							
Aus	Mar	Private Sector Credit	%mth	0.6	0.6	0.5	Economic uncertainty to add downward pressure.
	Q1	Export Price Index	%qtr	3.2	–	–	Terms of trade set to deteriorate as commodity price lift …
	Q1	Import Price Index	%qtr	0.9	–	–	… will be in the shadows of a fuel import price surge.
NZ	Apr	ANZ Business Confidence	index	32.5	–	–	The April survey will bear the full brunt of the Iran conflict.
Jpn	Mar	Industrial Production	%mth	–2.0	1.1	–	Factory output was on a more solid footing early this year.
Chn	Apr	NBS Manufacturing PMI	index	50.4	50.1	–	Wash-up after Lunar New Year was more constructive …
	Apr	NBS Non–Manufacturing PMI	index	50.1	49.9	–	… mirroring activity data pointing to good health in early 2026.
	Apr	RatingDog Manufacturing PMI	index	50.8	51.0	–	Opportunities for export-orientated firms in green technology.
Eur	Apr	CPI	%ann	2.5	2.9	–	Preliminary read won't offer great detail on breadth.
	Q1	GDP	%qtr	0.2	0.2	–	Growth coming from a relatively soft starting point.
	Mar	Unemployment Rate	%	6.2	6.2	–	Labour market still in relatively good health.
	Apr	ECB Policy Decision (Deposit Rate)	%	2.00	2.00	2.00	Some degree of tightening warranted, but later this year.
UK	Apr	BoE Policy Decision	%	3.75	–	3.75	Abrupt shift from cutting to pausing, and hikes later on.
US	Mar	PCE Deflator	%mth	0.4	0.7	–	Inflation pressures were already present in the US, which …
	Mar	Personal Income	%mth	–0.1	0.4	–	… with a softer labour market, weighs on real incomes …
	Mar	Personal Spending	%mth	0.5	0.9	–	… forcing consumers to dip into savings or pull-back spending.
		Initial Jobless Claims	000s	214	–	–	No major signs of job losses, although job creation is weak …
	Q1	Employment Cost Index	%qtr	0.7	0.8	–	… as evinced by the gradual easing in wages growth.
	Q1	GDP	%ann'd	0.5	2.0	–	Growth pulse entering 2026 on a weak footing.
Fri 01							
Aus	Apr	Cotality Home Value Index	%mth	0.6	–	–	
	Q1	PPI	%qtr	0.8	–	–	Breadth of upstream price pressures in focus.
NZ	Apr	ANZ Consumer Confidence	index	91.3	–	–	Cost of living pressures weighing on confidence.
	Mar	Building Permits	%mth	2.7	–	flat	Monthly consent numbers firm ahead of Middle East conflict.
Jpn	Apr	Tokyo CPI	%ann	1.4	1.6	–	Core measure will guide on pass-through of oil price shock.
US	Apr	ISM Manufacturing	index	52.7	53.3	–	Long-awaited signs of growth at risk of being short-lived.
World	Apr	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, UK, US.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (24 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.36	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.69	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.33	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.60	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.51	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.72	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	40	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (24 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7121	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5856	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.75	158	156	154	152	150	148	146	144	142
EUR/USD	1.1679	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3460	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8364	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2173	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Quarter–average.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.9	1.9	0.9	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	2.2	3.1	4.1	1.7

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Week beginning 20 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Drawing a line on just drawing a line.

The Week That Was: Conflict in the Middle East to cast a long shadow.

Focus on New Zealand: Oil shock begins to surface in data.

Forecast Update: Our latest forecast updates are detailed in our April Market Outlook.

For the week ahead:

Australia: Westpac-MI Leading Index.

New Zealand: Q1 CPI, NZIER Survey of Business Opinion and Q1 trade balance.

United States: Retail sales, initial jobless claims, University of Michigan Sentiment.

Euro area: ZEW Survey of Expectations, consumer confidence, President Lagarde speaks.

UK: Unemployment rate, CPI, GfK consumer sentiment.

Japan: CPI.

World: Manufacturing and services PMI.

Information contained in this report current as at 17 April 2026.

Draw a line on just drawing a line

Luci Ellis
Chief Economist, Westpac Group

- **You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible. Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.**
- **There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.**
- **The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.**

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its previous full *World Economic Outlook* report in October, it did this week. Similarly, we have published several scenario iterations over the past six weeks and will provide an update later today in our Market Outlook report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

"Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph."

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the 'severe' scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from "this particular bad thing happened". But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our April Market Outlook goes to publication later today, it is helpful to recall last April's edition. The 'Liberation Day' tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of 'flood the zone' headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again surprised on the upside relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

Forecast changes

- **A full update to our forecasts was published in our Market Oulook publication on April 17.**

Cliff Notes: conflict in the Middle East to cast a long shadow

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

Our Westpac-MI Consumer Sentiment Index posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely 'family finances vs a year ago' (–16.7%) and 'time to buy a major household item' (–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. The readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But this is also the case for the US economy, University of Michigan consumer sentiment fell to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March. Should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

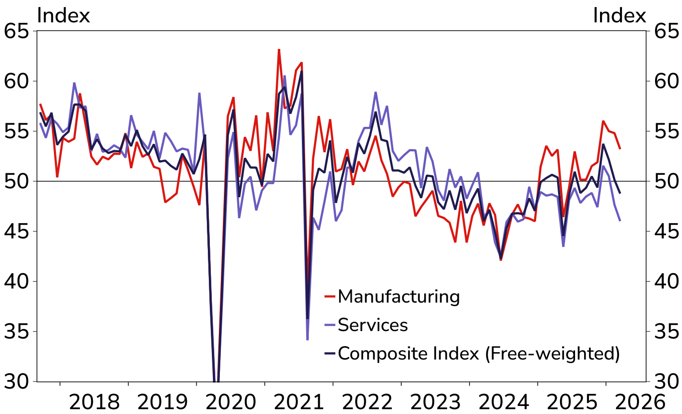
Oil shock begins to surface in data

Darren Gibbs
Senior Economist

The past week has delivered some further insight on the early impact of the Middle East conflict on the New Zealand economy. Unsurprisingly, that data points to some marked changes in spending patterns and clear upward pressure on prices for energy products. Even greater impacts are certain to be evident over coming months as the shock transmits through the economy.

On Monday, BusinessNZ reported that its Performance of Services Index had declined 1.6pts in March to a 10-month low of 46.0. All five subindexes fell below 50, with the activity/sales index falling to 44.6 and the new orders/business index falling to 45.7. The employment index also fell to the lowest level since October 2024. Separately, MBIE reported a modest decline in job ads in March. However, for now, the level of advertising remains more than 10% higher than a year earlier, and we are also yet to see any sign of labour shedding in the weekly filled jobs data collected from tax records. Meanwhile, more than two-thirds of the comments submitted by respondents to the BusinessNZ survey were said to be negative, with many – especially in industries dealing with discretionary spending – unsurprisingly citing the impacts of the Middle East crisis.

BusinessNZ PMIs

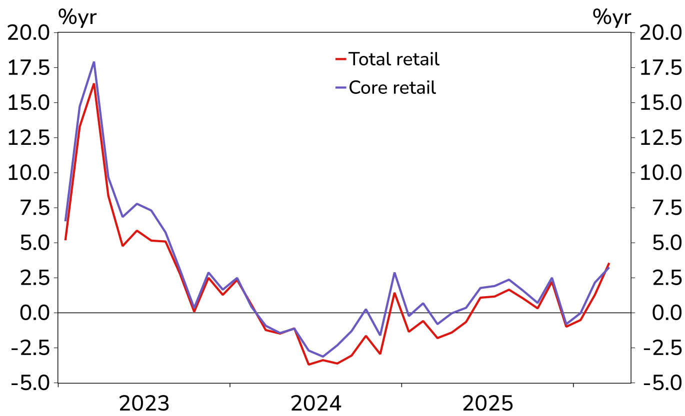


Source: BusinessNZ, Stats NZ, Macrobond, Westpac Economics

Later in the week news from the retail sector provided no major surprises. Consumer spending, as measured by electronic card payments, increased 0.7%m/m in March. Unsurprisingly, with petrol prices surging almost 19% during the month, spending on fuel increased over 17%. By contrast, core spending – which excludes spending on fuel and vehicles – fell a modest 0.1%m/m. Within the core measure, while spending on consumables (groceries) and durables grew, this was more than offset by a decline in spending on apparel and hospitality. These data were broadly in line with the trends that were evident in Westpac's own card spending data, which we had published earlier in the week.

Given the outcome for March, retail spending over the March quarter grew 1.0%. This was the strongest quarter since the December 2024 quarter, consistent with our view that the economy's forward momentum had improved at the start of this year. But looking ahead, high fuel prices will continue to siphon money out of households' pockets. At the same time, they will add to costs of production for a variety of other goods and services and will continue to significantly undermine consumer confidence. Overtime, these costs will also weigh on the strong growth in tourist arrivals that has helped retailers to weather a time of relatively subdued domestic spending. We continue to anticipate that consumer spending volumes will decline slightly in the current quarter, even as the value of spending is sustained by higher prices.

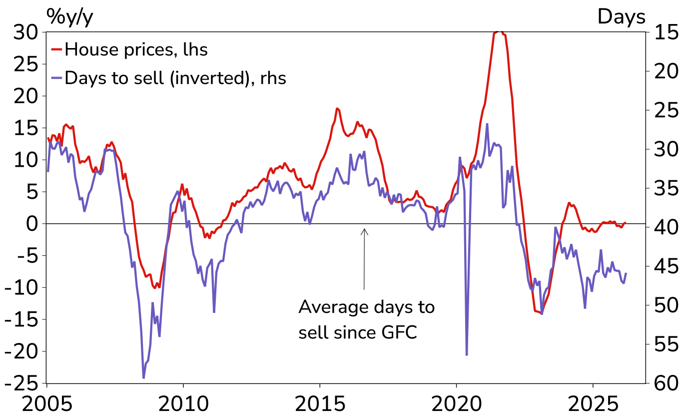
Electronic card spending in retail stores



Source: Stats NZ, Macrobond, Westpac Economics

News from the housing market also provided no major surprises. Sales were down around 4% in March, reversing a 5% rise in February, and have been effectively moving sideways over the last year. The average time to sell shortened compared to February but has also remained within a narrow range and remains longer than usual. The REINZ house price index ticked up slightly in March following a 0.6% rise in February. Prices have now largely reversed the declines that we saw over the second half of 2025 and were up 0.2% from a year earlier. Conditions vary across the country, with prices trending higher in the South Island while the North Island has been more stagnant. Of course, the Middle East conflict has cast a fresh shadow of uncertainty over the economic outlook. It was unlikely that we would see an impact on the housing market as early as March, but in the months ahead we'll be watching for signs of a softening that would support our current forecast of a 1% fall in prices over this year. (Anecdotal evidence suggests greater caution amongst buyers in recent weeks.)

House prices and days to sell

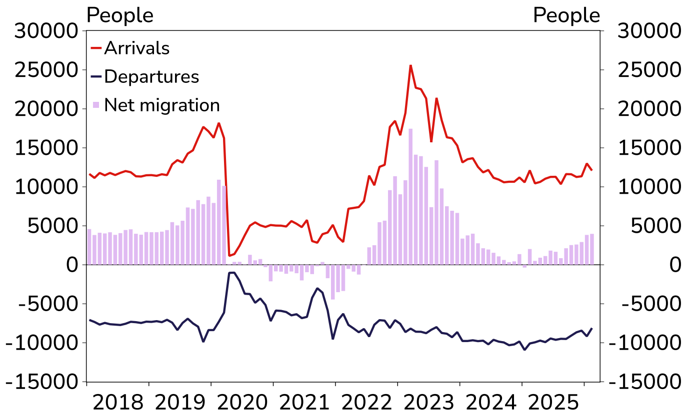


Source: REINZ, Macrobond, Westpac Economics

Another sector that is likely to be challenged by the Middle East conflict is the tourism industry. Increased prices for flights and sharply lower consumer confidence are likely to be weighing on forward bookings, especially from long-haul countries, and this should become evident as the year progresses. However, the recent trend has been very favourable, with arrivals in February increasing for an eighth consecutive month. A notable feature of the latest data was a further improvement in arrivals from China, which until recently had continued to track far below pre-pandemic levels. Thanks to the timing of the Lunar New Year, arrivals from China was more than triple that seen in February last year. But taking the January/February period as one to remove the impact of the floating holiday timing, arrivals were still up more than 50% and just 5% below the level seen in 2019. Helpfully, this comes at a time when there appears to be some slowing in arrivals from some other markets, notably the US and South Korea.

The inflow of longer-term arrivals – new residents and those on working, educational and other visas – has also shown some signs of lifting of late. Keeping in mind that more recent observations are subject to revision, the number of migrant arrivals in February was estimated to be around 2,000 greater than the low point seen in August last year whilst the number of departures was around 3,000 less than last January's highpoint. The net inflow of 3,600 was the largest since March 2024 and the inflow for the year to February – just over 25,000 – was over 7,000 more than the preceding year. At least in part the strengthening trend is further evidence of the improved economic conditions that were developing in New Zealand prior to the Middle East conflict. Changes to visa policy have liked also contributed to the pickup in inflows.

Monthly migration flows, seasonally adjusted



Source: Stats NZ, Macrobond, Westpac Economics

Finally, the release of the Selected Prices Indexes for March has allowed us to finalise [our forecast for next week's March quarter CPI] report. As expected, the price of petrol increased 19% in March and the price of diesel surged 42%. However, food and some other travel-related prices such as airfares came in slightly weaker than expected. As a result, we have revised down our forecast for the CPI to 0.7%, which would see annual inflation ease back to 2.8% from 3.1% in the December quarter. Higher prices for food and petrol should make the most significant contributions, although tradable prices overall are expected to rise just 0.2% over the quarter and 2.1% over the year. Non-tradables prices are forecast to increase 0.8% over the quarter, lowering annual inflation to 3.3%. Meanwhile measures of core inflation, such as the trimmed mean and the ex-fuel and energy CPI, are expected to remain in the top half of the RBNZ's target range.

Our forecast is a little lower than the updated 3.0% forecast released by the RBNZ at its 8 April Monetary Policy Review. Assuming the CPI prints close to our expectations, the RBNZ will only take modest comfort given what lies ahead. The impact of the oil shock will become more evident when the June quarter CPI is released in July, and perhaps earlier in the monthly Selected Prices Indexes that will be released prior to the CPI. We currently estimate that annual CPI inflation will rise to 4.3% in the June quarter, although much will depend on how petrol prices evolve over coming weeks.

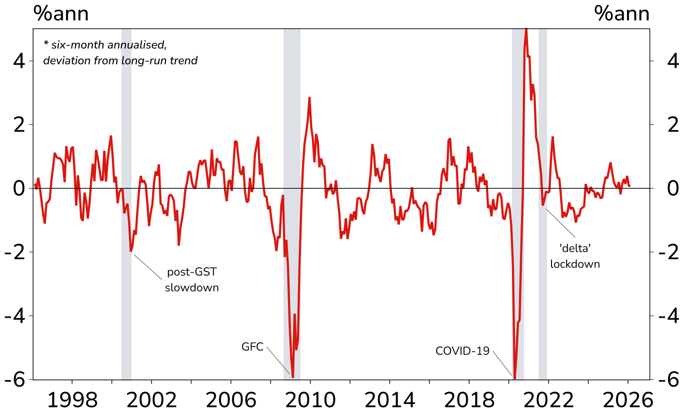
AUS: Mar Westpac-MI Leading Index

Apr 22, Last: +0.08%

The Leading Index growth rate held at +0.08% in February, unchanged from January but down from more firmly positive reads late last year.

The March read will again see a very mixed bag of component updates. The global energy shock has hit sentiment measures and financial markets hard. Both the Westpac-MI Consumer Expectations Index and the Westpac-MI Unemployment Expectations Index deteriorated by 10% in the latest month, the S&P/ASX200 dropping 7.8% month to month and the yield spread narrowing further. However, commodity prices firmed (up 2.1% in AUD terms) and total hours worked rose 0.5% while dwelling approvals posted a big 30% rebound from very weak reads in Dec-Jan. The net effect is hard to judge but may be more neutral than weak.

Westpac-MI Leading Index



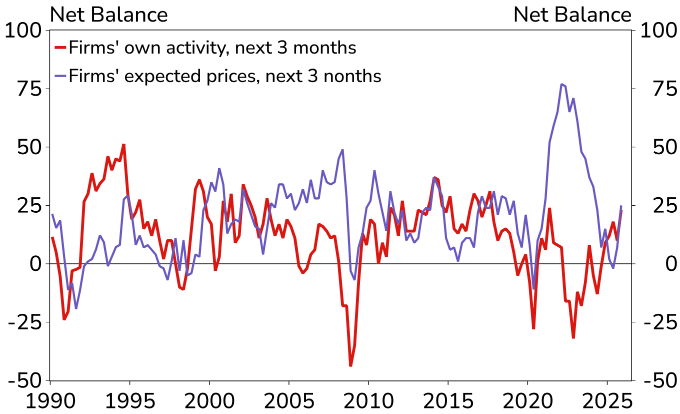
Source: Westpac-MI, Macrobond

NZ: Q1 NZIER Survey of Business Opinion (index)

Apr 21, General business confidence last: 39.5

The December quarter QSBO showed a more upbeat attitude among businesses than we've seen for some time, with both actual and expected activity picking up, and demand for workers responding accordingly. The March quarter survey will be a different matter though, coming in the wake of the Iran war, and later responses are likely to be significantly more downbeat than earlier ones. The pricing measures of the survey will show the hit from the surge in fuel costs, but more important will be firms' willingness to pass this on into their own prices. This particular measure seems to have been instrumental in kicking off both tightening and easing phases by the RBNZ in recent years.

Quarterly Survey of Business Opinion



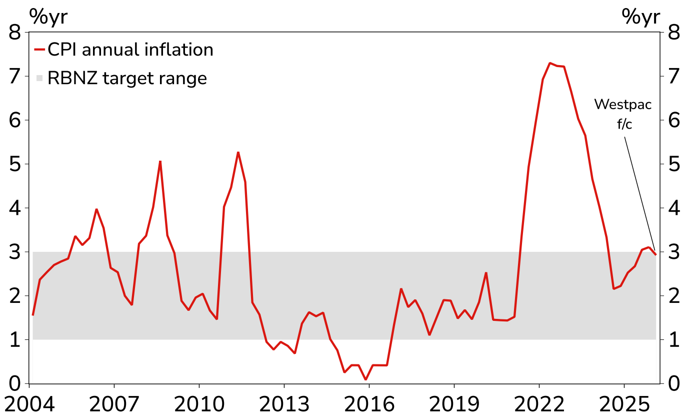
Source: NZIER, Stats NZ, Macrobond, Westpac Economics

NZ: Q1 Consumer Prices (%)

Apr 21, Quarterly last: 0.6, Westpac f/c: 0.7
Annual last: 3.1, Westpac f/c: 2.8, RBNZ f/c: 3.0

We estimate that New Zealand consumer prices rose by 0.7% in the March quarter, underpinned by higher prices for food and petrol. The annual inflation rate is expected to dip from 3.1% to 2.8%, slightly below the RBNZ's forecast of 3.0% (updated at its April Monetary Policy Review). Under the surface, core inflation is expected to remain at firm levels. While the annual inflation rate is set to soften a little in March, this will be just a temporary reprieve. Inflation is set to rise sharply through the middle part of the year in response to the recent rise in oil prices and related increases in other costs. We expect inflation will rise to around 4.3% mid-year.

Inflation at top of the range before Iran war



Source: Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Mar	Trade Balance	$mn	–257	–	388	Higher fuel prices will likely weigh in April.
Tue 21							
NZ	Q1	NZIER Survey of Business Opinion	index	39.5	–	–	Early indicator of business activity, pricing pressures.
	Q1	CPI	%qtr	0.6	0.8	0.7	Boost from food and fuel prices.
	Q1	CPI	%ann	3.1	2.9	2.8	Temporary easing, set to rise sharply mid-year.
Eur	Apr	ZEW Survey Of Expectations	index	–8.5	–	–	Middle East undoubtedly weighing on investor confidence.
UK	Feb	ILO Unemployment Rate	%	5.2	5.2	–	Labour market already weakening before Middle East shock.
US	Mar	Retail Sales	%mth	0.6	1.3	–	Evaporating confidence keeps consumer on weaker footing.
	Feb	Business Inventories	%mth	–0.1	0.3	–	Inventory restocking slowing amid shaky consumer outlook.
	Mar	Pending Home Sales	%mth	1.8	0.8	–	Early guide to established home sales, which is low and stable..
Wed 22							
Aus	Mar	Westpac–MI Leading Index	%ann'd	0.08	–	–	Interest rate hikes and Middle East impacts soon to be felt.
Eur	Apr	Consumer Confidence	index	–16.3	–17.3	–	Sunk to a two-and-a-half year low on Middle East crisis.
		ECB President Lagarde	–	–	–	–	Speaking on global challenges at LSE, 3:30am AEST.
UK	Mar	CPI	%ann	3.0	3.3	–	Set to pop materially higher on oil; focus on core.
Thu 23							
Jpn	Apr	S&P Global Manufacturing PMI	index	51.6	–	–	Expanding at a slower rate, uncertainty starting to weigh ...
	Apr	S&P Global Services PMI	index	53.4	–	–	... services activity is otherwise robust, providing some offset.
Eur	Apr	S&P Global Manufacturing PMI	index	51.6	50.1	–	Uptrend in manufacturing at risk of being arrested ...
	Apr	S&P Global Services PMI	index	50.2	49.5	–	... health of consumer will be key for services.
UK	Apr	S&P Global Manufacturing PMI	index	51.0	49.8	–	UK on more uneven footing, with mfg growth modest ...
	Apr	S&P Global Services PMI	index	50.5	50.0	–	... and services activity slowing toward break-even.
US	Mar	Chicago Fed Activity	index	–0.11	–	–	Likely to suggest below-trend growth for time being.
		Initial Jobless Claims	000s	207	210	–	Still quite low, not indicative of widespread firing.
	Apr	S&P Global Manufacturing PMI	index	52.3	52.8	–	Industry on a solid footing, similar to the ISM, but ...
	Apr	S&P Global Services PMI	index	49.8	50.0	–	... a weaker consumer does not bode well for services.
	Apr	Kansas City Fed Manufacturing	index	11	–	–	Performing relatively well compared to other regions.
Fri 24							
Jpn	Mar	CPI	%ann	1.3	1.4	–	Ueda strikes a cautious tone, monitor data before reacting.
Ger	Apr	IFO Business Climate Survey	index	86.4	86.6	–	Will souring expectations bleed into current situation view?
UK	Apr	GfK Consumer Sentiment	index	–21	–25	–	Confidence weakening but not unravelling frantically.
	Mar	Retail Sales	%mth	–0.4	–0.3	–	Watch core sales (ex fuel) for early signs of pressure.
US	Apr	Uni. Of Michigan Sentiment	index	47.6	48.3	–	Final estimate will provide full read on US-Iran reaction.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	36	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (17 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar-28	Jun-28
AUD/USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.11	158	156	154	152	150	148	146	144	142
EUR/USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	–	–	–	–
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.7	1.9	1.0	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	2.2	3.1	3.9	1.7

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